

Project Boracay

Quality of Earning Report

Reliance Restricted

5 February 2026 | Draft



The better the question. The better the answer. The better the world works.

Ernst & Young Han Young
Strategy and Transactions

Taeyoung building 3F-8F
111 Yeouigongwon-ro, Yeongdeungpo-gu,
Seoul, Republic of Korea
ey.com

Eom, Tae-Jeong

Partner – Seoul

Tel: +82 2 3787 4208

Mobile: +82 10 2247 5275

Email: Tae-
jeong.eom@parthenon.ey.com

Lee, Bella-Boram

Partner – Seoul

Tel: +82 2 3787 6389

Mobile: +82 10 4634 2330

Email: Bella-
Boram.Lee@parthenon.ey.com

Reliance Restricted

VIG Partners

3F, Signature Tower West, 100 Cheonggyecheon-ro, Jung-gu,
Seoul, Republic of Korea

Project Boracay

5 February 2026

Quality of Earning Report on Bonchon International Inc.

Ernst & Young Han Young (hereinafter referred to as the “Firm”) has signed a service contract (hereinafter referred to as the “service contract”) with VIG Partners (hereinafter referred to as the “Client”) in 2025 and conducted financial due diligence services on Bonchon International Inc. (hereinafter referred to as “Company” or “Bonchon”).

FDD - Scope and nature of our work

The scope and nature of our business are described in detail in the service contract. The procedures taken by the Firm are not audit procedures in accordance with accounting audit standards, etc., but in accordance with due diligence standards determined by prior agreement, so the Firm does not express audit opinions or review opinions on any information included in this report. There is no guarantee that the procedures described are sufficient for the purposes of this report.

When using this report, the scope of work performed by the Firm and matters to be noted must be fully considered. All information contained in this report is based on materials provided by the Company, questions to the Company representatives and analytical review, and additional procedures may reveal material modifications, which may result in differences in the results of our due diligence. The Company's management is the sole source of all information provided, and we have not verified the reliability of the information provided and do not provide any assurance as to its reliability.

Purpose of our report and restrictions on its use

This report is intended to be a reference for internal decision-making and should not be used for any other purpose. In addition, please consult with us before distributing this report to third parties. However, in the event of a request from a government authority or a supervisory body in accordance with relevant laws and regulations, prior notice shall be given. The Firm shall not be liable for any loss or expense resulting from the use of this report by persons who are restricted from using the report.

We thank the stakeholders for their cooperation during our work and invite you to contact us if you have any questions or concerns regarding this report.

DRAFT

Scope and process

Our scope

- Ernst & Young Han Young (hereinafter referred to as the “Firm”) conducted financial due diligence services on Bonchon International Inc. (hereinafter referred to as “Company” or “Bonchon”) to help internal decision making.
- The specific scope of Financial Due Diligence is as follows.
 - Due diligence date: November 30, 2025
 - Analysis of past sales performance during Jan21 ~ Nov25
 - Review of financial status as of the due diligence date
 - Review of qualitative factors and contingencies in the financial information

Access to management

- We conducted multiple interview sessions with management and submitted written RFIs.
- We received the financial information via email and Virtual Data Room (“VDR”).
- We did not perform any external confirmation procedures on the Company’s financial assets/liabilities and receivables/payables.

Access to information

- The Company provided the data in the form of electronic files. The Company’s management is responsible for the accuracy of the data provided, and the Firm assumes no responsibility.
- Some numbers and percentages stated in this report have been rounded to the nearest whole number and may not add up to the total, or there may be insignificant or immaterial differences compared to numbers and percentages on other pages for the same item.

Table of contents

1	Quality of Earnings	5	7	Appendix	92
2	Company overview	21			
3	Consolidated FS	30			
4	P/L analysis	38			
5	Market analysis	71			
6	BS analysis	87			

1

Quality of Earnings

[Quality of earnings] For LTMNov25, Revenue after Management & EY Normalized adjustments was USD 29,653k, with EBITDA of USD 10,206k and an EBITDA margin of 34.4%.

Quality of earnings

Currency: USD k	FY21	FY22	FY23	FY24	LTM Nov25	11m25
Revenue, reported	29,723	36,273	33,688	32,845	30,538	27,968
EBITDA, reported	10,285	10,343	7,788	8,119	9,929	9,567
EBITDA margin, reported	34.6%	28.5%	23.1%	24.7%	32.5%	34.2%
Management adjustments	305	607	913	431	650	277
One-off items	#1	305	607	913	650	277
EY Normalized adjustments	(3,052)	(2,230)	1,535	1,678	(373)	(414)
Change in sauce sales structure	#2	(3,713)	(2,506)	-	-	-
Labor cost optimization	#3	311	498	1,091	622	(326)
Exclusion of closed equity store	#4	662	545	482	811	227
Alignment of initial fee recognition	#5	282	(570)	(140)	176	(317)
Exclusion of non-recurring business	#6	(695)	(301)	20	(8)	-
Exclusion of lease income	#6	(2)	-	-	-	-
Allston headcount optimization	#6	103	104	82	78	47
Revenue, adjusted	20,933	27,607	30,381	30,446	29,653	27,286
EBITDA, adjusted	7,538	8,720	10,236	10,229	10,206	9,430
EBITDA margin, adjusted	36.0%	31.6%	33.7%	33.6%	34.4%	34.6%
Pro-forma adjustments	24	56	68	249	1,347	1,184
Annualization of Sub-12m stores	#7	-	-	153	1,233	1,079
Impact of Myanmar MF sales waiver	#8	24	56	68	96	105
Revenue, pro-forma	20,957	27,663	30,449	30,727	31,204	28,643
EBITDA, pro-forma	7,562	8,776	10,305	10,478	11,553	10,614
EBITDA margin, pro-forma	36.1%	31.7%	33.8%	34.1%	37.0%	37.1%

Source: Management information and EY analysis

Normalized adjustments

For LTMNov25, revenue after Management & EY Normalized adjustments was USD 29,653k, while EBITDA was USD 10,206k, representing an EBITDA margin of 34.4%. Total adjustments for LTMNov25 amounted to USD 277k (650k + (-) 373k), as outlined below.

Management adjustments

- **One-off items** : Adjustments include non-recurring items such as expenses related to relocation of headquarters, litigation-related expenses, recruiting fees, incidental costs from changes in sauce suppliers, and marketing fund support. Total one-off adjustments during LTMNov25 amounted to USD 650k.

EY Normalized adjustments

- **Change in sauce sales structure** : The sales structure for signature sauces in the U.S. was revised, reducing the price charged to franchisees and shifting from recognizing gross revenue and COGS to recognizing only brand sauce margins. A pro-forma adjustment was made to reflect results as if the local production and distribution structure had been in place during FY21 ~ FY22.
 - The change in sauce production and sales structure was intended to reduce logistics risks associated with sourcing from Korea and to support franchisee profitability, thereby driving store expansion and systemwide sales growth.
- **Labor cost optimization** : USA Inc. has adjusted staffing levels over time, expanding and reducing headcount under various structures as part of operational optimization efforts. Excluding executives, an average of 38 (including 1 outsourced personnel) employees at HQ is considered as the optimal headcount. Labor costs were normalized to reflect deviations from this optimal level in previous years.
- **Exclusion of closed equity store gains/losses** : Adjustments were made to exclude results from equity stores that were closed as of Nov25. These stores were operated in locations less favored by franchisees, primarily to enhance brand awareness, and in some cases generated (-) EBITDA. Excluding their impact increased LTMNov25 EBITDA by USD 227k.

[Quality of earnings] For LTMNov25, Revenue after Management & EY Normalized adjustments was USD 29,653k, with EBITDA of USD 10,206k and an EBITDA margin of 34.4%.

Quality of earnings

Currency: USD k		FY21	FY22	FY23	FY24	LTM Nov25	11m25
Revenue, reported		29,723	36,273	33,688	32,845	30,538	27,968
EBITDA, reported		10,285	10,343	7,788	8,119	9,929	9,567
EBITDA margin, reported		34.6%	28.5%	23.1%	24.7%	32.5%	34.2%
Management adjustments		305	607	913	431	650	277
One-off items	#1	305	607	913	431	650	277
EY Normalized adjustments		(3,052)	(2,230)	1,535	1,678	(373)	(414)
Change in sauce sales structure	#2	(3,713)	(2,506)	-	-	-	-
Labor cost optimization	#3	311	498	1,091	622	(331)	(326)
Exclusion of closed equity store	#4	662	545	482	811	227	151
Alignment of initial fee recognition	#5	282	(570)	(140)	176	(317)	(279)
Exclusion of non-recurring business	#6	(695)	(301)	20	(8)	-	-
Exclusion of lease income	#6	(2)	-	-	-	-	-
Allston headcount optimization	#6	103	104	82	78	47	40
Revenue, adjusted		20,933	27,607	30,381	30,446	29,653	27,286
EBITDA, adjusted		7,538	8,720	10,236	10,229	10,206	9,430
EBITDA margin, adjusted		36.0%	31.6%	33.7%	33.6%	34.4%	34.6%
Pro-forma adjustments		24	56	68	249	1,347	1,184
Annualization of Sub-12m stores	#7	-	-	-	153	1,233	1,079
Impact of Myanmar MF sales waiver	#8	24	56	68	96	114	105
Revenue, pro-forma		20,957	27,663	30,449	30,727	31,204	28,643
EBITDA, pro-forma		7,562	8,776	10,305	10,478	11,553	10,614
EBITDA margin, pro-forma		36.1%	31.7%	33.8%	34.1%	37.0%	37.1%

Source: Management information and EY analysis

Normalized & Pro-forma adjustments

EY Normalized adjustments (cont.d)

- **Alignment of initial fee revenue recognition** : Outside the U.S., initial fees are fully recognized as revenue in the month the store opens, whereas in the U.S., the initial fees are recognized as revenue over a period of 10 years. Accordingly, EBITDA adjustments were made to align U.S. initial fee recognition with the revenue recognition criteria applied outside the U.S. and consistent with other restaurant franchisors.
- **Exclusion of non-recurring business gains/losses** :
 - During COVID-19, Bonchon LLC made a strategic decision to temporarily purchase and sell kitchen equipment to franchisees thereby enabling U.S. store openings despite logistics challenges. As the business was low-margin and will not be continued, related results were adjusted out of EBITDA.
 - Through FY22, Bonchon LLC purchased kitchen supplies such as Aprons, Shirts, Chef Jackets, etc. and sold to franchisees. As this business has discontinued due to changes in the SCM structure, the related profit and loss have been reflected as an EBITDA adjustment.
- **Exclusion of lease income from Busan company housing** : Lease income was generated from non-operating assets. These assets have since been disposed of and are no longer generating income. Accordingly, the amount was adjusted out of EBITDA.
- **Allston headcount optimization** : For Allston(equity store), managerial duties are currently performed directly by the head office. Accordingly, as labor costs related to such positions are not expected to be incurred going forward, the related labor costs have been reflected as an EBITDA adjustment

[Quality of earnings] Reflecting pro-forma adjustments, LTMNov25 EBITDA was USD 11,553k with an EBITDA margin of 37.0%.

Quality of earnings

Currency: USD k		FY21	FY22	FY23	FY24	LTM Nov25	11m25
Revenue, reported		29,723	36,273	33,688	32,845	30,538	27,968
EBITDA, reported		10,285	10,343	7,788	8,119	9,929	9,567
EBITDA margin, reported		34.6%	28.5%	23.1%	24.7%	32.5%	34.2%
Management adjustments		305	607	913	431	650	277
One-off items	#1	305	607	913	431	650	277
EY Normalized adjustments		(3,052)	(2,230)	1,535	1,678	(373)	(414)
Change in sauce sales structure	#2	(3,713)	(2,506)	-	-	-	-
Labor cost optimization	#3	311	498	1,091	622	(331)	(326)
Exclusion of closed equity store	#4	662	545	482	811	227	151
Alignment of initial fee recognition	#5	282	(570)	(140)	176	(317)	(279)
Exclusion of non-recurring business	#6	(695)	(301)	20	(8)	-	-
Exclusion of lease income	#6	(2)	-	-	-	-	-
Allston headcount optimization	#6	103	104	82	78	47	40
Revenue, adjusted		20,933	27,607	30,381	30,446	29,653	27,286
EBITDA, adjusted		7,538	8,720	10,236	10,229	10,206	9,430
EBITDA margin, adjusted		36.0%	31.6%	33.7%	33.6%	34.4%	34.6%
Pro-forma adjustments		24	56	68	249	1,347	1,184
Annualization of Sub-12m stores	#7	-	-	-	153	1,233	1,079
Impact of Myanmar MF sales waiver	#8	24	56	68	96	114	105
Revenue, pro-forma		20,957	27,663	30,449	30,727	31,204	28,643
EBITDA, pro-forma		7,562	8,776	10,305	10,478	11,553	10,614
EBITDA margin, pro-forma		36.1%	31.7%	33.8%	34.1%	37.0%	37.1%

Source: Management information and EY analysis

Normalized & Pro-forma adjustments

Pro-forma adjustments

- Annualization of Sub-12month stores :** To reflect normalized annual performance, a pro-forma adjustment was made by annualizing systemwide sales of stores with less than 12 months of operations as of Nov25 month-end. Total impact of the annualization increased LTMNov25 EBITDA by USD 1,233k.
- Impact of Myanmar MF sales waiver :** Although systemwide sales in Myanmar has been growing, franchise revenue has been waived due to local political conditions. A pro-forma adjustment was made to reflect the incremental revenue and EBITDA that would have been recognized under the MF contract terms if the waiver had not been granted.

[Management adjustments] Non-recurring gains and losses were classified as one-off items and adjusted out of EBITDA.

#1. One-off items

Currency: USD k	FY21	FY22	FY23	FY24	LTM Nov25	11m25
1. Marketing Fund Support	10	108	261	310	310	-
2. Impact of U.S. HQ relocation	253	245	128	-	-	-
NY Office rent fee	243	245	128	-	-	-
Relocation support (TX)	11	-	-	-	-	-
3. Litigation-related expenses	42	21	-	-	27	27
LLC lawsuit	42	-	-	-	-	-
AA&A Legal fee & Bad debt	-	21	-	-	-	-
Legal Action_ France	-	-	-	-	27	27
4. Franchisee support	-	-	20	42	-	-
Construction issue	-	-	20	-	-	-
Chicken supply issue	-	-	-	42	-	-
5. CAO termination severance	-	233	-	-	-	-
6. Recruiting fee	-	-	123	52	76	24
CGO recruiting fee	-	-	123	-	-	-
VP of Development recruiting fee	-	-	-	52	76	24
7. Equipment sales	-	-	381	-	67	67
Equipment stock provision	-	-	381	-	67	67
8. IT service termination cost	-	-	-	3	-	-
9. Change in sauce distribution structure	-	-	-	25	151	140
Signature sauce transition	-	-	-	-	29	29
Sysco Transition - Stock disposal	-	-	-	25	97	86
Sysco Transition - Bad debt	-	-	-	-	25	25
10. Service fee related to the corporate transaction	-	-	-	-	20	20
EBITDA adjustment	305	607	913	431	650	277

Source: Management information and EY analysis

One-off items

- Non-recurring gains and losses were classified as one-off items and adjusted out of EBITDA.

1. Marketing fund support :

- Expenses incurred in excess of the marketing fund and charged as SG&A, and expenses borne by the Company from the six-week 0.5% reduction in the marketing fund rate implemented in Jun23 to support franchisees, were treated as one-off items and adjusted out of EBITDA

2. Impact of U.S HQ relocation :

- NY Office rent fee : Rent continued to be paid on the New York office during the headquarters' transition to Dallas, Texas. Since this was a non-recurring expense, the amount was added back to EBITDA.
- Relocation support : Moving expenses were subsidized for employees transferring from the New York HQ to the Dallas HQ.

3. Litigation-related expenses :

- LLC lawsuit : This expense is related to legal and settlement costs resulting from a lawsuit concerning an exclusive supply agreement that was entered into by former management.
- AA&A Legal fee & Bad debt : This represents legal fees incurred for retaining a lawyer in connection with a lawsuit to recover the advance payment of USD 100k made to a consulting firm for store efficiency improvement, as the project did not proceed as planned. This non-recurring litigation expense has been treated as an EBITDA adjustment.
- Legal Action_ France : It has been identified that operations have continued at the France store following the removal of the Bonchon brand and store remodeling, and legal proceedings are currently ongoing in relation to the relevant store. As such litigation is considered a non-recurring legal matter, the related legal counsel fees have been reflected as an EBITDA adjustment.

[Management adjustments] Non-recurring gains and losses were classified as one-off items and adjusted out of EBITDA.

#1. One-off items

Currency: USD k	FY21	FY22	FY23	FY24	LTM Nov25	11m25
1. Marketing Fund Support	10	108	261	310	310	-
2. Impact of U.S. HQ relocation	253	245	128	-	-	-
NY Office rent fee	243	245	128	-	-	-
Relocation support (TX)	11	-	-	-	-	-
3. Litigation-related expenses	42	21	-	-	27	27
LLC lawsuit	42	-	-	-	-	-
AA&A Legal fee & Bad debt	-	21	-	-	-	-
Legal Action_ France	-	-	-	-	27	27
4. Franchisee support	-	-	20	42	-	-
Construction issue	-	-	20	-	-	-
Chicken supply issue	-	-	-	42	-	-
5. CAO termination severance	-	233	-	-	-	-
6. Recruiting fee	-	-	123	52	76	24
CGO recruiting fee	-	-	123	-	-	-
VP of Development recruiting fee	-	-	-	52	76	24
7. Equipment sales	-	-	381	-	67	67
Equipment stock provision	-	-	381	-	67	67
8. IT service termination cost	-	-	-	3	-	-
9. Change in sauce distribution structure	-	-	-	25	151	140
Signature sauce transition	-	-	-	-	29	29
Sysco Transition - Stock disposal	-	-	-	25	97	86
Sysco Transition - Bad debt	-	-	-	-	25	25
10. Service fee related to the corporate transaction	-	-	-	-	20	20
EBITDA adjustment	305	607	913	431	650	277

Source: Management information and EY analysis

One-off items (cont.d)

- Non-recurring gains and losses were classified as one-off items and adjusted out of EBITDA.

4. Franchisee support subsidies :

- Support subsidies to franchisees were provided on a case-by-case basis with CEO/Finance approval, as no separate internal policy exists. These expenses were treated as one-off items and adjusted out of EBITDA.
- Construction issue : Subsidy was provided for repair costs related to defects arising during store interior construction.
- Chicken supply issue : Temporary subsidies were provided to franchisees in regions where chicken prices surged, covering incremental costs.

5. CAO termination severance :

- Severance payment related to the contract termination of an executive in Dec22, made in accordance with a contractual clause requiring one year's salary in the event of involuntary termination.

6. Recruiting fee :

- Fees paid to recruiting agencies for the hiring of senior executives and senior management, treated as a non-recurring expense incurred only in exceptional cases.

7. Equipment sales :

- Equipment stock provision : During COVID-19, Bonchon LLC temporarily purchased kitchen equipment directly and resold it to franchisees to support new store openings amid supply chain disruptions. The Company recognized impairment losses on kitchen equipment inventory deemed unsellable due to changes in market conditions.

8. IT service termination cost :

- One-time installation costs incurred in migrating sales system from Revolution to Olo. As system changes require additional termination costs for the prior system, these non-recurring expenses were treated as one-off adjustments.

[Management adjustments] Non-recurring gains and losses were classified as one-off items and adjusted out of EBITDA.

#1. One-off items

Currency: USD k	FY21	FY22	FY23	FY24	LTM Nov25	11m25
1. Marketing Fund Support	10	108	261	310	310	-
2. Impact of U.S. HQ relocation	253	245	128	-	-	-
NY Office rent fee	243	245	128	-	-	-
Relocation support (TX)	11	-	-	-	-	-
3. Litigation-related expenses	42	21	-	-	27	27
LLC lawsuit	42	-	-	-	-	-
AA&A Legal fee & Bad debt	-	21	-	-	-	-
Legal Action_ France	-	-	-	-	27	27
4. Franchisee support	-	-	20	42	-	-
Construction issue	-	-	20	-	-	-
Chicken supply issue	-	-	-	42	-	-
5. CAO termination severance	-	233	-	-	-	-
6. Recruiting fee	-	-	123	52	76	24
CGO recruiting fee	-	-	123	-	-	-
VP of Development recruiting fee	-	-	-	52	76	24
7. Equipment sales	-	-	381	-	67	67
Equipment stock provision	-	-	381	-	67	67
8. IT service termination cost	-	-	-	3	-	-
9. Change in sauce distribution structure	-	-	-	25	151	140
Signature sauce transition	-	-	-	-	29	29
Sysco Transition - Stock disposal	-	-	-	25	97	86
Sysco Transition - Bad debt	-	-	-	-	25	25
10. Service fee related to the corporate transaction	-	-	-	-	20	20
EBITDA adjustment	305	607	913	431	650	277

Source: Management information and EY analysis

One-off items (cont.d)

- Non-recurring gains and losses were classified as one-off items and adjusted out of EBITDA.

9. Change in sauce distribution structure :

- In late FY22, the U.S. sauce distribution structure was changed. Previously, sauces manufactured in Busan were imported via International Inc. and distributed by Bonchon LLC. From Sep22, sauces began to be produced locally by KENS and TKA and distributed through Sysco and other distributors, with the Company recognizing only brand sauce margin. Non-recurring gains/losses associated with this transition were adjusted out of EBITDA.
- Signature sauce transition : Compensation paid for raw materials remaining at KENS during the transition of sauce production to TKA in order to improve consistency in taste and quality with sauces produced in Korea.
- Sysco transition - Stock disposal : Reimbursement of disposal costs for inventory held by former distributors, incurred during the transition to integrated distribution through Sysco in Apr24.
- Sysco transition - Bad debt : Bad debt expense and related legal fees associated with uncollectible receivables for brand sauce margin from Tapia, a former distributor prior to integrated distribution through Sysco. A franchisee that purchased sauces through Tapia defaulted, after which Tapia also failed to remit payment to the Company. As litigation costs were expected to exceed the receivable balance, the Company recognized the amount as a bad debt.

10. Service fee related to the corporate transaction

- Expenses incurred in connection with the ongoing corporate transaction. As these represent one-off expenses arising from the transaction process, an adjustment was made to add the expenses back to EBITDA.

[EY Normalized adjustments] The impact of change in sauce sales structure and headcount optimization within the U.S. entity have been reflected as EBITDA adjustment items.

#2. Change in sauce sales structure

Currency: USD k	FY21	FY22	FY23	FY24	LTM Nov25	11m25
A. As-is (reported)	5,762	3,965	-	-	-	-
Product Sales - Bonchon Sauce	7,352	5,248	-	-	-	-
COGS	(1,590)	(1,283)	-	-	-	-
B. To-be	2,049	1,459	-	-	-	-
Product Sales - Bonchon Sauce	1,512	1,120	-	-	-	-
Franchise Royalty	537	339	-	-	-	-
COGS	-	-	-	-	-	-
EBITDA adjustment (B-A)	(3,713)	(2,506)	-	-	-	-

Source: Management information and EY analysis

#3. Labor cost optimization

Currency: USD k	FY21	FY22	FY23	FY24	LTM Nov25	11m25
A. Labor cost (as-is)	3,928	5,062	5,828	5,628	5,265	4,586
Employees ¹	2,835	3,994	5,066	5,172	4,669	4,028
Avg. headcount - USA SG&A	31	40	48	43	37	37
Labor cost per capita	92	101	106	120	125	108
Executives ¹	1,093	1,067	762	416	473	439
Outsourced personnel	-	-	-	40	123	119
B. Labor cost (to-be)	3,617	4,564	4,736	5,007	5,595	4,912
Employees ¹	2,835	3,751	3,846	4,463	4,704	4,063
Avg. headcount - USA SG&A	31	37	36	37	37	37
Labor cost per capita	92	101	106	120	125	108
Bonus accrual	-	-	-	-	35	35
Executives ¹	673	697	768	416	764	730
Outsourced personnel	109	116	122	127	127	119
EBITDA adjustment (A-B)	311	498	1,091	622	(331)	(326)

Source: Management information and EY analysis

¹ Salaries + Bonus + Severance and employee benefits calculated as a percentage of salaries & bonus

Change in sauce sales structure

- From Sep22, the sales structure for signature sauces in the U.S. was modified. Previously, Bonchon LLC recognized both revenue and cost of sales on a gross basis; under the new business model, only the brand sauce margin is recognized as revenue.
- Accordingly, for FY21 ~ FY22, all sauce-related revenues and costs in both International Inc. and the Bonchon LLC were eliminated, and only the brand sauce margin corresponding to sales volume was recognized.
- Following COVID-19, logistics into the U.S. became less stable, and domestic inflation further pressured franchisee profitability. To mitigate logistics risks and improve franchisee profitability to support franchised store count growth, the strategic changes were made based on the new business model, under which sauces are produced locally in the U.S., sauce prices to franchisees are reduced, and royalty rates are slightly increased.

Labor cost optimization

- In anticipation of rapid franchised store count growth, the Company proactively increased franchise management staff across Operations, Training, and Development during FY22 to FY23. In hindsight, given the strong capabilities of existing employees, business could have been managed with 39 employees (including 1 outsourced personnel) during 11m25. Accordingly, the additional hiring made during FY22 to LTMNov25 is considered excessive, and an EBITDA adjustment was made to reflect the labor cost difference under an appropriate headcount level.
- For the U.S. HQ, adjustment was made based on the estimation of 38 administrative support employees (including 1 executive) as the optimal headcount level. Further, labor costs for former CAO, who was terminated in FY22 due to underperformance, was deducted through adjustment.
- Since 4Q24, the Company has hired an outsourced Construction Manager, and recorded Outsourced personnel costs. This labor cost is viewed as a recurring expense.
- Unrecognized FY25 bonuses payable to executives and employees of each entity were reflected as an EBITDA adjustment.

[EY Normalized adjustments] The impact of profit/losses associated with closed equity stores and alignment of initial fee revenue recognition have been reflected as EBITDA adjustment items.

#4. Closed Equity Stores

Currency: USD k	FY21	FY22	FY23	FY24	LTM Nov25	11m25
A. USA Inc - 38th Street	247	287	83	244	172	151
Revenue	(1,655)	(1,802)	(1,872)	(1,691)	(535)	(402)
COGS (excl. D&A)	591	536	472	495	153	114
SG&A (excl. D&A)	1,310	1,553	1,483	1,440	554	439
B. USA Inc – Frisco	0	224	241	-	-	-
Revenue	-	(392)	(529)	-	-	-
COGS (excl. D&A)	-	153	187	-	-	-
SG&A (excl. D&A)	0	463	584	-	-	-
C. Beverage - Frisco	-	7	(0)	-	-	-
Revenue	-	(0)	(1)	-	-	-
COGS (excl. D&A)	-	1	0	-	-	-
SG&A (excl. D&A)	-	7	0	-	-	-
D. 267W	415	27	158	567	55	-
Revenue	(115)	(444)	(444)	(558)	(33)	-
COGS (excl. D&A)	19	-	-	186	12	-
SG&A (excl. D&A)	511	472	603	939	76	-
EBITDA adjustment (A+B+C+D)	662	545	482	811	227	151

Source: Management information and EY analysis

#5. Initial fee revenue recognition alignment

Currency: USD k	FY21	FY22	FY23	FY24	LTM Nov25	11m25
A. As-is (reported)	441	1,115	979	547	747	710
B. To-be	723	545	839	723	431	431
Individual FA Signed	228	190	304	100	113	113
Part of Development Agreement	495	355	535	623	318	318
EBITDA adjustment (B-A)	282	(570)	(140)	176	(317)	(279)

Source: Management information and EY analysis

Closed Equity Stores

- To enhance brand awareness, the Company previously operated equity stores in regions not covered by franchisees, some of which showed low profitability. Going forward, the Company is focused on optimizing performance at existing locations and prioritizing franchisee development.
- Adjustments have been made to exclude the profit/losses associated with closed equity stores in the U.S. as of Nov25. These stores generated negative EBITDA due to high rental expenses and labor costs. The closure of each store by year, along with the reasons, is summarized below.
 - 38th Street : Due to safety issues such as structural damage and water leakage from store aging, the store was closed in Apr25 in line with the lease expiration of Jul25.
 - Frisco : Operated for 2 years in Texas and closed in Dec23. Although the store benefited from relatively low rent compared to surrounding market rates, its location away from the central commercial area led to weak sales and deteriorating profitability, resulting in store closure. Profit and loss related to Frisco equity store, recorded under Beverage Company, was also adjusted.
 - 267W : This represents the financial performance of the equity store located on 23rd Street, which was closed in Dec24. The financial results include rental income earned during FY21 ~ FY23 through a sublease arrangement, a one-off subsidy provided during the sublease period to support franchisee profitability, and operating results during its operation as an equity store. Given its relatively weak profitability against high rental costs, management made the strategic decision to close the store.

Revenue recognition alignment

- International Inc. recognizes the Initial fee as Revenue at the time of store opening. However, for U.S. franchisees managed under Franchise LLC, the Initial fee is recognized on a monthly basis over the term of the franchise agreement starting from the store opening date. This results in a difference in accounting treatment.
- To ensure consistency and comparability with revenue recognition practices applied in Non-U.S. markets, we adjusted EBITDA to reflect recognition of Initial fees from U.S. franchisees, under USA Inc. consolidated basis, at the time of store opening, consistent with other restaurant franchisors.

[EY Normalized adjustments] Non-recurring business gains/losses and income derived from non-operating assets have been reflected as EBITDA adjustment items.

#6. One-off items

Currency: USD k	FY21	FY22	FY23	FY24	LTM Nov25	11m25
1. Equipment sales	(695)	(301)	20	(8)	-	-
Non-recurring business P/L - Equipment sales	-	11	20	(8)	-	-
Discontinued business P/L - Kitchen supplies sales	(695)	(312)	-	-	-	-
2. Lease income from Busan housing	(2)	-	-	-	-	-
3. Allston headcount optimization	103	104	82	78	47	40
EBITDA adjustment	(594)	(197)	102	70	47	40

Source: Management information and EY analysis

One-off items

- Non-recurring gains and losses were classified as one-off items and adjusted out of EBITDA.

1. Equipment sales & Other products :

- Equipment sales : During COVID-19, due to logistics disruptions, Bonchon LLC temporarily purchased kitchen equipment to facilitate new franchise openings in the U.S. and subsequently resold the equipment to franchisees. Given the low profitability of this activity and the fact that management does not expect it to recur, the related profit and loss has been reflected as an EBITDA adjustment.
- Kitchen supplies sales : Through FY22, Bonchon LLC purchased kitchen supplies such as Aprons, Shirts, Chef Jackets, etc. and sold to franchisees. As this business has discontinued due to changes in the SCM structure, the related profit and loss have been reflected as an EBITDA adjustment.

2. Lease income from Busan company housing :

- This relates to lease income generated from a non-operating asset (a company-owned residential property in Busan) held by International Inc. As the property has since been disposed of, the income is deemed non-recurring and has therefore been excluded from EBITDA.

3. Allston headcount optimization :

- For Allston(equity store), managerial duties are currently performed directly by the head office. Accordingly, as labor costs related to such positions are not expected to be incurred going forward, the related labor costs have been reflected as an EBITDA adjustment.

[Pro-forma adjustments] The impact of annualization of sub-12month stores and franchise revenue waivers in Myanmar have been reflected as EBITDA adjustment items.

#7-1. Annualization of Sub-12month stores

Currency: USD k	FY21	FY22	FY23	FY24	LTM Nov25	11m25
A. As-is (reported)				8	475	467
U.S.				5	326	321
Royalty Revenue				5	326	321
Marketing Revenue				3	172	170
Marketing COGS				(3)	(172)	(170)
Non-U.S.				3	149	146
Royalty Revenue				3	149	146
B. To-be (annualized)				119	1,417	1,298
U.S.				89	1,043	953
Royalty Revenue				89	1,043	953
Marketing Revenue				27	313	286
Marketing COGS				(27)	(313)	(286)
Non-U.S.				30	374	345
Royalty Revenue				30	374	345
EBITDA adjustment (B-A)				111	942	831

Source: Management information and EY analysis

#7-2. Sauce Revenue/EBITDA For sub-12m stores

Currency: USD k	FY21	FY22	FY23	FY24	LTM Nov25	11m25
1. U.S.				18	97	78
Revenue				18	97	78
2. Non-U.S.				24	194	170
Revenue				32	257	226
COGS				(8)	(63)	(56)
EBITDA adjustment				42	291	248

Source: Management information and EY analysis

Annualization of Sub-12month stores

- During LTMNov25, several stores were newly opened, and the full-year performance of these stores was not reflected. A pro-forma adjustment was made to reflect the performance as if these stores had been operating for a full 12 months.
- As of Nov25, a total of 51 stores (18 in the U.S., 33 in Non-U.S.) have been operating for less than 12 months. Systemwide sales of these stores during FY24 to LTMNov25 was annualized, and the resulting incremental royalties and marketing revenue from the systemwide sales increase were reflected as EBITDA adjustments. However, marketing revenue is offset by an equal amount of marketing expenses, resulting in no impact on EBITDA.
- Annualization of incremental systemwide sales resulted in higher royalty and marketing revenues for U.S. stores, while for Non-U.S. stores, only royalty revenue increased.

Sauce Revenue/EBITDA For sub-12m stores

- Revenue by store includes sauce sales in addition to royalty and marketing revenues. For stores newly opened during the LTMNov25, the estimated sauce sales revenue that would have been generated had such stores operated for a full year (12 months) has been reflected as a Pro-forma adjustment.
- A total of 51 stores (18 in the U.S. and 33 in Non-U.S.) are included. For U.S. stores, as sauces are produced through an OEM arrangement and only brand margin-related revenue is recognized as other revenue, only revenue has been reflected. For Non-U.S. stores, both revenue and related COGS have been reflected as EBITDA adjustments.

[Pro-forma adjustments] The impact of annualization of sub-12month stores and franchise revenue waivers in Myanmar have been reflected as EBITDA adjustment items.

#8. Impact of Myanmar franchise revenue waiver

Currency: USD k	FY21	FY22	FY23	FY24	LTM Nov25	11m25
A. As-is (reported)	3	-	-	-	-	-
Franchise - Initial fee	-	-	-	-	-	-
Franchise - Royalty	3	-	-	-	-	-
B. To-be (Waived revenue amount)	28	56	68	96	114	105
Franchise - Initial fee	-	5	-	-	-	-
Franchise - Royalty	28	51	68	96	114	105
Systemwide sales	1,101	2,031	2,735	3,835	4,564	4,198
Royalty rate	2.5%	2.5%	2.5%	2.5%	2.5%	2.5%
EBITDA adjustment (B-A)	24	56	68	96	114	105

Source: Management information and EY analysis

Impact of Myanmar franchise revenue waiver

- As of FY20, 6 stores were operating in Myanmar, and a new store was opened in May22. As of Nov25, a total of 9 stores are in operation. While systemwide sales per store has continued to grow, franchise revenues have been waived for the MF in consideration of the country's internal circumstances.
- Under the Master Franchise Agreement, the Company is entitled to an Initial fee of USD 5k per store opened and a Royalty of 2.5% of systemwide sales. If the Company recognized franchise revenues in Myanmar pursuant to these contractual terms, it is estimated that EBITDA for the LTMNov25 would have increased by approximately USD 114k.

[Adjusted P/L] Adjusted P/L, reflecting Management and EY Normalized adjustments, and Pro-forma P/L, further reflecting Pro-forma adjustments, for the period from FY21 to LTMNov25 are as follows.

Summary of Adjusted, Pro-forma P/L

Currency: USD k	Reported P/L					Management adjustments					EY Normalized adjustments				
	FY21	FY22	FY23	FY24	LTM Nov25	FY21	FY22	FY23	FY24	LTM Nov25	FY21	FY22	FY23	FY24	LTM Nov25
Revenue	29,723	36,273	33,688	32,845	30,538	-	-	-	-	-	(8,791)	(8,666)	(3,308)	(2,399)	(884)
Product sales (FG, Merchandise)	13,594	12,327	5,994	6,245	5,191	-	-	-	-	-	(9,350)	(6,916)	(321)	(326)	-
Franchise revenue	12,253	15,469	16,903	17,519	18,545	-	-	-	-	-	819	(231)	(140)	176	(317)
Store sales	3,502	7,332	7,478	6,409	4,302	-	-	-	-	-	(1,704)	(2,194)	(2,402)	(2,248)	(568)
Other sales	375	1,145	3,314	2,673	2,499	-	-	-	-	-	1,444	676	(444)	(1)	-
COGS	6,650	8,277	7,503	7,282	5,831	-	-	(381)	-	(67)	(3,503)	(3,340)	(1,000)	(999)	(165)
Product COGS	3,755	3,891	2,627	1,934	1,394	-	-	(381)	-	(67)	(2,893)	(2,650)	(341)	(318)	-
Franchise – Marketing	1,709	2,169	2,816	3,253	3,208	-	-	-	-	-	-	-	-	-	-
Store COGS	1,185	2,217	2,061	2,095	1,229	-	-	-	-	-	(609)	(690)	(659)	(681)	(165)
Gross profit	23,074	27,996	26,185	25,563	24,706	-	-	381	-	67	(5,288)	(5,326)	(2,308)	(1,400)	(720)
SG&A	15,468	20,581	21,465	19,969	16,998	(305)	(607)	(532)	(431)	(583)	(2,236)	(3,096)	(3,843)	(3,078)	(347)
Labor cost	7,244	9,835	9,811	9,866	8,477	(11)	(233)	-	-	-	(928)	(1,473)	(2,063)	(1,624)	35
Service fees	1,676	2,026	2,248	2,001	2,269	(42)	(21)	(123)	(55)	(76)	(54)	(88)	(95)	(90)	(27)
Rental cost	1,446	1,669	1,692	1,448	940	(243)	(245)	(128)	-	-	(701)	(755)	(789)	(710)	(200)
Travel Expenses	373	625	996	1,017	874	-	-	-	-	-	(0)	(0)	-	-	-
Advertising & Marketing Expenses	200	676	775	866	820	(10)	(108)	(261)	(310)	(310)	(39)	(111)	(58)	(55)	(16)
Freight Expenses	886	1,177	959	735	482	-	-	-	-	-	(193)	(194)	(203)	(171)	(51)
D&A	2,448	2,742	2,903	2,363	2,074	-	-	-	-	-	-	-	-	-	-
Utility Expenses	145	282	277	289	218	-	-	-	-	-	(75)	(105)	(107)	(109)	(33)
Insurance Expenses	117	174	201	237	191	-	-	-	-	-	(27)	(37)	(34)	(38)	(8)
Research & Development Expenses	114	178	173	231	279	-	-	-	-	-	-	-	-	-	-
Others	818	1,197	1,430	917	375	-	-	(20)	(67)	(197)	(219)	(335)	(493)	(281)	(47)
EBIT	7,606	7,415	4,720	5,593	7,708	305	607	913	431	650	(3,052)	(2,230)	1,535	1,678	(373)
D&A	2,679	2,928	3,068	2,525	2,221	-	-	-	-	-	-	-	-	-	-
EBITDA	10,285	10,343	7,788	8,119	9,929	305	607	913	431	650	(3,052)	(2,230)	1,535	1,678	(373)
KPIs															
Gross margin	77.6%	77.2%	77.7%	77.8%	80.9%										
EBIT margin	25.6%	20.4%	14.0%	17.0%	25.2%										
EBITDA margin	34.6%	28.5%	23.1%	24.7%	32.5%										

Source: Management information and EY analysis

[Adjusted P/L] Adjusted P/L, reflecting Management and EY Normalized adjustments, and Pro-forma P/L, further reflecting Pro-forma adjustments, for the period from FY21 to LTMNov25 are as follows.

Summary of Adjusted, Pro-forma P/L (cont.d)

	Adjusted P/L					Pro-forma adjustments					Pro-forma P/L				
Currency: USD k	FY21	FY22	FY23	FY24	LTM Nov25	FY21	FY22	FY23	FY24	LTM Nov25	FY21	FY22	FY23	FY24	LTM Nov25
Revenue	20,933	27,607	30,381	30,446	29,653	24	56	68	281	1,550	20,957	27,663	30,449	30,727	31,204
Product sales (FG, Merchandise)	4,244	5,411	5,672	5,919	5,191	-	-	-	32	257	4,244	5,411	5,672	5,951	5,448
Franchise revenue	13,071	15,238	16,762	17,695	18,229	24	56	68	231	1,196	13,096	15,294	16,831	17,925	19,425
Store sales	1,798	5,137	5,076	4,161	3,734	-	-	-	-	-	1,798	5,137	5,076	4,161	3,734
Other sales	1,820	1,821	2,870	2,672	2,499	-	-	-	18	97	1,820	1,821	2,870	2,690	2,596
COGS	3,147	4,937	6,122	6,284	5,600	-	-	-	32	204	3,147	4,937	6,122	6,315	5,804
Product COGS	862	1,241	1,905	1,616	1,327	-	-	-	8	63	862	1,241	1,905	1,624	1,391
Franchise – Marketing	1,709	2,169	2,816	3,253	3,208	-	-	-	24	140	1,709	2,169	2,816	3,277	3,349
Store COGS	576	1,527	1,402	1,414	1,065	-	-	-	-	-	576	1,527	1,402	1,414	1,065
Gross profit	17,785	22,670	24,258	24,163	24,053	24	56	68	249	1,347	17,810	22,726	24,327	24,412	25,400
SG&A	12,927	16,878	17,090	16,460	16,068	-	-	-	-	-	12,927	16,878	17,090	16,460	16,068
Labor cost	6,305	8,129	7,748	8,242	8,512	-	-	-	-	-	6,305	8,129	7,748	8,242	8,512
Service fees	1,581	1,917	2,030	1,857	2,166	-	-	-	-	-	1,581	1,917	2,030	1,857	2,166
Rental cost	502	669	775	738	740	-	-	-	-	-	502	669	775	738	740
Travel Expenses	373	625	996	1,017	874	-	-	-	-	-	373	625	996	1,017	874
Advertising & Marketing Expenses	151	458	456	502	494	-	-	-	-	-	151	458	456	502	494
Freight Expenses	693	983	756	564	431	-	-	-	-	-	693	983	756	564	431
D&A	2,448	2,742	2,903	2,363	2,074	-	-	-	-	-	2,448	2,742	2,903	2,363	2,074
Utility Expenses	70	177	169	180	185	-	-	-	-	-	70	177	169	180	185
Insurance Expenses	90	137	167	199	183	-	-	-	-	-	90	137	167	199	183
Research & Development Expenses	114	178	173	231	279	-	-	-	-	-	114	178	173	231	279
Others	600	862	916	569	131	-	-	-	-	-	600	862	916	569	131
EBIT	4,859	5,792	7,169	7,703	7,985	24	56	68	249	1,347	4,883	5,848	7,237	7,952	9,332
D&A	2,679	2,928	3,068	2,525	2,221	-	-	-	-	-	2,679	2,928	3,068	2,525	2,221
EBITDA	7,538	8,720	10,236	10,229	10,206	24	56	68	249	1,347	7,562	8,776	10,305	10,478	11,553
KPIs															
Gross margin	85.0%	82.1%	79.8%	79.4%	81.1%						85.0%	82.2%	79.9%	79.4%	81.4%
EBIT margin	23.2%	21.0%	23.6%	25.3%	26.9%						23.3%	21.1%	23.8%	25.9%	29.9%
EBITDA margin	36.0%	31.6%	33.7%	33.6%	34.4%						36.1%	31.7%	33.8%	34.1%	37.0%

Source: Management information and EY analysis

[Adjusted P/L] Driven by franchise expansion and overall systemwide sales growth, LTMNov25 Adjusted EBITDA increased by USD 2,668k compared to FY21, with an EBITDA margin of 34.4%.

Adjusted P/L

	Adjusted P/L				
Currency: USD k	FY21	FY22	FY23	FY24	LTM Nov25
Revenue	20,933	27,607	30,381	30,446	29,653
Product sales (FG, Merchandise)	4,244	5,411	5,672	5,919	5,191
Franchise revenue	13,071	15,238	16,762	17,695	18,229
Store sales	1,798	5,137	5,076	4,161	3,734
Other sales	1,820	1,821	2,870	2,672	2,499
COGS	3,147	4,937	6,122	6,284	5,600
Product COGS	862	1,241	1,905	1,616	1,327
Franchise – Marketing	1,709	2,169	2,816	3,253	3,208
Store COGS	576	1,527	1,402	1,414	1,065
Gross profit	17,785	22,670	24,258	24,163	24,053
SG&A	12,927	16,878	17,090	16,460	16,068
Labor cost	6,305	8,129	7,748	8,242	8,512
Service fees	1,581	1,917	2,030	1,857	2,166
Rental cost	502	669	775	738	740
Travel Expenses	373	625	996	1,017	874
Advertising & Marketing Expenses	151	458	456	502	494
Freight Expenses	693	983	756	564	431
D&A	2,448	2,742	2,903	2,363	2,074
Utility Expenses	70	177	169	180	185
Insurance Expenses	90	137	167	199	183
Research & Development Expenses	114	178	173	231	279
Others	600	862	916	569	131
EBIT	4,859	5,792	7,169	7,703	7,985
D&A	2,679	2,928	3,068	2,525	2,221
EBITDA	7,538	8,720	10,236	10,229	10,206
KPIs					
Gross margin	85.0%	82.1%	79.8%	79.4%	81.1%
EBIT margin	23.2%	21.0%	23.6%	25.3%	26.9%
EBITDA margin	36.0%	31.6%	33.7%	33.6%	34.4%

Source: Management information and EY analysis

As of LTMNov25, Revenue was USD 29,653k, an increase of USD 8,721k compared to FY21, while Adjusted EBITDA reached USD 10,206k, up USD 2,668k from FY21. During the period from FY21 to LTMNov25, the EBITDA margin decreased from 36.0% to 34.4%.

- **Revenue** : Supported by store expansion and systemwide sales growth, revenue increased across all segments, with particularly strong growth in Franchise revenue.
- **Franchise revenue** : Comprised of Initial Fee, Royalty Revenue, and Marketing Revenue. Franchise revenue growth was driven by the global expansion of franchised store count and systemwide sales growth.
- **COGS** : Marketing COGS has increased due to systemwide sales growth, and the marketing fund rate increase in Sep22 (from 1.0% to 1.5%).
- **SG&A** : SG&A increased in FY22 due to the acquisition of Allston equity store, primarily driven by higher labor costs, but has since remained stable.
- **EBITDA & EBITDA margin** : With continued growth in franchised store count and systemwide sales, Royalty revenue has steadily increased from USD 10,430k in FY21 to USD 14,280k in LTMNov25. While the addition of equity stores in FY22 caused a slight decline in EBITDA margin, subsequent growth in Royalty revenue drove a 2.8%p increase, from 31.6% in FY22 to 34.4% in LTMNov25.

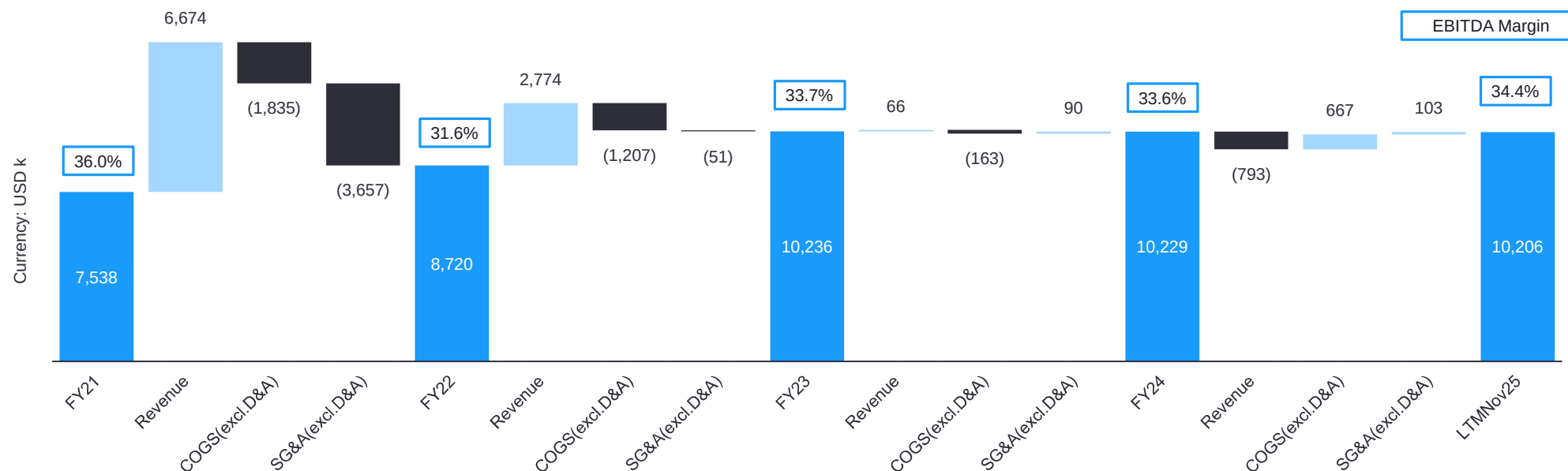
[Adjusted EBITDA bridge] Supported by store expansion and systemwide sales growth across the U.S. and global markets, the Company has achieved EBITDA growth and EBITDA margin expansion since FY22.

From FY21 to LTMNov25, Adjusted EBITDA grew 35.4% from USD 7,538k to USD 10,206k, while the EBITDA margin decreased from 36.0% to 34.4% over the same period.

- FY21 ~ FY22 : Allston, previously operated as a franchised store, was acquired in Dec21 and converted into an equity store, resulting in higher revenue, COGS, and SG&A. The EBITDA uplift from the Allston acquisition in FY22 was USD 342k. Systemwide sales during FY22 reached USD 327,352k, up 18.4% year-over-year, driving an increase of USD 1,820k in Royalty revenue. Due to higher SG&A, like advertising & marketing expenses, EBITDA increase amounted to USD 1,183k in FY22 from FY21. EBITDA margin slightly declined due to the increase in lower-margin equity store revenue.

- FY22 ~ LTMNov25 : Franchised store count and systemwide sales continued to grow, leading to a steady increase in Royalty revenue from USD 12,249k in FY22 to USD 14,280k in LTMNov25. While minor cost fluctuations occurred depending on the operating performance of equity stores, overall costs remained stable. As a result of the increase in Royalty revenue, the EBITDA margin rose by 2.8%p, from 31.6% in FY22 to 34.4% in LTMNov25.

Adjusted EBITDA bridge



Source: Management information and EY analysis

2

Company overview

[Company overview] Bonchon International Inc. and its subsidiaries operates a Korean Fried Chicken business through equity and franchised stores.

Company overview

Item	Description
Target	Bonchon International Inc.
Address	48 Myeongnye Industrial Complex 2-ro, Janganeup, Gijang-gun, Busan
Established	November 16, 2012
Business	Manufacturing and distribution of specialty seasoning sauces and operation of franchise business
Headcount	28, as of Nov 25 (including 1 outsourced personnel)
Capital	USD 361k (as of Nov25)
Shareholders	B-plus Investment Purpose Company 55%, Chairman Seo and others 45%

Source: Management information and EY analysis

Key milestones

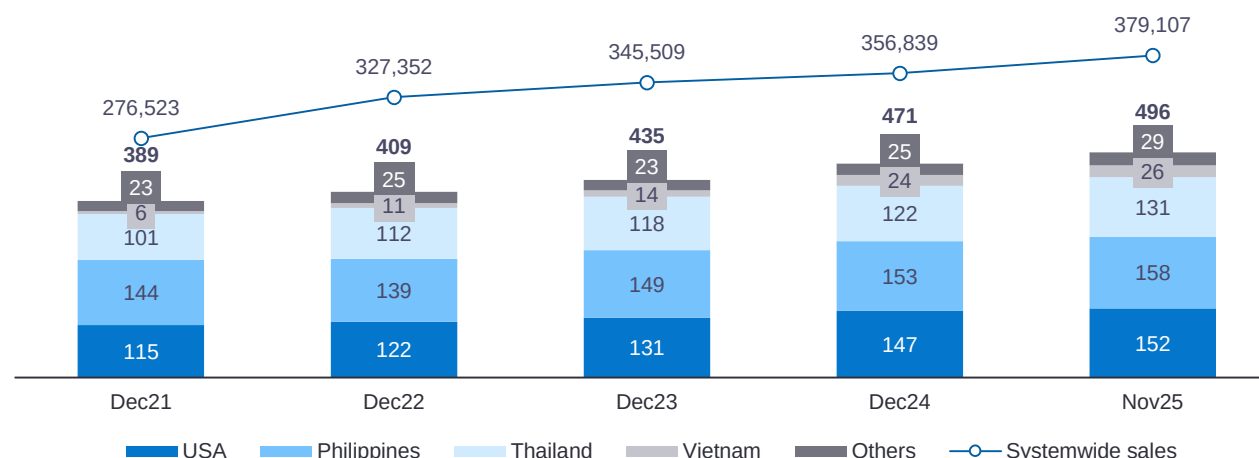
Year	Description
2010	Opened first U.S. store
2010	Entered Philippines and Thailand market
2012	Established Bonchon International Inc.
2014	Launched 100 th store globally
2016	Launched 200 th store globally
2018	Change in the controlling shareholder (Chairman Seo and others → B-plus Investment Purpose Company)
2021	Entered Europe market
2022	Launched 400 th store globally
2025	Expected to launch 500 th store globally

Source: Management information and EY analysis

Company overview

- Bonchon International Inc. was established in 2012 and is primarily engaged in manufacturing and distribution of specialty seasoning sauces and operation of franchise business
- The Company operates both equity and franchised stores in the U.S., while expanding its business in other global markets through Master Franchise (MF) format. Systemwide sales increased from USD 276,523k in FY21 to USD 379,107k in LTMNov25, representing a CAGR of 8.4%.
- As of Nov25, total store count is 496 with majority of the stores located in the U.S. (152 stores), the Philippines (158 stores), and Thailand (131 stores).
- As of Nov25, total headcount is 28 (including 1 outsourced personnel) for International Inc. and 39 (including 1 outsourced personnel) for USA Inc.
- As of Nov25, International Inc.'s capital stock amounts to USD 361k with shareholders comprising B-plus Investment Purpose Company (55.0%), Chairman Seo and others (45.0%)

Historical systemwide sales¹ and store count trend

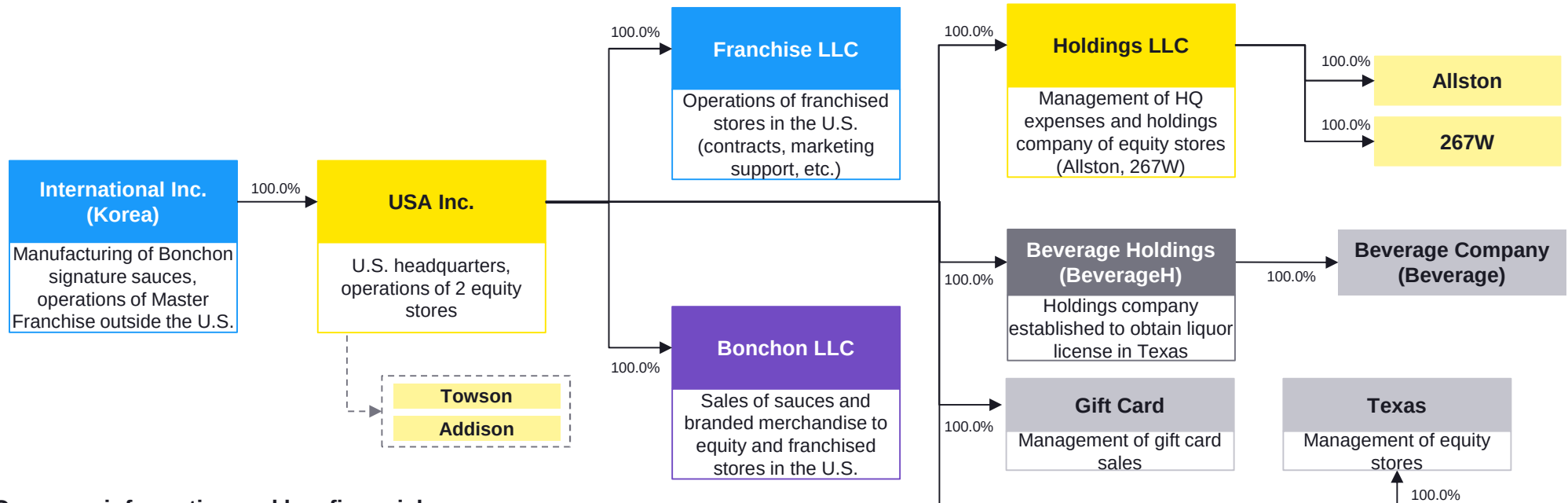


Source: Management information and EY analysis

1 Systemwide sales figures based on LTM basis. For equity stores, certain discrepancies of systemwide sales figures exist between managerial and financial P/L.

[Company structure] As of Nov25, International Inc., the parent company, owns a total of 10 subsidiaries, all of which are 100% wholly owned.

Company structure, as of Nov25



Company information and key financials

Entity	Business Description	Financial Information (LTMNov25)			
		Revenue	EBITDA	Asset	Equity
Bonchon International Inc.	Manufactures and supplies signature sauces to Master Franchises (MF) and oversees franchise operations outside the U.S.	10,224	7,069	53,750	49,628
Bonchon USA Inc.	Functions as the U.S. holding company and headquarters, and operates equity stores	2,399	(955)	20,797	20,361
Bonchon Franchise LLC	Oversees U.S. franchise operations, including franchisee management and administration of the Marketing Fund.	13,852	2,403	7,870	4,894
Bonchon LLC	Supplies signature sauces and other merchandise to equity and franchised stores in the U.S. and earns distribution margins.	2,391	1,329	2,374	2,196
Bonchon Holdings Beverage LLC	Holdings company of Bonchon Beverage Company LLC	-	-	-	-
Bonchon Beverage Company LLC	Established to obtain a liquor license for equity stores in Texas	-	-	-	-
Bonchon Gift card	Oversees sales and management of gift cards	2	2	233	3
Bonchon Holdings LLC	Holdings company of equity store entities 267W LLC and Bonchon Allston LLC and manages shared cost of HQ	7,908	308	4,366	3,757
267W LLC	Equity store	33	(55)	504	503
Bonchon Allston LLC	Equity store	1,871	(174)	1,013	955
Bonchon Texas LLC	Established to oversee and manage equity stores in Texas	-	-	47	47

Source: Management information and EY analysis

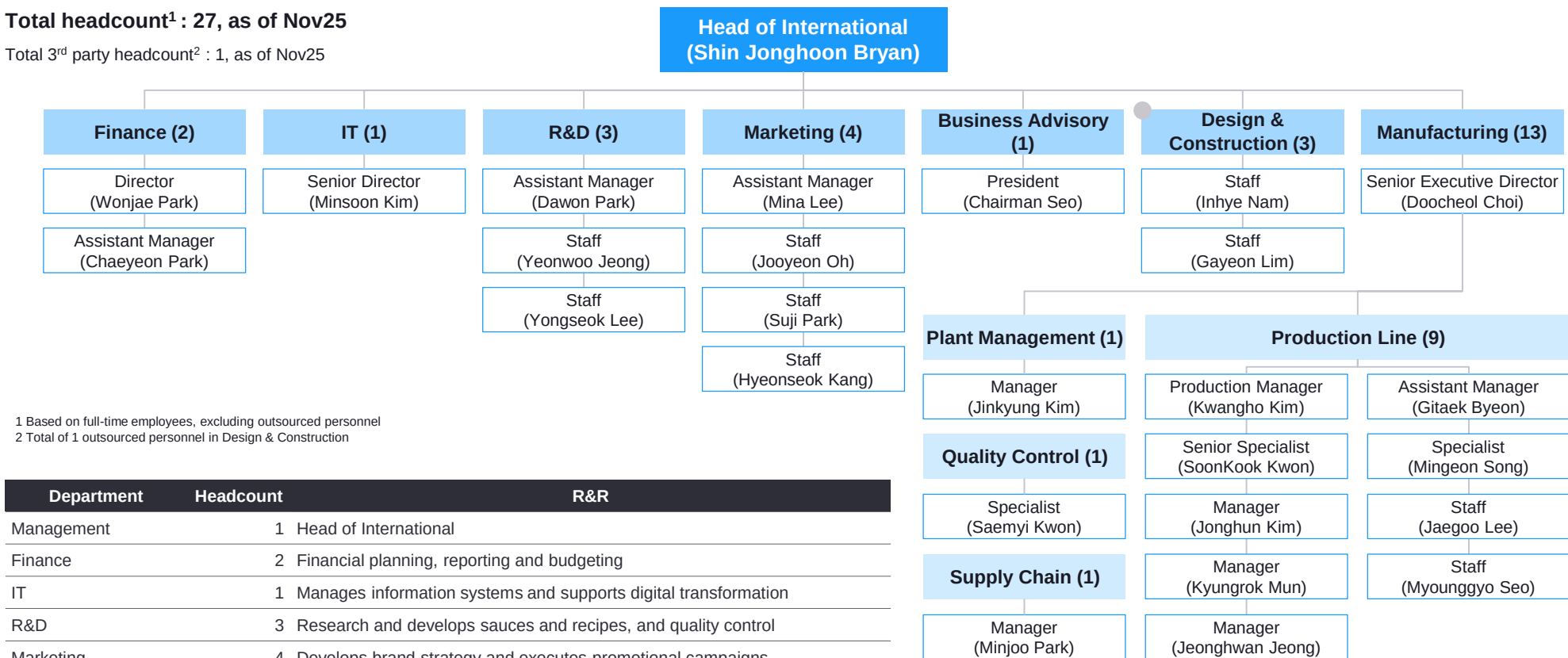
[Organizational structure] As of Nov25, International Inc. has a total of 27 full-time employees and 1 outsourced personnel, with key departments being the R&D and Manufacturing teams for developing and supplying signature sauces to franchised stores outside the U.S.

Organizational structure (International Inc.), as of Nov25

● Includes 3rd party personnel

Total headcount¹ : 27, as of Nov25

Total 3rd party headcount² : 1, as of Nov25



1 Based on full-time employees, excluding outsourced personnel
2 Total of 1 outsourced personnel in Design & Construction

Department	Headcount	R&R
Management	1	Head of International
Finance	2	Financial planning, reporting and budgeting
IT	1	Manages information systems and supports digital transformation
R&D	3	Research and develops sauces and recipes, and quality control
Marketing	4	Develops brand strategy and executes promotional campaigns
Manufacturing	13	Sauce production
Design & Construction	3	Handles store design, layout planning and construction project management
Business Advisory	1	Provides strategic guidance and supports business decision-making
Total	28	

Source: Management information and EY analysis

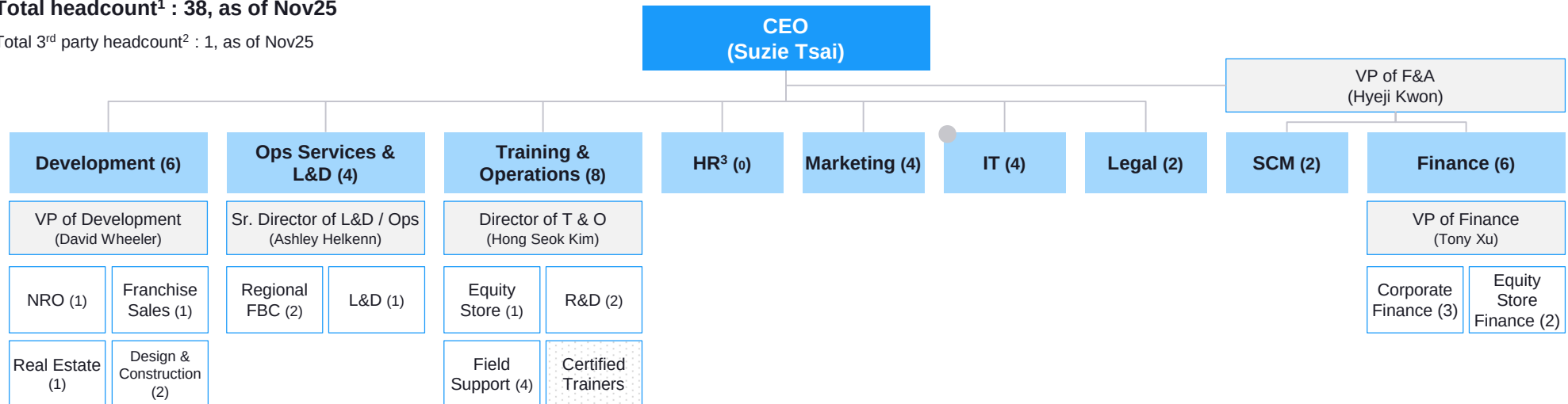
[Organizational structure] As of Nov25, USA Inc. has a total of 38 full-time employees and 1 outsourced personnel, with an organizational structure that supports the establishment and operations of equity and franchised stores in the U.S.

Organizational structure (USA Inc.), as of Nov25

● Includes 3rd party personnel

Total headcount¹ : 38, as of Nov25

Total 3rd party headcount² : 1, as of Nov25



1 Based on full-time employees, excluding outsourced personnel and equity store employees

2 Total of 1 outsourced personnel in IT

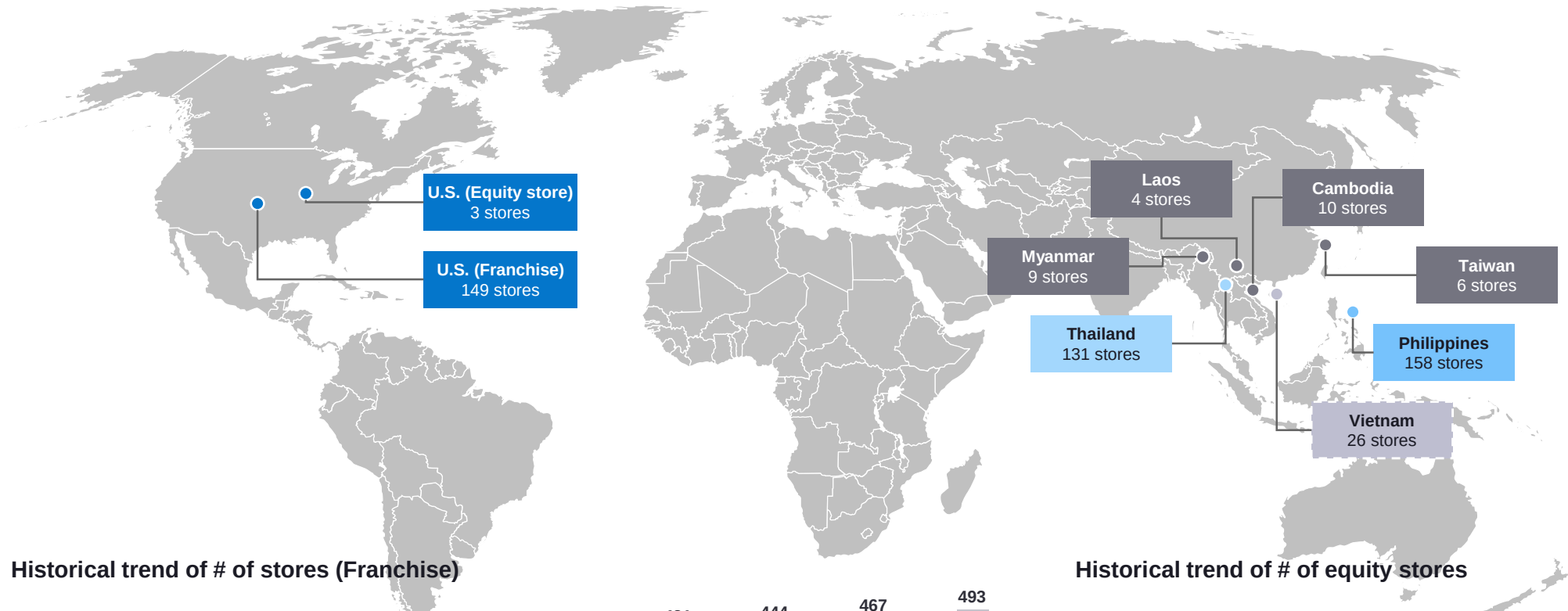
3 Hiring in process

Department	R&R	Department	R&R
NRO	Oversees overall new restaurant openings, including operational setup	Certified Trainers	Trained in-store trainers
Franchise Sales	Manages franchise recruitment, transfers, and store sales.	HR	Manages recruitment, employee relations, and organizational development
Real Estate	Responsible for ADA site selection and property management	Marketing	Develops brand strategy and executes promotional campaigns
Design & Construction	Handles store design, layout planning and construction project	IT	Manages information systems and supports digital transformation
Regional FBC	Provides consulting and partnership support for franchisees	Legal	Provides legal advisory and contract support
L&D	Delivers training and education for franchisees prior to store openings	SCM	Manages procurement, logistics, and supply chain efficiency
Equity Store	Manages equity stores and monitors performance	Corporate Finance	Oversees financial planning, reporting, and treasury management
R&D	Research and develops sauces and recipes, and quality control	Equity Store Finance	Handles financial reporting and management for equity stores
Field Support	Provides operational support by delivering on-site training prior to opening		

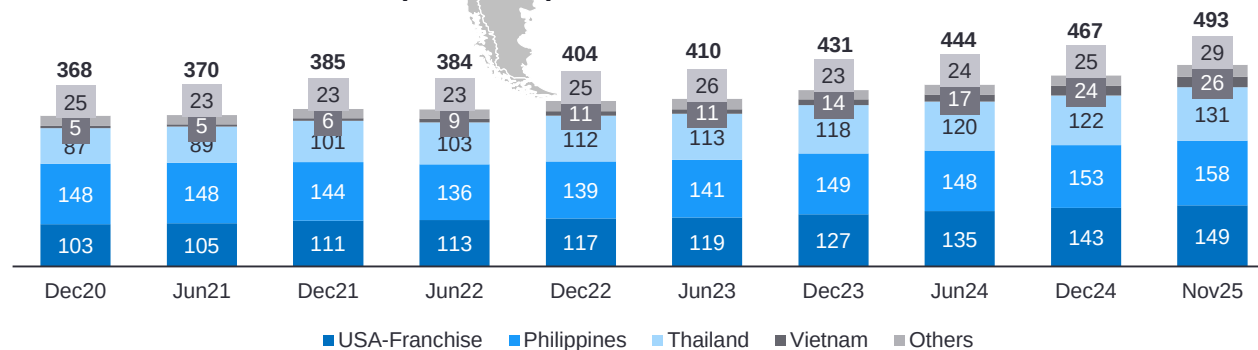
Source: Management information and EY analysis

[Geographical footprint] As of Nov25, the Company operates 493 franchised stores globally (344 in Asia, 149 in the U.S.) and 3 equity stores in the U.S.

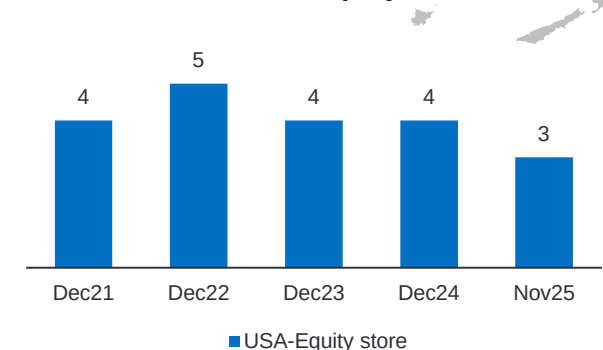
Geographical footprint, as of Nov25



Historical trend of # of stores (Franchise)



Historical trend of # of equity stores



Source: Management Information and EY analysis

[Business overview] Sauces produced at the Busan plant are supplied to Non-U.S. markets, while in the U.S., sauces are manufactured locally and distributed to both equity and franchised stores. Royalty revenue is recognized by applying a fixed percentage of royalty rate to systemwide sales.

Business overview

Sauce & Merchandise sales

International
(Busan plant)

3rd party OEM

DC

Non-U.S.

U.S.

Revenue				
USD k	Entity	Region	LTMNov25	Comp. %
Sauce sales	International	Thailand	3,268	43.5%
		Philippines	1,508	20.1%
		Others	228	3.0%
Merchandise	International	France	41	0.5%
		Vietnam	48	0.6%
		Others	71	0.9%
Others	Bonchon LLC	USA	27	0.4%
Total			7,515	100.0%

International - Sauce Manufacturing cost				KENS / TKA Sauce Production / Sales price			
USD k	LTM Nov25	Comp. %	USD	Total Cost	Selling price	Margin	
R.M.	609	45.8%	Original	103.67	200.00	96.33	
Supplies	4	0.3%	Spicy	110.47	200.00	89.53	
Labor	340	25.5%	Yang nyeom	109.87	200.00	90.13	
Overhead	378	28.4%	Korean BBQ	68.17	150.00	81.83	
Total	1,331	100.0%					

Non-U.S. : Bonchon signature sauces produced at the Busan plant are sold to Master Franchisees in Non-U.S. markets.

U.S. : Sauces are manufactured by local third-party vendors, and the Company recognizes only brand sauce margin per unit sold (Total cost = manufacturing cost + logistics + distribution center margin)

Franchise & Equity store sales

Franchise

International

Franchise LLC

Master Franchise

Franchised stores

Franchised stores

Equity store

USA Inc.

Addison

Towson

Allston

Revenue				
USD k	Entity	Sales	LTMNov25	Comp. %
Franchise	Inter national (non-U.S.)	Initial Fee	81	0.4%
		Royalty	4,614	20.0%
		Others	228	1.0%
	Franchise LLC (U.S.)	Initial Fee	747	3.2%
		Royalty	9,667	42.0%
		Marketing	3,208	13.9%
Equity store sales	USA Inc. , Allston, 267W		4,302	18.7%
Others	Franchise LLC, Bonchon LLC, Giftcard, Holdings		175	0.8%
Total			23,022	100.0%

Payment Collection and Terms

Initial Fee : Varies by store type and country (USD 5k ~ 35k)

Royalty rate : Varies by country (2.0% ~ 4.7% of systemwide sales)

MF Fee : Upon execution of the MFA, USD 300k - 500k is collected and recognized as revenue over the contract term on an amortized basis.

U.S. : Royalty income is invoiced weekly and collected thereafter.

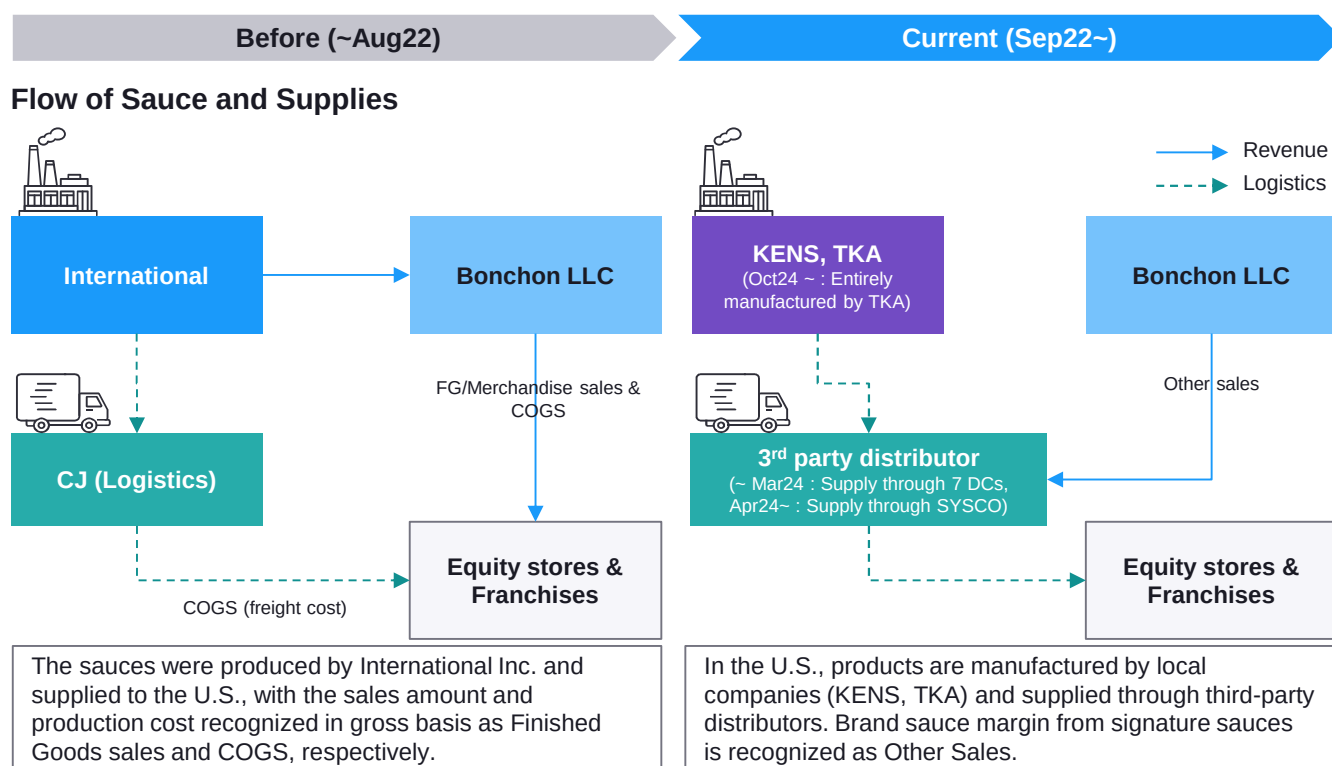
Non-U.S. : Collected within 10 days after month-end closing.

Systemwide sales by country			
USD k	LTMNov25	Comp. %	Royalty %
US	210,143	55.4%	
Equity	4,325	1.1%	
Franchise	205,818	54.3%	4.7%
Thailand	80,697	21.3%	3.3%
Philippines	68,930	18.2%	2.3%
France	4,151	1.1%	3.5%
Vientnam	5,098	1.3%	1.2%
Myanmar	4,564	1.2%	
Taiwan	3,243	0.9%	3.0%
Cambodia	1,659	0.4%	2.2%
Laos	534	0.1%	3.5%
Singapore	87	0.0%	0.0%
Total	379,107	100.0%	

Source: Management Information and EY analysis

Source: Management Information and EY analysis

[Change in U.S. Revenue Structure] Since Sep22, sauces and merchandise have been produced locally and delivered to stores via 3rd party DCs, with the Company recognizing only the brand margin from sauce sales. Royalty and Marketing Fund rates were also revised.



New business model

- To maximize franchisee profitability and drive the expansion of store count as well as growth in systemwide sales, the Company introduced a new business model. Under this model, the royalty rate for franchisees was slightly increased while the selling price of sauces was reduced. In line with this decision, the Company also decided to shift sauce production to the U.S.
- Although, the unit economics of producing and distributing sauces in the U.S. were less favorable compared to sourcing from Korea, management anticipated securing sufficient profitability through overall store expansion.
- In addition, given the potential supply constraints of sourcing all sauces from Korea and the heightened logistics risks during COVID-19, the Company decided to relocate sauce production to the U.S.
- U.S. Store Sauce Supply : Until Aug22, International Inc. supplied sauces and merchandise to the U.S., with sauces produced at the Busan plant and sold to the U.S. through Bonchon LLC. From Sep22, a new business model was adopted under which signature sauces are produced by local U.S. manufacturers and distributed to both equity and franchised stores through 3rd party distributors.
- Sauce pricing : When supplied by International Inc., the selling price per unit was USD 300. Under the new business model, franchisees that agreed to the new terms purchase sauces at USD 130 (USD 150 from Mar23). The change was implemented in conjunction with applying a uniform 5% royalty rate, resulting in a lower sauce price.

Revenue structure by type

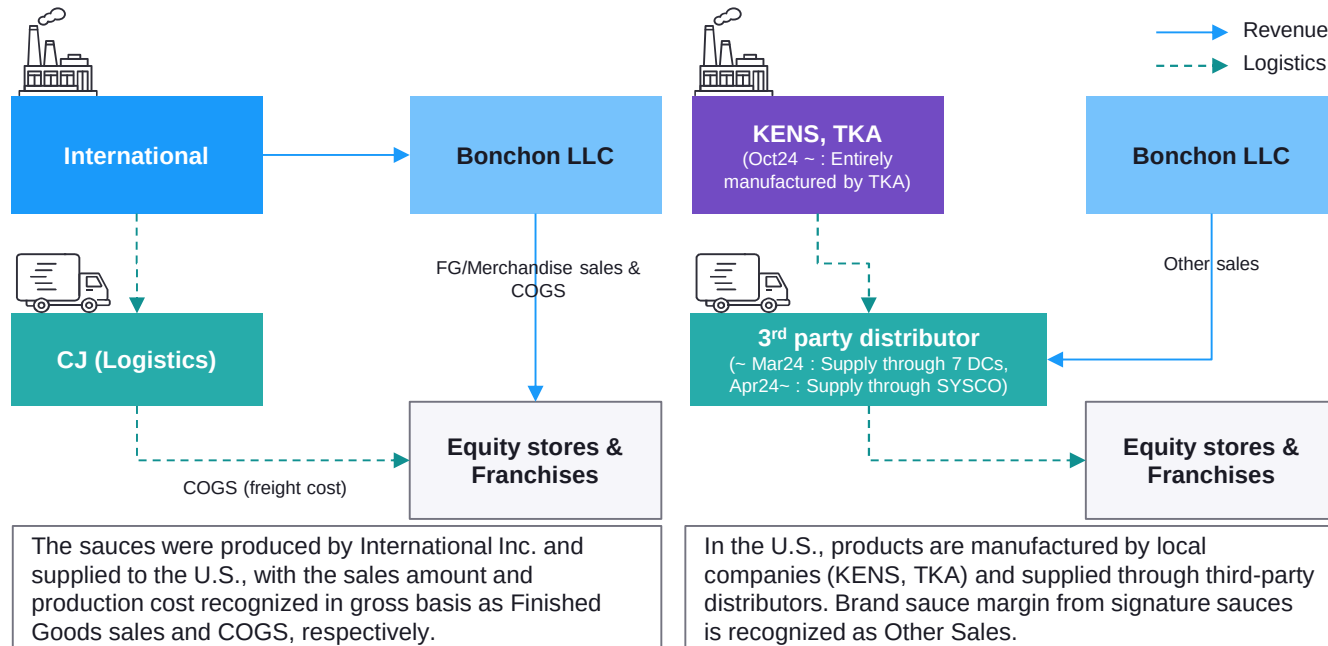
Currency: USD		~ Aug22	Sep22 ~	Jul25 ~
New Business Model				
Royalty %	3.75 ~ 4.75%	5.0%	5.0%	
Marketing fund	1.0%	1.5%	1.5%	
Sauce	300	130 (Mar23~ 150)	150/200	
Size per case	3.2Gal	4.0Gal	4.0Gal / 4.8Gal	
Manufacturer	International Inc.	KENS	KENS / TKA	
Distribution channel	Bonchon LLC	SYSCO		
Revenue / Cost recognition	Gross Revenue / COGS	Distribution Margin		
Original Business Model				
Royalty %	3.75 ~ 4.75%	3.75 ~ 4.75%	3.75 ~ 4.75%	
Marketing fund	1.0%	1.5%	1.5%	
Sauce	300	300 (Mar23~ 320)	320/404	
Size per case	3.2Gal	4.0Gal	4.0Gal / 4.8Gal	

Source: Management Information and EY analysis

[Change in U.S. Revenue Structure] Since Sep22, sauces and merchandise have been produced locally and delivered to stores via 3rd party DCs, with the Company recognizing only the brand margin from sauce sales. Royalty and Marketing Fund rates were also revised.



Flow of Sauce and Supplies



- Franchise Royalty : Previously, each store applied a rate of 3.75% to 4.75% depending on the agreement. Under the new business model, however, franchisees that agreed to adopt the model are subject to a flat rate of 5.0%. A limited number of existing franchisees who did not adopt the new business model continue to be charged under the legacy structure, including the previous margin rates and source product pricing.

Other changes

- Marketing fund : The uniform rate applied to all stores was increased from 1.0% to 1.5% starting Sep22.
- Sauce production
 - Yangnyeom : Launched as LTO in Jun23, initially produced by both KENS and TKA depending on region but consolidated to TKA for all production from Oct24 since relaunch.
 - Original (Soy garlic), Spicy sauce : Production was transferred to TKA from Jul25.
 - Korean BBQ sauce : Co-developed with KENS, production continues with KENS.

Revenue structure by type

Currency: USD	~ Aug22	Sep22 ~	Jul25 ~
New Business Model			
Royalty %	3.75 ~ 4.75%	5.0%	5.0%
Marketing fund	1.0%	1.5%	1.5%
Sauce	300	130 (Mar23~ 150)	150/200
Size per case	3.2Gal	4.0Gal	4.0Gal / 4.8Gal
Manufacturer	International Inc.	KENS	KENS / TKA
Distribution channel	Bonchon LLC	SYSCO	
Revenue / Cost recognition	Gross Revenue / COGS	Distribution Margin	
Original Business Model			
Royalty %	3.75 ~ 4.75%	3.75 ~ 4.75%	3.75 ~ 4.75%
Marketing fund	1.0%	1.5%	1.5%
Sauce	300	300 (Mar23~ 320)	320/404
Size per case	3.2Gal	4.0Gal	4.0Gal / 4.8Gal

Source: Management Information and EY analysis

3

Consolidated FS

[Consolidated P/L, reported] The consolidated P/L and adjustments during FY21 ~ 11m25 are as follows.

Consolidated P/L, reported

	Consolidated					Consol. adjustments					Combined (International + USA)				
Currency: USD k	FY21	FY22	FY23	FY24	11m25	FY21	FY22	FY23	FY24	11m25	FY21	FY22	FY23	FY24	11m25
Revenue	29,723	36,273	33,688	32,845	27,968	(7,706)	(700)	(139)	(137)	(8)	37,429	36,973	33,827	32,982	27,975
Merchandise sales	1,979	1,715	1,220	922	171	(490)	(93)	(8)	(8)	(8)	2,468	1,808	1,228	930	178
Finished goods sales	11,615	10,612	4,774	5,323	4,712	(7,103)	(488)	-	-	-	18,718	11,100	4,774	5,323	4,712
Franchise - Initial fee	543	1,261	1,097	681	765	-	-	-	-	-	543	1,261	1,097	681	765
Franchise - Royalty	9,892	11,911	12,851	13,406	13,038	-	-	-	-	-	9,892	11,911	12,851	13,406	13,038
Franchise - Marketing	1,709	2,169	2,816	3,253	2,949	-	-	-	-	-	1,709	2,169	2,816	3,253	2,949
Franchise - Others	108	129	138	179	214	-	-	-	-	-	108	129	138	179	214
Store sales	3,502	7,332	7,478	6,409	3,841	-	-	-	-	-	3,502	7,332	7,478	6,409	3,841
Other sales	375	1,145	3,314	2,673	2,278	(113)	(119)	(130)	(129)	-	489	1,265	3,444	2,802	2,278
COGS	6,650	8,277	7,503	7,282	5,335	(6,003)	(3,271)	(40)	(7)	(11)	12,653	11,548	7,543	7,289	5,346
Cost of Sales-Merchandise	1,306	1,373	1,259	628	135	(432)	(151)	(28)	(7)	(11)	1,738	1,525	1,287	635	146
Cost of Sales-Sauce	2,449	2,518	1,368	1,306	1,161	(5,571)	(3,120)	(11)	-	-	8,020	5,638	1,379	1,306	1,161
Franchise - Marketing	1,709	2,169	2,816	3,253	2,949	-	-	-	-	-	1,709	2,169	2,816	3,253	2,949
Store COGS	1,185	2,217	2,061	2,095	1,090	-	-	-	-	-	1,185	2,217	2,061	2,095	1,090
Other COGS	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Gross profit	23,074	27,996	26,185	25,563	22,633	(1,703)	2,571	(99)	(130)	4	24,777	25,425	26,284	25,693	22,629
SG&A	15,468	20,581	21,465	19,969	15,083	(89)	(98)	(109)	(109)	18	15,557	20,678	21,573	20,078	15,065
Labor cost	7,244	9,835	9,811	9,866	7,358	-	-	-	-	-	7,244	9,835	9,811	9,866	7,358
Service fees	1,676	2,026	2,248	2,001	2,034	(113)	(119)	(130)	(129)	-	1,790	2,145	2,378	2,130	2,034
Rental cost	1,446	1,669	1,692	1,448	821	-	-	-	-	-	1,446	1,669	1,692	1,448	821
Travel Expenses	373	625	996	1,017	796	-	-	-	-	-	373	625	996	1,017	796
Advertising & Marketing Expenses	200	676	775	866	448	-	-	-	-	-	200	676	775	866	448
Freight Expenses	886	1,177	959	735	430	-	-	-	-	-	886	1,177	959	735	430
D&A	2,448	2,742	2,903	2,363	1,884	24	22	21	20	18	2,423	2,721	2,882	2,342	1,866
Utility Expenses	145	282	277	289	194	-	-	-	-	-	145	282	277	289	194
Insurance Expenses	117	174	201	237	171	-	-	-	-	-	117	174	201	237	171
Research & Development Expenses	114	178	173	231	242	-	-	-	-	-	114	178	173	231	242
Others	818	1,197	1,430	917	705	-	-	-	-	-	818	1,197	1,430	917	705
EBIT	7,606	7,415	4,720	5,593	7,550	(1,614)	2,669	10	(22)	(14)	9,220	4,746	4,710	5,615	7,565
D&A	2,679	2,928	3,068	2,525	2,017	24	22	21	20	18	2,655	2,906	3,046	2,505	1,999
EBITDA	10,285	10,343	7,788	8,119	9,567	(1,590)	2,690	31	(1)	4	11,875	7,653	7,757	8,120	9,563
Other income	820	2,057	1,276	2,966	2,421	-	(2,317)	-	-	-	820	4,374	1,276	2,966	2,421
Other expenses	476	1,085	2,131	1,960	1,688	(2,190)	-	(1,356)	(2,599)	-	2,666	1,085	3,487	4,559	1,688
Income before income taxes	7,950	8,388	3,866	6,599	8,284	576	352	1,366	2,577	(14)	7,374	8,036	2,500	4,022	8,298
Corporate tax	1,995	1,075	1,065	1,993	1,436	-	-	-	-	-	1,995	1,075	1,065	1,993	1,436
Net income (loss)	5,955	7,313	2,801	4,606	6,848	576	352	1,366	2,577	(14)	5,380	6,960	1,435	2,028	6,862
KPIs															
Gross margin	77.6%	77.2%	77.7%	77.8%	80.9%						66.2%	68.8%	77.7%	77.9%	80.9%
EBIT margin	25.6%	20.4%	14.0%	17.0%	27.0%						24.6%	12.8%	13.9%	17.0%	27.0%
EBITDA margin	34.6%	28.5%	23.1%	24.7%	34.2%						31.7%	20.7%	22.9%	24.6%	34.2%
NI margin	20.0%	20.2%	8.3%	14.0%	24.5%						14.4%	18.8%	4.2%	6.1%	24.5%

Source: Management information and EY analysis

[Combined P/L, reported] The separate financial statements of the ultimate parent company, International Inc., and the consolidated P/L of the intermediate holding company, USA Inc., are as follows.

Combined P/L, reported

	Combined (International + USA)					International Inc.					USA Inc. (Consol.)				
Currency: USD k	FY21	FY22	FY23	FY24	11m25	FY21	FY22	FY23	FY24	11m25	FY21	FY22	FY23	FY24	11m25
Revenue	37,429	36,973	33,827	32,982	27,975	14,913	9,983	9,075	10,257	9,306	22,516	26,990	24,752	22,726	18,670
Merchandise sales	2,468	1,808	1,228	930	178	555	161	104	206	153	1,913	1,647	1,124	724	25
Finished goods sales	18,718	11,100	4,774	5,323	4,712	11,366	5,852	4,764	5,323	4,712	7,352	5,248	9	-	-
Franchise - Initial fee	543	1,261	1,097	681	765	102	146	118	134	55	441	1,115	979	547	710
Franchise - Royalty	9,892	11,911	12,851	13,406	13,038	2,666	3,576	3,820	4,286	4,172	7,226	8,334	9,032	9,120	8,867
Franchise - Marketing	1,709	2,169	2,816	3,253	2,949	-	-	-	-	-	1,709	2,169	2,816	3,253	2,949
Franchise - Others	108	129	138	179	214	108	129	138	179	214	-	-	-	-	-
Store sales	3,502	7,332	7,478	6,409	3,841	-	-	-	-	-	3,502	7,332	7,478	6,409	3,841
Other sales	489	1,265	3,444	2,802	2,278	116	119	130	129	-	373	1,145	3,314	2,673	2,278
COGS	12,653	11,548	7,543	7,289	5,346	2,595	1,446	1,406	1,380	1,219	10,057	10,102	6,136	5,909	4,127
Cost of Sales-Merchandise	1,738	1,525	1,287	635	146	402	99	48	74	57	1,336	1,426	1,239	561	89
Cost of Sales-Sauce	8,020	5,638	1,379	1,306	1,161	2,193	1,348	1,359	1,306	1,161	5,826	4,291	21	-	-
Franchise - Marketing	1,709	2,169	2,816	3,253	2,949	-	-	-	-	-	1,709	2,169	2,816	3,253	2,949
Store COGS	1,185	2,217	2,061	2,095	1,090	-	-	-	-	-	1,185	2,217	2,061	2,095	1,090
Other COGS	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Gross profit	24,777	25,425	26,284	25,693	22,629	12,318	8,537	7,669	8,876	8,087	12,459	16,888	18,615	16,817	14,542
SG&A	15,557	20,678	21,573	20,078	15,065	2,585	2,765	2,553	2,473	2,177	12,972	17,913	19,021	17,605	12,887
Labor cost	7,244	9,835	9,811	9,866	7,358	1,312	1,183	820	1,137	1,000	5,932	8,652	8,991	8,728	6,358
Service fees	1,790	2,145	2,378	2,130	2,034	462	385	391	366	443	1,328	1,760	1,988	1,764	1,591
Rental cost	1,446	1,669	1,692	1,448	821	112	101	104	119	103	1,334	1,567	1,589	1,329	718
Travel Expenses	373	625	996	1,017	796	67	176	359	319	190	306	449	637	699	606
Advertising & Marketing Expenses	200	676	775	866	448	4	189	75	54	29	196	487	700	812	419
Freight Expenses	886	1,177	959	735	430	14	13	8	14	9	872	1,163	952	721	421
D&A	2,423	2,721	2,882	2,342	1,866	231	186	171	150	55	2,192	2,535	2,711	2,192	1,810
Utility Expenses	145	282	277	289	194	-	-	-	-	-	145	282	277	289	194
Insurance Expenses	117	174	201	237	171	1	2	2	2	1	116	172	199	235	169
Research & Development Expenses	114	178	173	231	242	109	154	165	200	202	5	24	8	31	40
Others	818	1,197	1,430	917	705	273	376	460	112	145	545	821	970	805	561
EBIT	9,220	4,746	4,710	5,615	7,565	9,733	5,772	5,116	6,403	5,910	(513)	(1,025)	(405)	(788)	1,655
D&A	2,655	2,906	3,046	2,505	1,999	462	371	335	313	188	2,192	2,535	2,711	2,192	1,810
EBITDA	11,875	7,653	7,757	8,120	9,563	10,195	6,143	5,451	6,716	6,098	1,679	1,510	2,306	1,404	3,465
Other income	820	4,374	1,276	2,966	2,421	731	3,366	1,196	2,926	2,421	90	1,008	81	39	(0)
Other expenses	2,666	1,085	3,487	4,559	1,688	2,524	778	2,519	2,767	1,454	142	307	968	1,792	234
Income before income taxes	7,374	8,036	2,500	4,022	8,298	7,940	8,360	3,793	6,563	6,877	(566)	(324)	(1,293)	(2,541)	1,421
Corporate tax	1,995	1,075	1,065	1,993	1,436	1,985	1,047	992	1,957	1,429	10	28	73	37	7
Net income (loss)	5,380	6,960	1,435	2,028	6,862	5,955	7,313	2,801	4,606	5,448	(576)	(352)	(1,366)	(2,577)	1,414
KPIs															
Gross margin	66.2%	68.8%	77.7%	77.9%	80.9%	82.6%	85.5%	84.5%	86.5%	86.9%	55.3%	62.6%	75.2%	74.0%	77.9%
EBIT margin	24.6%	12.8%	13.9%	17.0%	27.0%	65.3%	57.8%	56.4%	62.4%	63.5%	-2.3%	-3.8%	-1.6%	-3.5%	8.9%
EBITDA margin	31.7%	20.7%	22.9%	24.6%	34.2%	68.4%	61.5%	60.1%	65.5%	65.5%	7.5%	5.6%	9.3%	6.2%	18.6%
NI margin	14.4%	18.8%	4.2%	6.1%	24.5%	39.9%	73.2%	30.9%	44.9%	58.5%	-2.6%	-1.3%	-5.5%	-11.3%	7.6%

Source: Management information and EY analysis

[Consolidated BS, reported] The consolidated BS and adjustments during Dec21 ~ Nov25 are as follows.

Consolidated BS, reported

	Consolidated					Consol. adjustments					Combined (International + USA)				
Currency: USD k	Dec21	Dec22	Dec23	Dec24	Nov25	Dec21	Dec22	Dec23	Dec24	Nov25	Dec21	Dec22	Dec23	Dec24	Nov25
Assets	63,850	68,059	50,835	52,776	58,804	(27,655)	(25,608)	(24,241)	(21,664)	(21,755)	91,505	93,666	75,076	74,439	80,559
Current assets	34,601	39,857	26,597	31,310	39,269	(4,671)	(41)	(9)	(9)	(5)	39,272	39,898	26,605	31,318	39,274
Current asset - quick	32,963	38,449	25,741	30,807	38,808	(1,696)	-	-	-	-	34,658	38,449	25,741	30,807	38,808
Cash and Cash Equivalents	31,414	26,090	18,180	28,948	12,487	-	-	-	-	-	31,414	26,090	18,180	28,948	12,487
Trade Receivables	494	1,364	1,592	1,148	1,139	(1,196)	-	-	-	-	1,690	1,364	1,592	1,148	1,139
Other Receivables	339	1,017	47	4	1,211	(500)	-	-	-	-	839	1,017	47	4	1,211
Accrued Revenues	196	233	205	351	553	-	-	-	-	-	196	233	205	351	553
Advanced Payments	2	215	2,330	2	-	-	-	-	-	-	2	215	2,330	2	-
Prepaid Expenses	243	335	260	259	368	-	-	-	-	-	243	335	260	259	368
Other current asset - quick	276	9,195	3,127	96	23,049	-	-	-	-	-	276	9,195	3,127	96	23,049
Inventories	1,621	1,409	856	502	461	(2,976)	(41)	(9)	(9)	(5)	4,596	1,449	864	511	466
Other current assets	18	-	-	-	-	-	-	-	-	-	18	-	-	-	-
Non-current assets	29,249	28,201	24,238	21,466	19,536	(22,984)	(25,567)	(24,233)	(21,655)	(21,750)	52,233	53,768	48,471	43,121	41,285
Investments	-	789	-	-	-	(23,383)	(25,918)	(24,557)	(21,920)	(21,998)	23,383	26,708	24,557	21,920	21,998
Property, plant and equipment	8,916	8,736	7,582	6,452	6,109	-	-	-	-	-	8,916	8,736	7,582	6,452	6,109
Intangible assets	19,827	18,124	16,143	14,425	13,036	399	352	324	265	249	19,428	17,772	15,819	14,160	12,787
Other non-current assets	505	552	513	589	391	-	-	-	-	-	505	552	513	589	391
Liabilities	11,754	10,188	8,502	8,578	7,853	(1,696)	-	-	-	-	13,450	10,188	8,502	8,578	7,853
Current liabilities	8,049	7,199	5,563	5,748	5,608	(1,696)	-	-	-	-	9,744	7,199	5,563	5,748	5,608
Trade Payables	653	555	553	425	417	(1,196)	-	-	-	-	1,848	555	553	425	417
Other Payables	190	305	201	215	1,382	(500)	-	-	-	-	690	305	201	215	1,382
Withholdings	32	38	59	39	44	-	-	-	-	-	32	38	59	39	44
Unearned Revenues	-	-	-	-	(1,442)	-	-	-	-	-	-	-	-	-	(1,442)
Advances	77	2	39	-	-	-	-	-	-	-	77	2	39	-	-
Accrued Expenses	1,632	1,971	1,385	1,355	1,447	-	-	-	-	-	1,632	1,971	1,385	1,355	1,447
ST Borrowings	3,627	3,393	2,172	1,905	1,912	-	-	-	-	-	3,627	3,393	2,172	1,905	1,912
Current Portion of LT Liabilities	500	461	523	465	415	-	-	-	-	-	500	461	523	465	415
Other Current Liabilities	1,337	474	632	1,345	1,434	-	-	-	-	-	1,337	474	632	1,345	1,434
Non-current liabilities	3,705	2,989	2,939	2,829	2,245	-	-	-	-	-	3,705	2,989	2,939	2,829	2,245
LT Unearned Revenues	3,662	2,946	2,896	2,829	2,245	-	-	-	-	-	3,662	2,946	2,896	2,829	2,245
Provision for Restoration Costs	43	43	43	-	-	-	-	-	-	-	43	43	43	-	-
Stockholders' equity	52,096	57,871	42,333	44,198	50,951	(25,960)	(25,608)	(24,241)	(21,664)	(21,755)	78,056	83,478	66,574	65,862	72,706

Source: Management information and EY analysis

[Combined BS, reported] The separate financial statements of the ultimate parent company, International Inc., and the consolidated BS of the intermediate holding company, USA Inc., are as follows.

Combined BS, reported

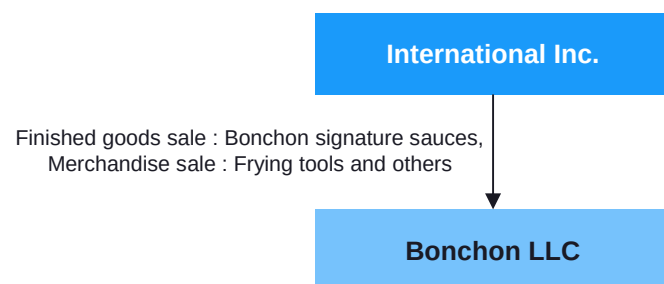
	Combined (International + USA)					International Inc.					USA Inc. (Consol.)				
Currency: USD k	Dec21	Dec22	Dec23	Dec24	Nov25	Dec21	Dec22	Dec23	Dec24	Nov25	Dec21	Dec22	Dec23	Dec24	Nov25
Assets	91,505	93,666	75,076	74,439	80,559	58,628	63,024	46,310	48,373	53,750	32,878	30,642	28,766	26,066	26,809
Current assets	39,272	39,898	26,605	31,318	39,274	28,075	29,967	15,735	21,412	26,870	11,198	9,931	10,870	9,906	12,403
Current asset - quick	34,658	38,449	25,741	30,807	38,808	27,792	29,503	15,403	21,044	26,473	6,866	8,946	10,338	9,763	12,334
Cash and Cash Equivalents	31,414	26,090	18,180	28,948	12,487	25,712	19,744	8,923	20,159	2,308	5,701	6,346	9,257	8,789	10,179
Trade Receivables	1,690	1,364	1,592	1,148	1,139	1,491	614	933	771	772	199	750	659	377	367
Other Receivables	839	1,017	47	4	1,211	500	-	0	-	1	339	1,017	47	4	1,211
Accrued Revenues	196	233	205	351	553	-	94	100	-	325	196	139	105	351	228
Advanced Payments	2	215	2,330	2	-	2	0	2,330	2	-	-	215	-	-	-
Prepaid Expenses	243	335	260	259	368	58	70	81	85	77	184	265	178	174	291
Other current asset - quick	276	9,195	3,127	96	23,049	29	8,981	3,036	27	22,991	247	214	91	68	58
Inventories	4,596	1,449	864	511	466	282	464	332	368	397	4,314	985	533	143	69
Other current assets	18	-	-	-	-	-	-	-	-	-	18	-	-	-	-
Non-current assets	52,233	53,768	48,471	43,121	41,285	30,553	33,057	30,575	26,961	26,880	21,680	20,711	17,896	16,160	14,405
Investments	23,383	26,708	24,557	21,920	21,998	23,383	26,708	24,557	21,920	21,998	-	-	-	-	-
Property, plant and equipment	8,916	8,736	7,582	6,452	6,109	6,584	5,906	5,686	4,872	4,762	2,333	2,830	1,896	1,579	1,347
Intangible assets	19,428	17,772	15,819	14,160	12,787	438	310	178	44	7	18,990	17,462	15,641	14,116	12,781
Other non-current assets	505	552	513	589	391	148	133	155	124	113	357	419	358	465	277
Liabilities	13,450	10,188	8,502	8,578	7,853	6,532	5,153	3,977	4,175	4,123	6,918	5,035	4,525	4,402	3,730
Current liabilities	9,744	7,199	5,563	5,748	5,608	5,520	4,338	3,067	3,543	3,645	4,225	2,861	2,496	2,206	1,963
Trade Payables	1,848	555	553	425	417	-	5	-	-	6	1,848	550	553	425	411
Other Payables	690	305	201	215	1,382	75	157	80	90	87	615	148	122	125	1,295
Withholdings	32	38	59	39	44	24	22	14	20	23	8	16	44	19	21
Unearned Revenues	-	-	-	-	(1,442)	-	-	-	-	-	-	-	-	-	(1,442)
Advances	77	2	39	-	-	76	2	-	-	-	1	-	39	-	-
Accrued Expenses	1,632	1,971	1,385	1,355	1,447	269	280	170	247	285	1,363	1,691	1,215	1,107	1,162
ST Borrowings	3,627	3,393	2,172	1,905	1,912	3,627	3,393	2,172	1,905	1,912	-	-	-	-	-
Current Portion of LT Liabilities	500	461	523	465	415	141	132	189	166	116	359	329	334	299	299
Other Current Liabilities	1,337	474	632	1,345	1,434	1,308	348	443	1,115	1,217	30	126	189	230	217
Non-current liabilities	3,705	2,989	2,939	2,829	2,245	1,012	815	910	632	478	2,693	2,174	2,029	2,197	1,767
LT Unearned Revenues	3,662	2,946	2,896	2,829	2,245	1,012	815	910	632	478	2,650	2,131	1,986	2,197	1,767
Provision for Restoration Costs	43	43	43	-	-	-	-	-	-	-	43	43	43	-	-
Stockholders' equity	78,056	83,478	66,574	65,862	72,706	52,096	57,871	42,333	44,198	49,628	25,960	25,608	24,241	21,664	23,078

Source: Management information and EY analysis

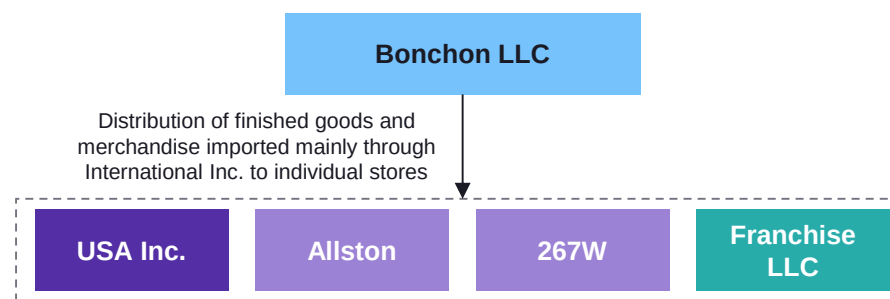
[Intercompany transactions] Until Sep22, Bonchon LLC purchased and sold signature sauces and consumables supplied by International Inc. Since then, it has only imported and sold frying tools.

Intercompany transactions

① Sale of Sauce and Supplies (Korea → U.S.)



② Sale of Sauce and Supplies (Within U.S.)



USD k	Account	FY21	FY22	FY23	FY24	11m25
Bonchon LLC	FG sales	(7,103)	(488)	-	-	-
	Merchandise sales	(490)	(93)	(8)	(8)	(8)
International	COGS - Sauce	7,103	488	-	-	-
	COGS - Merchandise	490	93	8	8	8

Source: Management information and EY analysis

USD k	Account	FY21	FY22	FY23	FY24	11m25
Bonchon LLC	FG sales	(151)	(49)	-	-	-
	Merchandise sales	(102)	(81)	(10)	(5)	(5)
USA Inc.	Other sales	(4)	(3)	-	-	-
	Store COGS	247	125	10	5	5
USA Inc.	Supplies exp.	6	4	-	-	-
	Freight expenses	4	3	-	-	-
Bonchon LLC	Merchandise sales	(1)	(2)	(0)	-	-
Franchise LLC	Office supplies	0	-	-	-	-
	Other SG&A	0	2	0	-	-
Bonchon LLC	Merchandise sales	-	-	-	(1)	-
267W	Store COGS	-	-	-	1	-
Bonchon LLC	FG sales	-	(80)	-	-	-
	Merchandise sales	-	(34)	(27)	(2)	(24)
Allston	Store COGS	-	34	27	2	24
	Supplies exp.	-	80	-	-	-

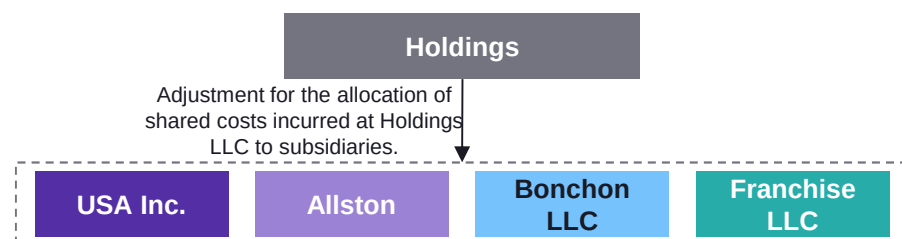
Source: Management information and EY analysis

- ① Bonchon LLC historically purchased signature sauces (products), kitchen equipment, and consumables (merchandise) from International Inc. for distribution to equity stores and franchised stores in the U.S. Since Sep22, sauces have been manufactured locally through OEM arrangements, eliminating intercompany transactions for sauces. Currently, only transactions related to frying tools, which are difficult to source domestically, remain.
- ② Bonchon LLC previously imported and supplied sauces and consumables to both equity stores and franchised stores. However, following the restructuring of the sales structure, such transactions have largely ceased, with only minor material purchases currently observed.

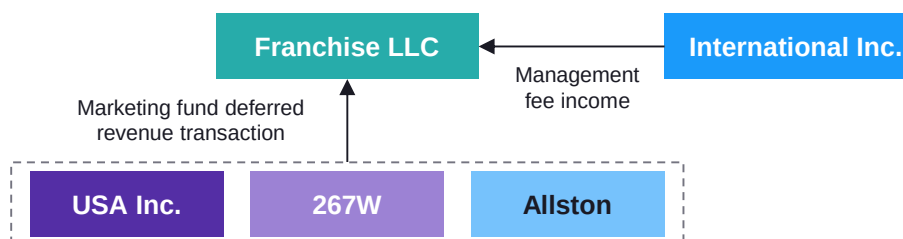
[Intercompany transactions] There are transactions related to the allocation of Holdings LLC expenses to profit generating entities and the settlement of marketing costs.

Intercompany transactions

Allocation and settlement of Holdings LLC expenses



Marketing settlement and other intercompany transactions



	USD k	Account	FY21	FY22	FY23	FY24	11m25
3	Franchise LLC	Other SG&A	-	(330)	(445)	(495)	(367)
	Holdings	Labor cost	-	330	445	495	367
	Holdings	Other sales	-	(7,481)	(8,808)	(8,514)	(7,616)
	Franchise LLC		-	5,747	7,199	7,205	6,498
	Bonchon LLC	Other SG&A	-	874	814	579	476
	USA Inc.		-	616	524	492	426
4	Allston		-	244	271	239	217
	Franchise LLC	Other sales	(1,029)	-	-	-	-
	USA Inc.		337	-	-	-	-
	Bonchon LLC	Other SG&A	671	-	-	-	-
	267W		21	-	-	-	-

Source: Management information and EY analysis

- 3 This adjustment reflects the reclassification of marketing staff's overhead costs incurred at Holdings LLC to Franchise LLC, recorded under other SG&A. Until FY21, such costs had been directly deducted from labor cost of Franchise LLC.
- 4 Since FY22, shared costs incurred at Holdings LLC have been allocated to profit generating entities a 5% markup (recognized as other revenue at Holdings LLC and as other SG&A at the recipient entities), with eliminating entries recorded on consolidation. Prior to FY21, such costs appear to have been allocated from Franchise LLC to the subsidiaries.

	USD k	Account	FY21	FY22	FY23	FY24	11m25
	Franchise LLC	Franchise - Marketing sales	(35)	(87)	(107)	(96)	(58)
	USA Inc.		34	50	61	52	32
	267W	Advertising & Marketing exp.	1	-	-	9	-
	Allston		-	37	46	36	26
5	Franchise LLC	Franchise Marketing COGS	35	87	107	96	58
	USA Inc.		(34)	(50)	(61)	(52)	(32)
	267W	Advertising & Marketing exp	(1)	-	-	(9)	-
	Allston		-	(37)	(46)	(36)	(26)
6	International	Other sales	(113)	(119)	(130)	(129)	-
	Franchise LLC	Service fees	113	119	130	129	-

Source: Management information and EY analysis

- 5 Franchise LLC recognizes marketing funds collected from equity stores as marketing sales. At year-end, the full amount is considered realized, with corresponding intercompany eliminations recorded on consolidation.
- 6 In accordance with the Company's TP Policy, International Inc. annually charges Franchise LLC for management costs (e.g., SAP expenses).

[Intercompany transactions] Intercompany receivables and payables of the consolidated entities as of each year-end are as follows.

Intercompany transactions

Intercompany receivables and payables								
USD k	Account	Counterparty	Account	Dec21	Dec22	Dec23	Dec24	Nov25
USA Inc.	Trade Payables	267W	Trade Receivables	-	-	-	7	-
		Franchise LLC		338	185	3	26	26
		Gift Card		-	0	0	0	0
		Holdings		-	152	-	29	39
		Beverage		0	1	-	-	-
		Bonchon LLC		4	-	-	-	-
Franchise LLC	Trade Payables	USA Inc.	Trade Receivables	-	82	13	20	4
		267W		-	-	-	0	-
		Allston		-	-	28	1	-
		Gift Card		2	-	-	-	-
		Holdings		-	1,586	244	192	598
		International		113	-	-	-	-
Allston	Trade Payables	Bonchon LLC	Trade Receivables	0	-	-	-	-
		USA Inc.		-	19	28	24	-
		Franchise LLC		10	1	1	0	0
		Gift Card		-	0	0	0	0
		Holdings		-	133	29	0	24
		Bonchon LLC		-	-	-	-	-
Bonchon LLC	Trade Payables	Franchise LLC	Trade Receivables	671	-	-	-	-
		Holdings		-	217	-	74	43
		International		1,082	-	-	-	-
267W	Trade Payables	USA Inc.	Trade Receivables	-	-	-	10	-
		Franchise LLC		21	-	-	-	-
		Gift Card		-	-	-	0	-
		Holdings		-	-	-	7	-
Holdings	Trade Payables	USA Inc.	Trade Receivables	-	204	78	23	23
		Franchise LLC		-	334	1	6	-
		Bonchon LLC		-	-	90	-	-
	Other Payables	International	Other Receivables	500	-	-	-	-
Gift Card	ST Liabilities	Bonchon LLC	ST Loans	327	-	-	-	-
		USA Inc.	ST Loans	10	-	-	-	-

- Intercompany receivables and payables arose from allocations of shared costs incurred by Holdings, which were marked up and distributed to each entity.
- Intercompany receivables and payables also arose from Bonchon LLC's purchase of sauces from International Inc. Since Sep22, following the change in distribution structure, such balances have no longer been incurred.
- The initial MF agreement for Myanmar was executed with U.S. Holdings and subsequently transferred to International Inc. in FY19. In FY21, MF franchise fee receivables of USD 500k previously recorded at Holdings were transferred to International Inc., resulting in recognition of corresponding intercompany receivables and payables. Following the transfer, revenues have been recognized by International Inc. over the remaining contract term.

Source: Management information and EY analysis

4

P/L analysis

[P/L overview] Revenue primarily consists of product sales, franchise revenue, and store sales. Excluding the impact of changes in the sauce distribution structure, overall revenue has grown, driven by an increase in the number of franchised stores.

P/L overview

Currency: USD k	FY21	FY22	FY23	FY24	LTM Nov25	11m24	11m25
Revenue	29,723	36,273	33,688	32,845	30,538	30,275	27,968
Product sales (FG, Merchandise)	13,594	12,327	5,994	6,245	5,191	5,937	4,882
Franchise revenue	12,253	15,469	16,903	17,519	18,545	15,939	16,966
Store sales	3,502	7,332	7,478	6,409	4,302	5,948	3,841
Other sales	375	1,145	3,314	2,673	2,499	2,452	2,278
COGS	6,650	8,277	7,503	7,282	5,831	6,786	5,335
Product COGS	3,755	3,891	2,627	1,934	1,394	1,837	1,296
Franchise - Marketing	1,709	2,169	2,816	3,253	3,208	2,994	2,949
Store COGS	1,185	2,217	2,061	2,095	1,229	1,955	1,090
Gross profit	23,074	27,996	26,185	25,563	24,706	23,489	22,633
SG&A	15,468	20,581	21,465	19,969	16,998	18,054	15,083
Labor cost	7,244	9,835	9,811	9,866	8,477	8,747	7,358
Service fees	1,676	2,026	2,248	2,001	2,269	1,766	2,034
Rental cost	1,446	1,669	1,692	1,448	940	1,329	821
Travel Expenses	373	625	996	1,017	874	939	796
Advertising & Marketing Expenses	200	676	775	866	820	494	448
Freight Expenses	886	1,177	959	735	482	683	430
D&A	2,448	2,742	2,903	2,363	2,074	2,172	1,884
Utility Expenses	145	282	277	289	218	266	194
Insurance Expenses	117	174	201	237	191	217	171
Research & Development Expenses	114	178	173	231	279	194	242
Others	818	1,197	1,430	917	375	1,247	705
EBIT	7,606	7,415	4,720	5,593	7,708	5,435	7,550
D&A	2,679	2,928	3,068	2,525	2,221	2,322	2,017
EBITDA	10,285	10,343	7,788	8,119	9,929	7,757	9,567
Other income	820	2,057	1,276	2,966	3,379	2,008	2,421
Other expenses	476	1,085	2,131	1,960	2,972	676	1,688
Income before income taxes	7,950	8,388	3,866	6,599	8,116	6,767	8,284
Corporate tax	1,995	1,075	1,065	1,993	2,350	1,079	1,436
Net income (loss)	5,955	7,313	2,801	4,606	5,766	5,688	6,848
KPIs							
Gross margin	77.6%	77.2%	77.7%	77.8%	80.9%	77.6%	80.9%
EBIT margin	25.6%	20.4%	14.0%	17.0%	25.2%	18.0%	27.0%
EBITDA margin	34.6%	28.5%	23.1%	24.7%	32.5%	25.6%	34.2%
NI margin	20.0%	20.2%	8.3%	14.0%	18.9%	18.8%	24.5%

Source: Management information and EY analysis

- Revenue** : Comprised of i) product sales, including Bonchon signature sauces, ii) franchise revenue from store openings and support, and iii) store sales in the U.S. The number of franchised stores is the primary driver of revenue growth, increasing significantly from 368 in Dec20 to 493 in Nov25, which has supported overall revenue growth. However, due to changes in the revenue structure and equity store closures since Sep22, revenue during FY23 ~ LTMNov25 remained at USD 30.5 ~ 33.7m.
- Product sales** : Include finished goods and merchandise such as Bonchon signature sauces, OEM-produced sauces, and kitchen equipment sold to franchisees. Since Sep22, the U.S. has shifted to a structure in which required items are procured from local suppliers, and only the brand sauce margin from 3rd party distributors is recognized as other sales, resulting in lower reported revenue.
- Franchise revenue** : International Inc. recognizes franchise revenue from outside the U.S., while USA Inc. recognizes franchise revenue within the U.S. Revenue streams include i) initial fee sales recognized upon store openings and ii) royalty sales, which are based on a percentage of systemwide sales. Outside the U.S., MFAs are in place, and MF fees are recognized over the contract term (recorded as Franchise - other sales). In the U.S., as the Company directly manages franchised stores, it collects approximately 1.0 ~ 1.5% of systemwide sales from franchisees as marketing revenue to fund advertising and promotional activities for systemwide sales. Overall, franchise revenue has trended upward in line with the global increase in franchised store count.
- Store sales** : Represent systemwide sales generated by U.S. equity stores. As of Nov25, 3 stores were in operation, with revenue fluctuating depending on store openings and closures.
- Other sales** : Primarily consist of brand sauce margin from U.S. signature sauce sales, as well as sublease income from 267W and training fees for new U.S. stores.

[P/L overview] COGS consists of signature sauce and merchandise costs, marketing fund costs, and food and packaging costs for equity stores. During FY21 ~ LTMNov25, gross margin ranged from 77.2% to 80.9%.

P/L overview

Currency: USD k	FY21	FY22	FY23	FY24	LTM Nov25	11m24	11m25
Revenue	29,723	36,273	33,688	32,845	30,538	30,275	27,968
Product sales (FG, Merchandise)	13,594	12,327	5,994	6,245	5,191	5,937	4,882
Franchise revenue	12,253	15,469	16,903	17,519	18,545	15,939	16,966
Store sales	3,502	7,332	7,478	6,409	4,302	5,948	3,841
Other sales	375	1,145	3,314	2,673	2,499	2,452	2,278
COGS	6,650	8,277	7,503	7,282	5,831	6,786	5,335
Product COGS	3,755	3,891	2,627	1,934	1,394	1,837	1,296
Franchise - Marketing	1,709	2,169	2,816	3,253	3,208	2,994	2,949
Store COGS	1,185	2,217	2,061	2,095	1,229	1,955	1,090
Gross profit	23,074	27,996	26,185	25,563	24,706	23,489	22,633
SG&A	15,468	20,581	21,465	19,969	16,998	18,054	15,083
Labor cost	7,244	9,835	9,811	9,866	8,477	8,747	7,358
Service fees	1,676	2,026	2,248	2,001	2,269	1,766	2,034
Rental cost	1,446	1,669	1,692	1,448	940	1,329	821
Travel Expenses	373	625	996	1,017	874	939	796
Advertising & Marketing Expenses	200	676	775	866	820	494	448
Freight Expenses	886	1,177	959	735	482	683	430
D&A	2,448	2,742	2,903	2,363	2,074	2,172	1,884
Utility Expenses	145	282	277	289	218	266	194
Insurance Expenses	117	174	201	237	191	217	171
Research & Development Expenses	114	178	173	231	279	194	242
Others	818	1,197	1,430	917	375	1,247	705
EBIT	7,606	7,415	4,720	5,593	7,708	5,435	7,550
D&A	2,679	2,928	3,068	2,525	2,221	2,322	2,017
EBITDA	10,285	10,343	7,788	8,119	9,929	7,757	9,567
Other income	820	2,057	1,276	2,966	3,379	2,008	2,421
Other expenses	476	1,085	2,131	1,960	2,972	676	1,688
Income before income taxes	7,950	8,388	3,866	6,599	8,116	6,767	8,284
Corporate tax	1,995	1,075	1,065	1,993	2,350	1,079	1,436
Net income (loss)	5,955	7,313	2,801	4,606	5,766	5,688	6,848
KPIs							
Gross margin	77.6%	77.2%	77.7%	77.8%	80.9%	77.6%	80.9%
EBIT margin	25.6%	20.4%	14.0%	17.0%	25.2%	18.0%	27.0%
EBITDA margin	34.6%	28.5%	23.1%	24.7%	32.5%	25.6%	34.2%
NI margin	20.0%	20.2%	8.3%	14.0%	18.9%	18.8%	24.5%

Source: Management information and EY analysis

- **COGS** : Comprised of finished goods manufacturing costs, merchandise purchase costs, amount collected as marketing fund, and food and packaging costs for equity stores.
- **Product COGS** : Include product costs for signature sauces manufactured in Busan, as well as merchandise costs for externally purchased sauces and equipment. During LTMNov25, product sales carried a cost ratio of approximately 24.8%, while merchandise sales carried a cost ratio of approximately 81.9%.
- **Franchise - Marketing** : In the U.S., marketing fund contributions from franchisees are recognized as both revenue and COGS. As the Company is obligated to spend the full amount collected for its intended purpose, the franchise marketing fund is recorded entirely as revenue and COGS, with no impact on profitability. Any advertising expenditure in excess of the marketing fund are borne by the Company and recognized as SG&A.
- **Store COGS** : Consist of costs of chicken, sauces, other food, alcoholic and non-alcoholic beverages, and packaging used at U.S. equity stores. The cost ratio for stores sales averages 28.6% in LTMNov25.
- **Gross profit & Gross margin** : During FY21 ~ LTMNov25, gross profit was between USD 23,074k ~ USD 27,996k, and gross margin improved from 77.6% in FY21 to 80.9% in LTMNov25, an increase of 3.3%p. Key drivers were i) growth and higher contribution of franchise revenue, which generally incurs little to no cost of sales, ii) reduced merchandise sales and equity store sales, which carry lower margins, and iii) change in U.S. sauce sales structure, from recognizing both sales and cost of sales to recognizing only brand margins.
- Aside from marketing fund revenue, franchise revenue consists of fee-based income that does not incur direct costs, thereby supporting high gross margins. During LTMNov25, marketing fund sales amounted to USD 3,208k, representing 17.3% of franchise revenue.

[P/L overview] SG&A mainly consists of labor cost, service fees, rental expenses, and D&A, with a high proportion of fixed costs. During FY23 ~ LTMNov25, EBITDA margin improved from 23.1% to 32.5%.

P/L overview

Currency: USD k	FY21	FY22	FY23	FY24	LTM Nov25	11m24	11m25
Revenue	29,723	36,273	33,688	32,845	30,538	30,275	27,968
Product sales (FG, Merchandise)	13,594	12,327	5,994	6,245	5,191	5,937	4,882
Franchise revenue	12,253	15,469	16,903	17,519	18,545	15,939	16,966
Store sales	3,502	7,332	7,478	6,409	4,302	5,948	3,841
Other sales	375	1,145	3,314	2,673	2,499	2,452	2,278
COGS	6,650	8,277	7,503	7,282	5,831	6,786	5,335
Product COGS	3,755	3,891	2,627	1,934	1,394	1,837	1,296
Franchise - Marketing	1,709	2,169	2,816	3,253	3,208	2,994	2,949
Store COGS	1,185	2,217	2,061	2,095	1,229	1,955	1,090
Gross profit	23,074	27,996	26,185	25,563	24,706	23,489	22,633
SG&A	15,468	20,581	21,465	19,969	16,998	18,054	15,083
Labor cost	7,244	9,835	9,811	9,866	8,477	8,747	7,358
Service fees	1,676	2,026	2,248	2,001	2,269	1,766	2,034
Rental cost	1,446	1,669	1,692	1,448	940	1,329	821
Travel Expenses	373	625	996	1,017	874	939	796
Advertising & Marketing Expenses	200	676	775	866	820	494	448
Freight Expenses	886	1,177	959	735	482	683	430
D&A	2,448	2,742	2,903	2,363	2,074	2,172	1,884
Utility Expenses	145	282	277	289	218	266	194
Insurance Expenses	117	174	201	237	191	217	171
Research & Development Expenses	114	178	173	231	279	194	242
Others	818	1,197	1,430	917	375	1,247	705
EBIT	7,606	7,415	4,720	5,593	7,708	5,435	7,550
D&A	2,679	2,928	3,068	2,525	2,221	2,322	2,017
EBITDA	10,285	10,343	7,788	8,119	9,929	7,757	9,567
Other income	820	2,057	1,276	2,966	3,379	2,008	2,421
Other expenses	476	1,085	2,131	1,960	2,972	676	1,688
Income before income taxes	7,950	8,388	3,866	6,599	8,116	6,767	8,284
Corporate tax	1,995	1,075	1,065	1,993	2,350	1,079	1,436
Net income (loss)	5,955	7,313	2,801	4,606	5,766	5,688	6,848
KPIs							
Gross margin	77.6%	77.2%	77.7%	77.8%	80.9%	77.6%	80.9%
EBIT margin	25.6%	20.4%	14.0%	17.0%	25.2%	18.0%	27.0%
EBITDA margin	34.6%	28.5%	23.1%	24.7%	32.5%	25.6%	34.2%
NI margin	20.0%	20.2%	8.3%	14.0%	18.9%	18.8%	24.5%

Source: Management information and EY analysis

- **SG&A** : Comprised of labor cost, service fees, rental expenses, and D&A, with a high proportion of fixed costs. SG&A as % of revenue ranged from 52.0% ~ 63.7% during FY21 ~ LTMNov25.
 - Labor cost : Includes administrative staff at International Inc., HQ staff at USA Inc., and labor costs at U.S. equity stores. Labor cost represents the largest portion of SG&A. Headcount increased following business expansion initiatives at USA Inc. and the opening of equity stores after FY21.
 - Service fee : Consist of IT system usage fee (ERP and store management system), legal advisory fees for contracts and trademark management, accounting and tax advisory fees, and other expenses such as recruiting fees and platform subscription fees.
 - Rental cost : Primarily office rent at the Korean and U.S. headquarters and equity store lease expenses. Rental expenses decreased following the closure of U.S. equity stores.
 - D&A : Include depreciation of the Busan plant assets and equity store assets, as well as amortization of IT system in U.S., goodwill and customer relationship.
- **EBITDA & EBITDA margin** : EBITDA amounted to USD 9,929k in LTMNov25, with an EBITDA margin of 32.5%. Year-over-year movements were as follows.
 - FY21 ~ FY22 : While Allston was acquired as an equity store and revenue grew significantly, fixed costs including labor costs, service fees, and rental expenses also increased due to business expansion, driving EBITDA margin down from 34.6% to 28.5%, a decrease of 6.1%p.
 - FY22 ~ FY23 : Following changes in the sauce sales structure in Sep22, from FY23 the U.S. only recognized brand margin from sauce sales, reducing revenue and margin. As a result of fixed-cost effects, EBITDA margin declined by 5.4%p.
 - FY23 ~ LTMNov25 : Despite lower revenue due to closures of underperforming equity stores, reductions in labor and rental expenses led to margin improvement, with EBITDA margin rising from 23.1% in FY23 to 32.5% in LTMNov25.

[P/L overview] In FY23, the Company recognized impairment losses related to equity store closures and investments in affiliates, while in FY24 other income increased due to foreign exchange gains from USD appreciation.

P/L overview

Currency: USD k	FY21	FY22	FY23	FY24	LTM Nov25	11m24	11m25
Revenue	29,723	36,273	33,688	32,845	30,538	30,275	27,968
Product sales (FG, Merchandise)	13,594	12,327	5,994	6,245	5,191	5,937	4,882
Franchise revenue	12,253	15,469	16,903	17,519	18,545	15,939	16,966
Store sales	3,502	7,332	7,478	6,409	4,302	5,948	3,841
Other sales	375	1,145	3,314	2,673	2,499	2,452	2,278
COGS	6,650	8,277	7,503	7,282	5,831	6,786	5,335
Product COGS	3,755	3,891	2,627	1,934	1,394	1,837	1,296
Franchise - Marketing	1,709	2,169	2,816	3,253	3,208	2,994	2,949
Store COGS	1,185	2,217	2,061	2,095	1,229	1,955	1,090
Gross profit	23,074	27,996	26,185	25,563	24,706	23,489	22,633
SG&A	15,468	20,581	21,465	19,969	16,998	18,054	15,083
Labor cost	7,244	9,835	9,811	9,866	8,477	8,747	7,358
Service fees	1,676	2,026	2,248	2,001	2,269	1,766	2,034
Rental cost	1,446	1,669	1,692	1,448	940	1,329	821
Travel Expenses	373	625	996	1,017	874	939	796
Advertising & Marketing Expenses	200	676	775	866	820	494	448
Freight Expenses	886	1,177	959	735	482	683	430
D&A	2,448	2,742	2,903	2,363	2,074	2,172	1,884
Utility Expenses	145	282	277	289	218	266	194
Insurance Expenses	117	174	201	237	191	217	171
Research & Development Expenses	114	178	173	231	279	194	242
Others	818	1,197	1,430	917	375	1,247	705
EBIT	7,606	7,415	4,720	5,593	7,708	5,435	7,550
D&A	2,679	2,928	3,068	2,525	2,221	2,322	2,017
EBITDA	10,285	10,343	7,788	8,119	9,929	7,757	9,567
Other income	820	2,057	1,276	2,966	3,379	2,008	2,421
Other expenses	476	1,085	2,131	1,960	2,972	676	1,688
Income before income taxes	7,950	8,388	3,866	6,599	8,116	6,767	8,284
Corporate tax	1,995	1,075	1,065	1,993	2,350	1,079	1,436
Net income (loss)	5,955	7,313	2,801	4,606	5,766	5,688	6,848
KPIs							
Gross margin	77.6%	77.2%	77.7%	77.8%	80.9%	77.6%	80.9%
EBIT margin	25.6%	20.4%	14.0%	17.0%	25.2%	18.0%	27.0%
EBITDA margin	34.6%	28.5%	23.1%	24.7%	32.5%	25.6%	34.2%
NI margin	20.0%	20.2%	8.3%	14.0%	18.9%	18.8%	24.5%

Source: Management information and EY analysis

- **Other income & Other expenses** : Primarily consist of gains and losses on foreign currency translation/transaction, and interest income from short-term investment.
- **Other income** : In FY22, the Company recognized USD 957k of employee retention credit under miscellaneous income, driving a significant year-over-year increase in non-operating income. In FY24, gains on foreign currency transactions of USD 1,821k were recorded at International Inc. due to USD appreciation, resulting in higher other income compared to prior year.
- **Other expenses** : In FY23, i) Impairment losses on fixed assets USD 630k were recognized upon the closure of the Frisco equity store in Dec23 and ii) impairment losses on investment USD 766k were recognized on investments in affiliate Future Kitchen. In FY24, other expenses increased significantly due to USD 1,391k in lease termination costs paid in connection with the closure of the 267W equity store.

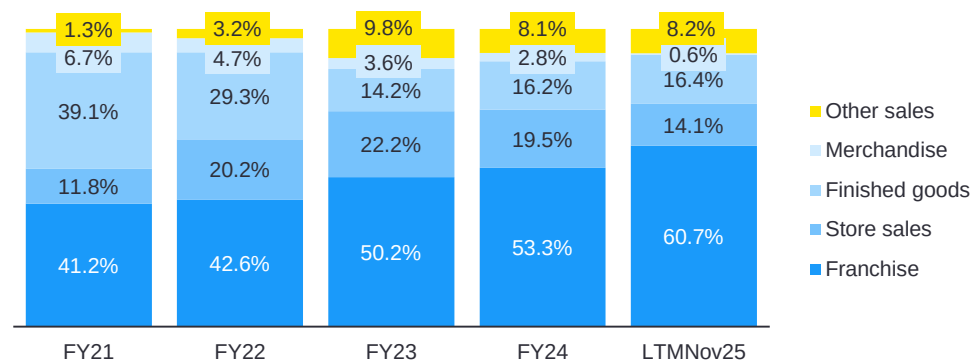
[Revenue overview] Revenue amounted to USD 30,538k in LTMNov25, comprised of 60.7% franchise revenue, 14.1% store sales, and 17.0% product and merchandise.

Revenue overview

Currency: USD k	FY21	FY22	FY23	FY24	LTM Nov25	11m24	11m25
By account	29,723	36,273	33,688	32,845	30,538	30,275	27,968
Franchise	12,253	15,469	16,903	17,519	18,545	15,939	16,966
Franchise - Royalty	9,892	11,911	12,851	13,406	14,280	12,164	13,038
Franchise - Initial fee	543	1,261	1,097	681	828	617	765
Franchise - Marketing	1,709	2,169	2,816	3,253	3,208	2,994	2,949
Franchise - Others	108	129	138	179	228	165	214
Store sales	3,502	7,332	7,478	6,409	4,302	5,948	3,841
Finished goods sales	11,615	10,612	4,774	5,323	5,003	5,032	4,712
Merchandise sales	1,979	1,715	1,220	922	187	905	171
Other sales	375	1,145	3,314	2,673	2,499	2,452	2,278
By entity	29,723	36,273	33,688	32,845	30,538	30,275	27,968
Franchise LLC	9,438	11,630	12,863	13,012	13,786	11,912	12,687
International	7,207	9,283	8,937	10,119	10,088	9,330	9,298
Bonchon LLC	9,511	7,581	3,964	3,302	2,360	3,082	2,140
USA Inc.	3,453	4,201	4,281	3,440	2,399	3,173	2,131
Allston	-	3,124	3,195	2,412	1,871	2,251	1,710
267W	115	444	444	558	33	525	-
Others	0	10	5	2	2	1	1
By region	29,723	36,273	33,688	32,845	30,538	30,275	27,968
USA	22,516	26,990	24,752	22,726	20,450	20,945	18,670
Philippines	1,753	2,696	2,743	3,051	3,147	2,890	2,987
Thailand	4,960	5,689	5,373	5,849	5,948	5,344	5,444
Others	495	897	821	1,220	992	1,096	868

Source: Management information and EY analysis

Revenue composition% by account



Source: Management information and EY analysis

Revenue by account

- Revenue primarily comprises franchise revenue, store sales, and product and merchandise sales, including sauces, kitchen supplies and equipment. During FY21 ~ LTMNov25, franchise revenue increased significantly with store growth; however, this was offset by changes in the U.S. sauce supply structure (prior to Sep22: gross sales and COGS recognized; post-change: only brand sauce margin recognized as other sales). As a result, total revenue grew modestly to USD 29,723k ~ 30,538k.
- Franchise** : Comprises royalty revenue, initial fees collected at store openings under MFA and ADA/FA agreements, and marketing fund contributions.
 - Franchise - Royalty** : A fixed percentage of each store's systemwide sales is collected as royalty revenue. In the U.S., the rates range from 2.5% ~ 5.0% depending on the terms of each ADA or FA agreement, averaging approximately 4.3 ~ 4.7%. Outside the U.S., royalties are collected from each country's MF, generally averaging 2.6 ~ 2.8% of systemwide sales. Franchised store count grew from 385 in Dec21 to 493 in Nov25, driving a 44.4% increase in royalty revenue during LTMNov25 compared to FY21.
 - Franchise - Initial fee** : A fixed fee collected upon execution of the FA agreement. In the U.S., the standard fee is USD 35k per store, recognized starting in the month the store opens and amortized ratably over the 10-year contract term. Outside the U.S., fees are recognized as revenue in the month the store opens. Initial fees may be discounted or waived to encourage new store openings. Revenue increased in FY22 ~ FY23 due to new openings and the one-time revenue recognition of balances from terminated or transferred stores in the U.S.
 - Franchise - Marketing** : U.S. franchisees contribute 1.5% of systemwide sales to the marketing fund. When marketing fund contributions are collected from U.S. franchisees, they are recognized as revenue, with an equal amount recorded as Marketing COGS. To enhance brand awareness, the contribution rate was increased from 1.0% to 1.5% in Sep22. Marketing expenditures have risen with the systemwide sales growth.
 - Franchise - Others** : Include MF fees received upon execution of the MFA, which are recognized ratably over the contract term.

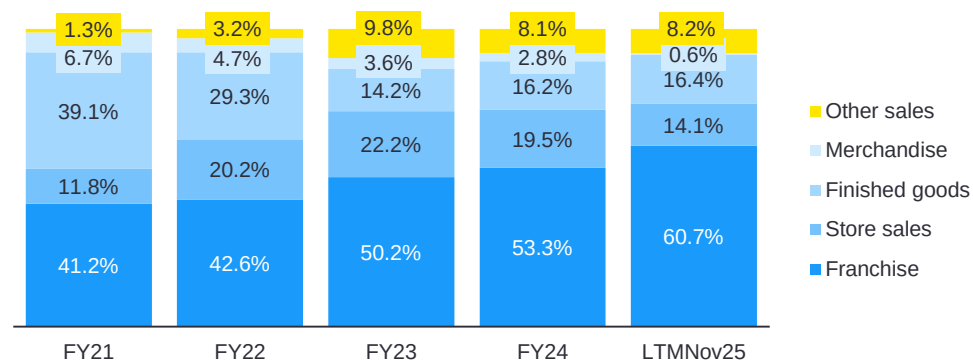
[Revenue overview] Revenue amounted to USD 30,538k in LTMNov25, comprised of 60.7% franchise revenue, 14.1% store sales, and 17.0% product and merchandise.

Revenue overview

Currency: USD k	FY21	FY22	FY23	FY24	LTM Nov25	11m24	11m25
By account	29,723	36,273	33,688	32,845	30,538	30,275	27,968
Franchise	12,253	15,469	16,903	17,519	18,545	15,939	16,966
Franchise - Royalty	9,892	11,911	12,851	13,406	14,280	12,164	13,038
Franchise - Initial fee	543	1,261	1,097	681	828	617	765
Franchise - Marketing	1,709	2,169	2,816	3,253	3,208	2,994	2,949
Franchise - Others	108	129	138	179	228	165	214
Store sales	3,502	7,332	7,478	6,409	4,302	5,948	3,841
Finished goods sales	11,615	10,612	4,774	5,323	5,003	5,032	4,712
Merchandise sales	1,979	1,715	1,220	922	187	905	171
Other sales	375	1,145	3,314	2,673	2,499	2,452	2,278
By entity	29,723	36,273	33,688	32,845	30,538	30,275	27,968
Franchise LLC	9,438	11,630	12,863	13,012	13,786	11,912	12,687
International	7,207	9,283	8,937	10,119	10,088	9,330	9,298
Bonchon LLC	9,511	7,581	3,964	3,302	2,360	3,082	2,140
USA Inc.	3,453	4,201	4,281	3,440	2,399	3,173	2,131
Allston	-	3,124	3,195	2,412	1,871	2,251	1,710
267W	115	444	444	558	33	525	-
Others	0	10	5	2	2	1	1
By region	29,723	36,273	33,688	32,845	30,538	30,275	27,968
USA	22,516	26,990	24,752	22,726	20,450	20,945	18,670
Philippines	1,753	2,696	2,743	3,051	3,147	2,890	2,987
Thailand	4,960	5,689	5,373	5,849	5,948	5,344	5,444
Others	495	897	821	1,220	992	1,096	868

Source: Management information and EY analysis

Revenue composition% by account



Source: Management information and EY analysis

Revenue by account (cont.d)

- Store sales** : Represents revenue from equity stores, which operate exclusively in the U.S. In addition to operating the 267W and 38th stores, the Company opened two new stores (Towson and Addison) during FY21 and acquired Allston in Dec21, resulting in a significant increase in revenue in FY22. Thereafter, revenue declined as underperforming stores were closed to improve profitability. As of Nov25, 3 equity stores (Addison, Towson, and Allston) remained in operation.
- Finished goods sales** : Comprise sales of signature sauces (Original and Spicy) manufactured at the Busan plant, supplied through Bonchon LLC and MF. Since Sep22, U.S. sauce production has been localized through 3rd party manufacturers, resulting in reduced U.S. product sales, with only brand sauce margin recognized under other sales. Outside the U.S., sauce sales have increased in line with new store openings and higher systemwide sales, rising from USD 4,263k in FY21 → USD 5,003k in LTMNov25, an increase of 17.4%.
- Merchandise sales** : Represent sales of other OEM-produced sauces, kitchen supplies and equipment supplied through Bonchon LLC or Master Franchisees. Historically, the U.S. accounted for the largest share. Similar to sauces, most items (except frying tools) have been locally sourced since Sep22, resulting in lower sales. In other markets, local sourcing has long been allowed where more cost-effective.
- Other sales** : Primarily consist of brand sauce margin generated by Bonchon LLC in the U.S. Since Sep22, the Company has co-developed recipes with U.S. sauce manufacturers and 3rd party distributors (DCs) supply the sauce to franchisees. The company recognizes brand sauce margin as other revenue. DCs sell sauces to franchisees at designated prices (USD 150/case, with some stores at USD 320/case), and the Company receives monthly settlements net of DC margin and OEM production costs. Other sales also include sublease income from 267W and training fees for new U.S. store openings.

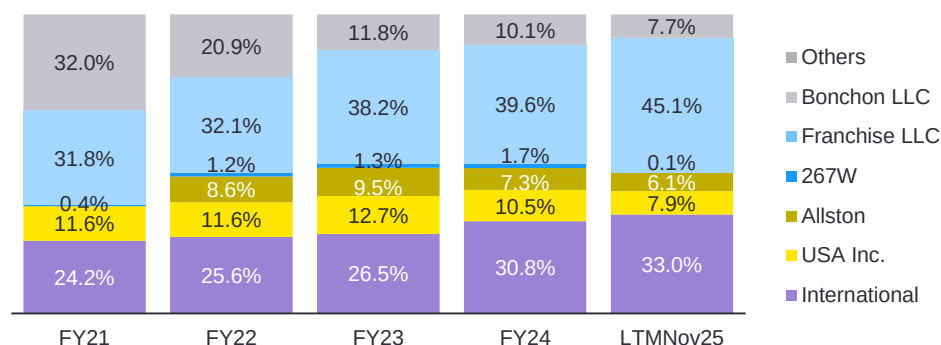
[Revenue overview] By entity, a significant portion of revenue is derived from Franchise LLC's franchise-related revenue and from International Inc.'s franchise and sauce sales outside the U.S.

Revenue overview

Currency: USD k	FY21	FY22	FY23	FY24	LTM Nov25	11m24	11m25
By account	29,723	36,273	33,688	32,845	30,538	30,275	27,968
Franchise	12,253	15,469	16,903	17,519	18,545	15,939	16,966
Franchise - Royalty	9,892	11,911	12,851	13,406	14,280	12,164	13,038
Franchise - Initial fee	543	1,261	1,097	681	828	617	765
Franchise - Marketing	1,709	2,169	2,816	3,253	3,208	2,994	2,949
Franchise - Others	108	129	138	179	228	165	214
Store sales	3,502	7,332	7,478	6,409	4,302	5,948	3,841
Finished goods sales	11,615	10,612	4,774	5,323	5,003	5,032	4,712
Merchandise sales	1,979	1,715	1,220	922	187	905	171
Other sales	375	1,145	3,314	2,673	2,499	2,452	2,278
By entity	29,723	36,273	33,688	32,845	30,538	30,275	27,968
Franchise LLC	9,438	11,630	12,863	13,012	13,786	11,912	12,687
International	7,207	9,283	8,937	10,119	10,088	9,330	9,298
Bonchon LLC	9,511	7,581	3,964	3,302	2,360	3,082	2,140
USA Inc.	3,453	4,201	4,281	3,440	2,399	3,173	2,131
Allston	-	3,124	3,195	2,412	1,871	2,251	1,710
267W	115	444	444	558	33	525	-
Others	0	10	5	2	2	1	1
By region	29,723	36,273	33,688	32,845	30,538	30,275	27,968
USA	22,516	26,990	24,752	22,726	20,450	20,945	18,670
Philippines	1,753	2,696	2,743	3,051	3,147	2,890	2,987
Thailand	4,960	5,689	5,373	5,849	5,948	5,344	5,444
Others	495	897	821	1,220	992	1,096	868

Source: Management information and EY analysis

Revenue composition% by entity



Source: Management information and EY analysis

Revenue by entity

- Franchise LLC** : Revenue consists of franchise initial fees, royalties, and marketing fund contributions from U.S. franchisees, with royalties representing the largest share. Revenue has expanded due to both the increase in U.S. franchisee systemwide sales (FY21: USD 166.8m → LTMNov25: USD 205.8m) and a rise in the average royalty rate (FY21: 4.3% → LTMNov25: 4.7%).
- International Inc.** : Revenue mainly consists of signature sauce sales produced at the Busan plant, MF fees received from MF (outside the U.S), and franchise revenue. With franchised store count outside the U.S. increasing (Dec21: 274 → Nov25: 344), both sauce and franchise revenue have been trending upward.
- Bonchon LLC** : Responsible for U.S. distribution and development of signature sauces and merchandise. Until Sep22, Bonchon LLC purchased sauces and merchandise from International Inc. and sold them to franchisees, recognizing revenue on a gross basis. Since then, following a change in the sauce supply structure, only margin from sauce sales has been recognized, resulting in reduced reported revenue.
- USA Inc., Allston** : Represents revenue from U.S. equity stores. From FY24, certain underperforming equity stores were closed to improve profitability. In addition, the opening of new franchised stores (Cambridge, Quincy) near Allston and temporary closure due to remodeling led to a decline in sales at Allston.
- 267W** : Represents revenue from the U.S. 267W equity store. During FY22 ~ FY23, the store was subleased and generated lease income. Operations were resumed as an equity store in Mar24 but the store was permanently closed in Dec24.
- Others** : Comprised of small amounts of revenue from Beverage and Gift card. The Beverage was originally established to obtain a liquor license for the equity store in Texas, but it is no longer in operation. The Gift card was established for gift card operations, though minimal revenue has been generated as the business has not been actively promoted.

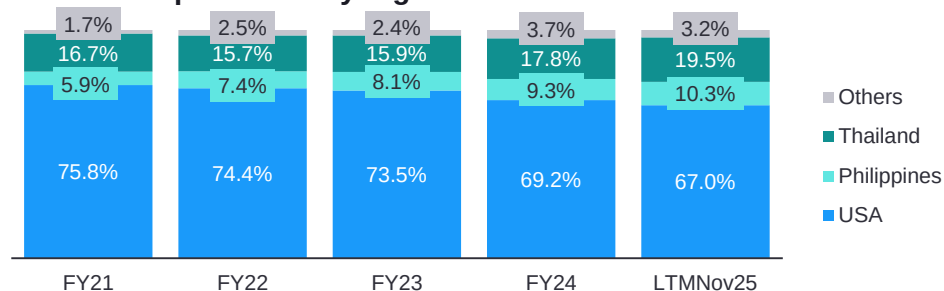
[Revenue overview] By market, the U.S. accounts for the largest share of revenue, as both equity store and franchise revenue are generated there, followed by franchise revenue from Thailand and the Philippines.

Revenue overview

Currency: USD k	FY21	FY22	FY23	FY24	LTM Nov25	11m24	11m25
By account	29,723	36,273	33,688	32,845	30,538	30,275	27,968
Franchise	12,253	15,469	16,903	17,519	18,545	15,939	16,966
Store sales	3,502	7,332	7,478	6,409	4,302	5,948	3,841
Finished goods sales	11,615	10,612	4,774	5,323	5,003	5,032	4,712
Merchandise sales	1,979	1,715	1,220	922	187	905	171
Other sales	375	1,145	3,314	2,673	2,499	2,452	2,278
By entity	29,723	36,273	33,688	32,845	30,538	30,275	27,968
Franchise LLC	9,438	11,630	12,863	13,012	13,786	11,912	12,687
International	7,207	9,283	8,937	10,119	10,088	9,330	9,298
Bonchon LLC	9,511	7,581	3,964	3,302	2,360	3,082	2,140
USA Inc.	3,453	4,201	4,281	3,440	2,399	3,173	2,131
Allston	-	3,124	3,195	2,412	1,871	2,251	1,710
267W	115	444	444	558	33	525	-
Others	0	10	5	2	2	1	1
By region	29,723	36,273	33,688	32,845	30,538	30,275	27,968
USA	22,516	26,990	24,752	22,726	20,450	20,945	18,670
Philippines	1,753	2,696	2,743	3,051	3,147	2,890	2,987
Thailand	4,960	5,689	5,373	5,849	5,948	5,344	5,444
Singapore	97	68	87	55	(0)	56	-
Cambodia	84	103	128	103	95	99	90
Myanmar	69	139	47	29	28	27	26
Vietnam	166	348	333	386	168	373	155
Australia	42	152	21	-	-	-	-
France	27	82	190	377	376	295	294
Taiwan	-	-	8	164	210	155	202
Laos	-	-	2	102	111	88	97
Others	10	5	5	3	4	3	4

Source: Management information and EY analysis

Revenue composition% by region



Source: Management information and EY analysis

Revenue by region

- USA** : Store sales are recognized on a gross basis, with the U.S. contributing the largest share of revenue given its extensive franchise base. Franchise revenue has risen with new store openings and higher royalty rates, but total revenue declined during FY22 ~ LTMNov25 due to i) changes in the sauce supply structure and ii) closures of underperforming equity stores.
- Philippines** : As of Nov25, 158 stores were in operation, the largest number outside the U.S. Most are fast-casual formats with relatively higher dessert and side menu sales. Revenue has grown with increases in both store count and average systemwide sales per store.
- Thailand** : As of Nov25, 131 stores were in operation, fewer than in the Philippines. However, with a full dine-in format and higher royalty rates, both systemwide sales and revenue exceeded those of the Philippines.
- Singapore** : The Master Franchisee failed to meet development obligations under the MF agreement and defaulted on certain royalty and product payments, resulting in contract termination in the end of FY24. During FY21 ~ FY24, revenue ranged from USD 55k to 97k, representing an immaterial portion of total revenue.
- Myanmar** : As of Nov25, 9 stores were in operation, with systemwide sales increasing from USD 1,101k in FY21 → USD 4,564k in LTMNov25, reflecting strong growth potential. However, due to political instability in Myanmar, royalty fees have been waived, resulting in relatively low reported revenue.
- Vietnam** : Under a supporting program, royalty rates were temporarily reduced, and initial fees waived, leading to lower reported revenue. Systemwide sales nevertheless increased with store count, significantly from USD 1,639k in FY21 → USD 5,098k in LTMNov25.
- Australia** : Entered the market through test stores rather than an MF agreement, but operations ceased after contract expiration without renewal. Re-entry into the market is under consideration based on this prior experience.
- France** : As of Oct25, the MF agreement was terminated. With premium pricing adjusted to local market conditions, favorable locations, and upscale store interiors, France records the highest average systemwide sales per store.
- Taiwan, Laos** : As of Nov25, 6 stores were in operation in Taiwan and 4 stores in Laos. Both regions entered in FY24 and remain in the early stage of growth, with revenue trending upward.

[Equity Store] Equity store sales fluctuated depending on the number of operating stores, with 3 stores in operation as of Nov25.

Equity Store Revenue¹

Currency: USD k	Operating Status	FY21	FY22	FY23	FY24	LTM Nov25	11m24	11m25
Revenue		6,609	7,332	7,478	6,409	4,302	5,948	3,841
Allston ²	Operating	3,107	3,124	3,195	2,412	1,871	2,251	1,710
Towson	Operating	1,098	1,146	1,036	963	1,106	883	1,027
Addison	Operating	699	866	845	787	758	732	703
38 th	Closed	1,655	1,802	1,872	1,691	535	1,558	402
267W	Closed	50	-	-	557	33	524	-
Frisco	Closed	-	392	530	-	-	-	-

Source: Management Information and EY analysis

1 The figures are based on a statutory basis, while the systemwide sales of equity stores in the subsequent analysis are based on a management reporting basis.

2 FY21 revenue includes Allston store sales.

Annual Status by Equity Store

Store	Open	Close	FY21	FY22	FY23	FY24	11m25
Allston	Aug08	n.a	Operating	Operating	Operating	Operating	Operating
Towson	Apr21	n.a	Open	Operating	Operating	Operating	Operating
Addison	Feb21	n.a	Open	Operating	Operating	Operating	Operating
38th	Feb10	Apr25	Operating	Operating	Operating	Operating	Closing
267W ¹	Mar24 (Jan18)	Dec24	Closing	Closed	Closed	Open & Closing	Closed
Frisco	Jun22	Dec23		Open	Closing	Closed	Closed

Source: Management Information and EY analysis

1 The 267W was operated as an equity store from Jan18 to Jan21. During the closure period (Nov21 ~ Dec23), the site was temporarily operated under a sublease arrangement.

Revenue by Equity Store

- During Dec21 ~ Dec24, the Company operated 4 ~ 5 equity stores, while as of Nov25, 3 stores (Allston, Towson and Addison) remained in operation. Equity stores were operated to enhance brand awareness and to support expansion into new regional areas. However, this strategy resulted in lower profitability, leading to gradually reduce the number of equity stores.
- Excluding Frisco, which was operated only for a short period, equity store sales remained stable at USD 6,409k ~ 6,948k during FY21 ~ FY24. Revenue decreased to USD 4,302k in LTMNov25 due to lower sales at Allston and the closure of the 38th and 267W.
- Allston** : Originally operated as a franchise until FY21, the store was acquired by USA Inc. in Dec21 and converted to an equity store. In FY24, revenue declined due to competition from newly opened nearby franchised stores (Quincy and Cambridge) and a temporary closure for remodeling. Renovations have since been completed, and operational improvement are in place to support performance stabilization.
- Towson, Addison** : Opened in 1H21 as part of the equity store expansion strategy.
- 38th** : Located in New York, the store operated for approximately 15 years before being closed in Apr25 due to building deterioration, including structural damage and water leakage, which raised safety concerns. No reopening is planned.
- 267W** : Located in New York, the store was opened with expectations of revitalizing the local commercial district. Operations were temporarily supported through sublease arrangements and subsidies, but the store was closed in Dec24 due to high rental costs. No reopening is planned.
- During FY21 ~ FY23, certain stores were temporarily subleased, resulting in no store sales, with revenue instead recognized as franchise income and lease income (other income). Annual rental income was as follows.

Currency : USD k	FY21	FY22	FY23
Lease Incomes	65	444	444

Source: Management Information and EY analysis

- Frisco** : Located in Texas, the store was opened in Jun22 with favorable rental terms despite being outside a prime commercial district. It was closed in Dec23 after a short period of operation following management decision-making.

[Franchised Store] During FY21 ~ LTMNov25, royalty% averaged approximately 4.3% ~ 4.7% in the U.S. and 2.6% ~ 2.8% in other markets. Royalty revenue has increased, driven by higher systemwide sales and an increase in royalty rates.

Royalty Revenue

Currency: USD k	Systemwide sales					Average Royalty %					Royalty revenue				
	FY21	FY22	FY23	FY24	LTM Nov25	FY21	FY22	FY23	FY24	LTM Nov25	FY21	FY22	FY23	FY24	LTM Nov25
Franchise Sales (U.S.)	166,756	186,292	193,150	195,900	205,818	4.3%	4.5%	4.7%	4.7%	4.7%	7,226	8,334	9,032	9,120	9,667
Master Franchise Sales (Non-U.S.)	103,108	133,709	144,835	154,483	168,964	2.6%	2.7%	2.6%	2.8%	2.7%	2,666	3,576	3,820	4,286	4,614
Thailand	60,356	71,939	73,247	72,256	80,697	2.8%	3.0%	3.0%	3.3%	3.3%	1,686	2,154	2,201	2,399	2,668
Philippines	36,484	49,832	57,978	65,887	68,930	2.3%	2.3%	2.3%	2.3%	2.3%	843	1,150	1,336	1,525	1,588
France	-	-	1,520	3,454	4,151	-	-	3.5%	3.5%	3.5%	-	-	54	122	146
Vietnam	1,639	4,233	4,444	4,404	5,098	3.0%	3.0%	3.0%	3.0%	1.2%	49	128	133	133	59
Myanmar	1,101	2,031	2,735	3,835	4,564	0.3%	-	-	-	-	3	-	-	-	-
Taiwan	-	-	-	1,177	3,243	-	-	-	3.0%	3.0%	-	-	-	36	97
Cambodia	1,257	1,920	1,797	1,713	1,659	2.2%	2.2%	2.2%	2.2%	2.2%	28	42	40	38	37
Singapore	2,231	2,323	2,240	1,585	87	2.5%	2.5%	2.5%	1.8%	-	56	58	56	28	-
Laos	-	-	-	171	534	-	-	-	3.5%	3.5%	-	-	-	6	19
Australia	41	1,431	874	-	-	2.5%	3.0%	-	-	-	1	43	-	-	-
Total	269,865	320,000	337,986	350,383	374,782	3.7%	3.7%	3.8%	3.8%	3.8%	9,892	11,911	12,851	13,406	14,280

Source: Management Information and EY analysis

- U.S. franchise royalties averaged 4.3% ~ 4.7% during FY21 ~ LTMNov25, while rates in 10 countries (except U.S.) were 2.6% ~ 2.8%. Growth in royalty revenue was supported by i) systemwide sales increases from new store openings, and ii) higher royalty rates in the U.S. following the introduction of a new business model.
 - Franchise Sales (U.S.)** : U.S. royalty revenue is recognized by Franchise LLC. Historically, royalty rates varied by store and agreement, ranging from 2.5% ~ 4.8% under ADA/FA terms. Since Sep22, a new business model has been introduced under which royalty rates were increased to 5% while sauce supply prices were reduced. As a result, the average royalty rate rose modestly from 4.3% in FY21 to 4.7% in LTMNov25. In addition, the number of U.S. franchised stores increased from 103 in Dec20 to 149 in Nov25, with systemwide sales expanding 23.4% over the same period. Consequently, royalty revenue has continued to rise each year.
- Master Franchise Sales (Non-U.S.)** : Outside the U.S., franchise operations are conducted under Master Franchise agreements, with amounts received from MF recognized as revenue by International Inc. Average royalty rates ranged from 2.6% ~ 2.8%, lower than in the U.S. due in part to temporary royalty reductions or waivers granted in certain countries, as well as margin deductions at the MF level. During Dec20 ~ Nov25, store counts increased from 265 to 344, driving 63.9% systemwide sales growth, which in turn contributed to higher royalty revenue.

[Franchised Store] During FY21 ~ LTMNov25, royalty% averaged approximately 4.3% ~ 4.7% in the U.S. and 2.6% ~ 2.8% in other markets. Royalty revenue has increased, driven by higher systemwide sales and an increase in royalty rates.

Royalty Revenue (cont.d)

Currency: USD k	Systemwide sales					Average Royalty %					Royalty revenue				
	FY21	FY22	FY23	FY24	LTM Nov25	FY21	FY22	FY23	FY24	LTM Nov25	FY21	FY22	FY23	FY24	LTM Nov25
Franchise Sales (U.S.)	166,756	186,292	193,150	195,900	205,818	4.3%	4.5%	4.7%	4.7%	4.7%	7,226	8,334	9,032	9,120	9,667
Master Franchise Sales (Non-U.S.)	103,108	133,709	144,835	154,483	168,964	2.6%	2.7%	2.6%	2.8%	2.7%	2,666	3,576	3,820	4,286	4,614
Thailand	60,356	71,939	73,247	72,256	80,697	1 2.8%	3.0%	3.0%	3.3%	3.3%	1,686	2,154	2,201	2,399	2,668
Philippines	36,484	49,832	57,978	65,887	68,930	2 2.3%	2.3%	2.3%	2.3%	2.3%	843	1,150	1,336	1,525	1,588
France	-	-	1,520	3,454	4,151	3 -	-	3.5%	3.5%	3.5%	-	-	54	122	146
Vietnam	1,639	4,233	4,444	4,404	5,098	4 3.0%	3.0%	3.0%	3.0%	1.2%	49	128	133	133	59
Myanmar	1,101	2,031	2,735	3,835	4,564	0.3%	-	-	-	-	3	-	-	-	-
Taiwan	-	-	-	1,177	3,243	-	-	-	3.0%	3.0%	-	-	-	36	97
Cambodia	1,257	1,920	1,797	1,713	1,659	2.2%	2.2%	2.2%	2.2%	2.2%	28	42	40	38	37
Singapore	2,231	2,323	2,240	1,585	87	2.5%	2.5%	2.5%	1.8%	-	56	58	56	28	-
Laos	-	-	-	171	534	-	-	-	3.5%	3.5%	-	-	-	6	19
Australia	41	1,431	874	-	-	2.5%	3.0%	-	-	-	1	43	-	-	-
Total	269,865	320,000	337,986	350,383	374,782	3.7%	3.7%	3.8%	3.8%	3.8%	9,892	11,911	12,851	13,406	14,280

Source: Management Information and EY analysis

- 1 **Thailand** : Excluding the U.S., Thailand recorded the highest systemwide sales, with a royalty rate of 3.3% in LTMNov25. Under the MF agreement, the royalty rate was set at 3.0% through FY23, 3.3% for FY24 ~ FY28, and will rise to 3.5% from FY29 onward. Store count increased from 101 in FY21 to 131 in LTMNov25, driving systemwide sales growth of 33.7% over the period, which contributed to higher royalty revenue.
 - During Aug21 ~ Dec21, the royalty rate was temporarily reduced to 2.5% as part of a promotional initiative to expand the franchised stores.
- 2 **Philippines** : The Philippines has the largest number of franchised stores among Non-U.S. markets. The royalty rate remained steady at 2.3% during FY21 ~ LTMNov25. Both store count and average systemwide sales per store increased, resulting in revenue growth.
- 3 **France** : Following the execution of an MF agreement, revenue was first recognized in Mar23. As of Oct25, 2 stores have been closed as master franchise agreement was terminated. The royalty rate was 3.5% during FY23 ~ LTMNov25. Although store count is limited, average systemwide sales per store is the highest among all regions.
- 4 **Vietnam** : The royalty rate remained at 3.0% during FY21 ~ FY24. Beginning in FY25, the rate was reduced under a promotional program to support expansion in the Vietnam market, lowering the LTMNov25 royalty rate to 1.2%. Under this program, the royalty rate is set at 1.0% for FY25 ~ FY26, 1.5% for FY27 ~ FY28, 2.0% for FY29 ~ FY30, and 3.0% from FY31 onward. The strategy is to set lower rates in the early stages to accelerate market entry, with gradual increases as the market develops.

[Franchised Store] During FY21 ~ LTMNov25, royalty% averaged approximately 4.3% ~ 4.7% in the U.S. and 2.6% ~ 2.8% in other markets. Royalty revenue has increased, driven by higher systemwide sales and an increase in royalty rates.

Royalty Revenue (cont.d)

Currency: USD k	Systemwide sales					Average Royalty %					Royalty revenue				
	FY21	FY22	FY23	FY24	LTM Nov25	FY21	FY22	FY23	FY24	LTM Nov25	FY21	FY22	FY23	FY24	LTM Nov25
Franchise Sales (U.S.)	166,756	186,292	193,150	195,900	205,818	4.3%	4.5%	4.7%	4.7%	4.7%	7,226	8,334	9,032	9,120	9,667
Master Franchise Sales (Non-U.S.)	103,108	133,709	144,835	154,483	168,964	2.6%	2.7%	2.6%	2.8%	2.7%	2,666	3,576	3,820	4,286	4,614
Thailand	60,356	71,939	73,247	72,256	80,697	2.8%	3.0%	3.0%	3.3%	3.3%	1,686	2,154	2,201	2,399	2,668
Philippines	36,484	49,832	57,978	65,887	68,930	2.3%	2.3%	2.3%	2.3%	2.3%	843	1,150	1,336	1,525	1,588
France	-	-	1,520	3,454	4,151	-	-	3.5%	3.5%	3.5%	-	-	54	122	146
Vietnam	1,639	4,233	4,444	4,404	5,098	3.0%	3.0%	3.0%	3.0%	1.2%	49	128	133	133	59
Myanmar	1,101	2,031	2,735	3,835	4,564	5 0.3%	-	-	-	-	3	-	-	-	-
Taiwan	-	-	-	1,177	3,243	6 -	-	-	3.0%	3.0%	-	-	-	36	97
Cambodia	1,257	1,920	1,797	1,713	1,659	7 2.2%	2.2%	2.2%	2.2%	2.2%	28	42	40	38	37
Singapore	2,231	2,323	2,240	1,585	87	8 2.5%	2.5%	2.5%	1.8%	-	56	58	56	28	-
Laos	-	-	-	171	534	9 -	-	-	3.5%	3.5%	-	-	-	6	19
Australia	41	1,431	874	-	-	10 2.5%	3.0%	-	-	-	1	43	-	-	-
Total	269,865	320,000	337,986	350,383	374,782	3.7%	3.7%	3.8%	3.8%	3.8%	9,892	11,911	12,851	13,406	14,280

Source: Management Information and EY analysis

5 Myanmar : In the initial stage of the MF agreement, a royalty rate of 2.5% was applied. However, due to political instability and resulting restrictions on foreign remittances, both the initial fee and royalty payments under the Master Franchise agreement are currently waived. Despite these challenges, sales have continued to grow steadily, supported by the MF's active promotional efforts. In addition, revenue is generated through sauce sales via the Thailand MF, whereby International Inc. sells sauces to the Thailand MF, which subsequently resells them to the Myanmar MF.

6 Taiwan : Operations commenced in FY24 with a royalty rate of 3.0%. While systemwide sales remains relatively small at the early stage of market entry, it has been steadily increasing.

7 Cambodia : During FY21 ~ LTMNov25, the royalty rate has remained consistent at 2.2%. systemwide sales for the LTMNov25 amounted to USD 1,659k, which is relatively modest compared to other countries.

8 Singapore : The initial agreement set the royalty rate at 2.5%; however, the Master Franchisee failed to fully comply with the store development obligations stipulated under the MF agreement. As the franchisee defaulted on royalty and product payments, the MF agreement was terminated, and no sales are currently being generated.

9 Laos : Under the Master Franchise agreement, the first sales occurred in Aug24. As of Nov25, 4 stores are in operation, with a royalty rate of 3.5%.

10 Australia : A store agreement was initially signed at a royalty rate of 3.0% for the operation of a test store. However, the contract expired without the opening of a permanent store. Leveraging the experience gained from the test store, the Company is considering re-entry into the market in the future.

Marketing Revenue

1 This represents the elimination of intercompany transactions between the marketing revenue recognized by Franchise LLC and the advertising expenses recognized by USA Inc., Allston, and 267W.

The chart illustrates the growth of the average number of employees per company in the manufacturing sector over a 13-year period. The data points are as follows:

Year	Average Number of Employees per Company (%)
2007	1.0%
2008	1.0%
2009	1.0%
2010	1.0%
2011	1.0%
2012	1.0%
2013	1.2%
2014	1.5%
2015	1.5%
2016	1.4%
2017	1.3%
2018	1.5%
2019	1.5%
2020	1.5%
2021	1.5%
2022	1.5%
2023	1.5%
2024	1.5%
2025	1.5%
2026	1.5%
2027	1.5%
2028	1.5%
2029	1.5%
2030	1.5%



[Franchised Store] For U.S. franchised stores, the initial fee is recognized over the contract period, whereas for Non-U.S. markets, the initial fee is recognized in full at the time of store opening.

Initial Fee Revenue

Currency: USD k	FY21	FY22	FY23	FY24	LTM Nov25	11m24	11m25
USA Inc.	441	1,115	979	547	747	509	710
Individual FA Signed	199	315	337	278	210	257	189
Part of Development Agreement	242	800	642	269	537	253	521
International Inc.	102	146	118	134	81	108	55
Thailand	72	75	50	30	5	25	-
Philippines	5	27	41	30	46	20	35
France ¹	-	-	10	10	(0)	10	-
Vietnam ¹	5	14	7	22	(0)	23	-
Myanmar ¹	-	-	-	-	-	-	-
Taiwan ¹	-	-	-	20	(0)	20	-
Cambodia	-	-	10	-	-	-	-
Singapore	10	9	-	-	-	-	-
Laos	-	-	-	21	31	10	20
Australia	10	21	-	-	-	-	-
Total	543	1,261	1,097	681	828	617	765

Source: Management Information and EY analysis
¹The Initial Fee will be exempted through December 31, 2026.

- Upon store openings, fees are recognized as revenue by Franchise LLC at the time of ADA/FA execution and by International Inc. upon the store opening. In the U.S., each store enters into an individual Franchise Agreement (FA), under which the fees collected are initially recorded as deferred revenue and subsequently recognized as revenue over the 10-year contract term. In contrast, outside the U.S., operations are conducted through MFs, making it difficult to specify the contract term for each store; therefore, the full amount is recognized as revenue upon receipt.
- USA Inc. :** Initial fees arise under either an Individual FA or an Area Development Agreement (ADA) and are amortized as revenue over the contractual term beginning from store opening. Additionally, on-site Opening Training and Assistance Fees, Transfer Fees, and Termination Fees are recognized as revenues when incurred. The contractual details as of Nov25 are outlined as follows.

Agreement	Condition	Amount
Initial Fee		
FA	Single-Unit	USD 35,000
	Businesses 1-5 in Development Schedule	USD 35,000
ADA	Businesses 6-10 in Development Schedule	USD 30,000
	Businesses 11 and more in Development Schedule	USD 25,000
Incentive Program (Part of Development Program)		
	Contracts for Opening Three or More Stores (Before Dec31, 2025)	
New ADA	- Initial fee of USD 20,000 (Reduced from original contract) - Royalty Rate : For the first year, 2.5% → thereafter 5%	
	Contracts for opening new stores under existing agreements (Before Dec31, 2025)	
ADA	- Initial fee of USD 20,000 - Royalty Rate : For the first year, 2.5% → thereafter 5%	

Source: Management Information and EY analysis

[Franchised Store] For U.S. franchised stores, the initial fee is recognized over the contract period, whereas for Non-U.S. markets, the initial fee is recognized in full at the time of store opening.

Initial Fee Revenue

Currency: USD k	FY21	FY22	FY23	FY24	LTM Nov25	11m24	11m25
USA Inc.	441	1,115	979	547	747	509	710
Individual FA Signed	199	315	337	278	210	257	189
Part of Development Agreement	242	800	642	269	537	253	521
International Inc.	102	146	118	134	81	108	55
Thailand	72	75	50	30	5	25	-
Philippines	5	27	41	30	46	20	35
France ¹	-	-	10	10	(0)	10	-
Vietnam ¹	5	14	7	22	(0)	23	-
Myanmar ¹	-	-	-	-	-	-	-
Taiwan ¹	-	-	-	20	(0)	20	-
Cambodia	-	-	10	-	-	-	-
Singapore	10	9	-	-	-	-	-
Laos	-	-	-	21	31	10	20
Australia	10	21	-	-	-	-	-
Total	543	1,261	1,097	681	828	617	765

Source: Management Information and EY analysis

¹The Initial Fee will be exempted through December 31, 2026.

USA Inc. (cont.d)

- **Individual FA Signed** : Franchise Agreements (FAs) are valid for 10 years and may be renewed in increments of 5 or 10 years. Upon renewal, a Renewal Fee equivalent to 25% of the initial franchise fee is charged and recognized as revenue over the renewed contract period.
- **Incentive Program (Part of Development Agreement)** : An Area Development Agreement (ADA) grants the right to open a specified number of stores within a designated area during a defined period. For each store opening, a separate FA must be executed. The Incentive Program, available for FA contracts signed prior to Dec25, offers discounts on initial fees and royalties as a promotion and is uniformly applied to both existing and new ADA franchisees.

[Franchised Store] For U.S. franchised stores, the initial fee is recognized over the contract period, whereas for Non-U.S. markets, the initial fee is recognized in full at the time of store opening.

Initial Fee Revenue

Currency: USD k	FY21	FY22	FY23	FY24	LTM Nov25	11m24	11m25
USA Inc.	441	1,115	979	547	747	509	710
Individual FA Signed	199	315	337	278	210	257	189
Part of Development Agreement	242	800	642	269	537	253	521
International Inc.	102	146	118	134	81	108	55
Thailand	72	75	50	30	5	25	-
Philippines	5	27	41	30	46	20	35
France ¹	-	-	10	10	(0)	10	-
Vietnam ¹	5	14	7	22	(0)	23	-
Myanmar ¹	-	-	-	-	-	-	-
Taiwan ¹	-	-	-	20	(0)	20	-
Cambodia	-	-	10	-	-	-	-
Singapore	10	9	-	-	-	-	-
Laos	-	-	-	21	31	10	20
Australia	10	21	-	-	-	-	-
Total	543	1,261	1,097	681	828	617	765

Source: Management Information and EY analysis

¹The Initial Fee will be exempted through December 31, 2026.

- International Inc. :** Upon store opening, the initial fee is charged in accordance with each MF's MFA and fully recognized as revenue in that month. Depending on country-specific circumstances or strategic considerations, grace periods or discounts may be granted. In the case of the Myanmar MF, the initial fee was temporarily waived due to the unstable political situation. The initial fee conditions by country are as follows.

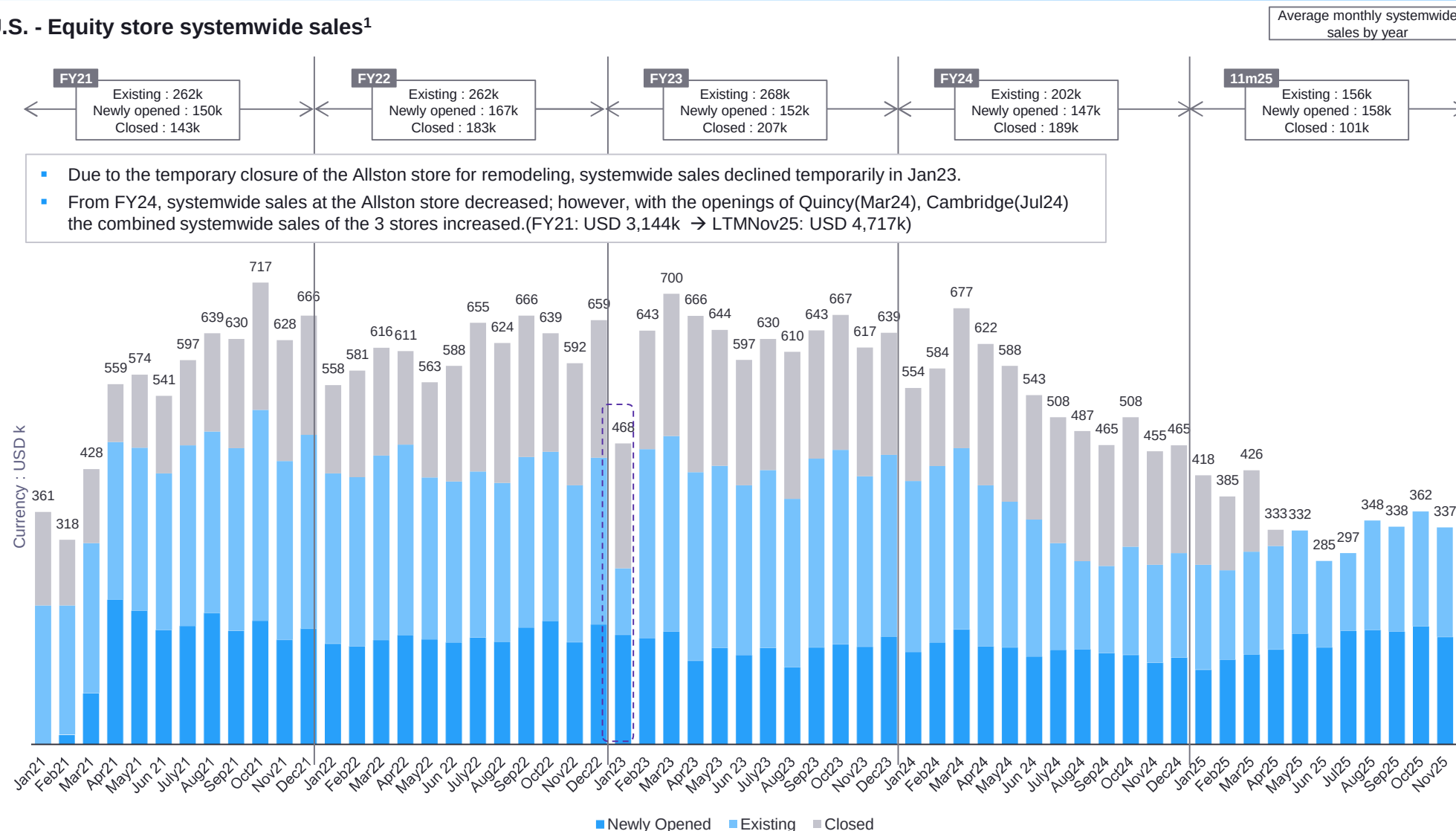
Country	Condition	Amount
Philippines	Basic	USD 5,000
	Less than 80 square meter stores prior to 2019	USD 3,500
Vietnam ¹	Basic	USD 5,000
	May23 ~ FY26 : under following conditions - net of 10 stores opened each year-end - minimum 20% equity stores out of total stores	USD 2,500
Thailand ¹	Up to 20th store	USD 10,000
	From 21st store	USD 5,000
France	Up to 2021	USD 5,000
	From 2022	USD 10,000
Myanmar	Single-Unit	USD 5,000
Laos Taiwan ¹ Singapore Cambodia Australia	Single-Unit	USD 10,000

Source: Management Information and EY analysis

¹ Under the Market Supporting Program, the opening fee will be waived through FY26.

[Systemwide sales_Monthly trend] Store sales declined due to closures and reduced sales at existing stores. However, newly opened stores since FY21 have maintained an average monthly systemwide sales of USD 156k as of 11m25.

U.S. - Equity store systemwide sales¹

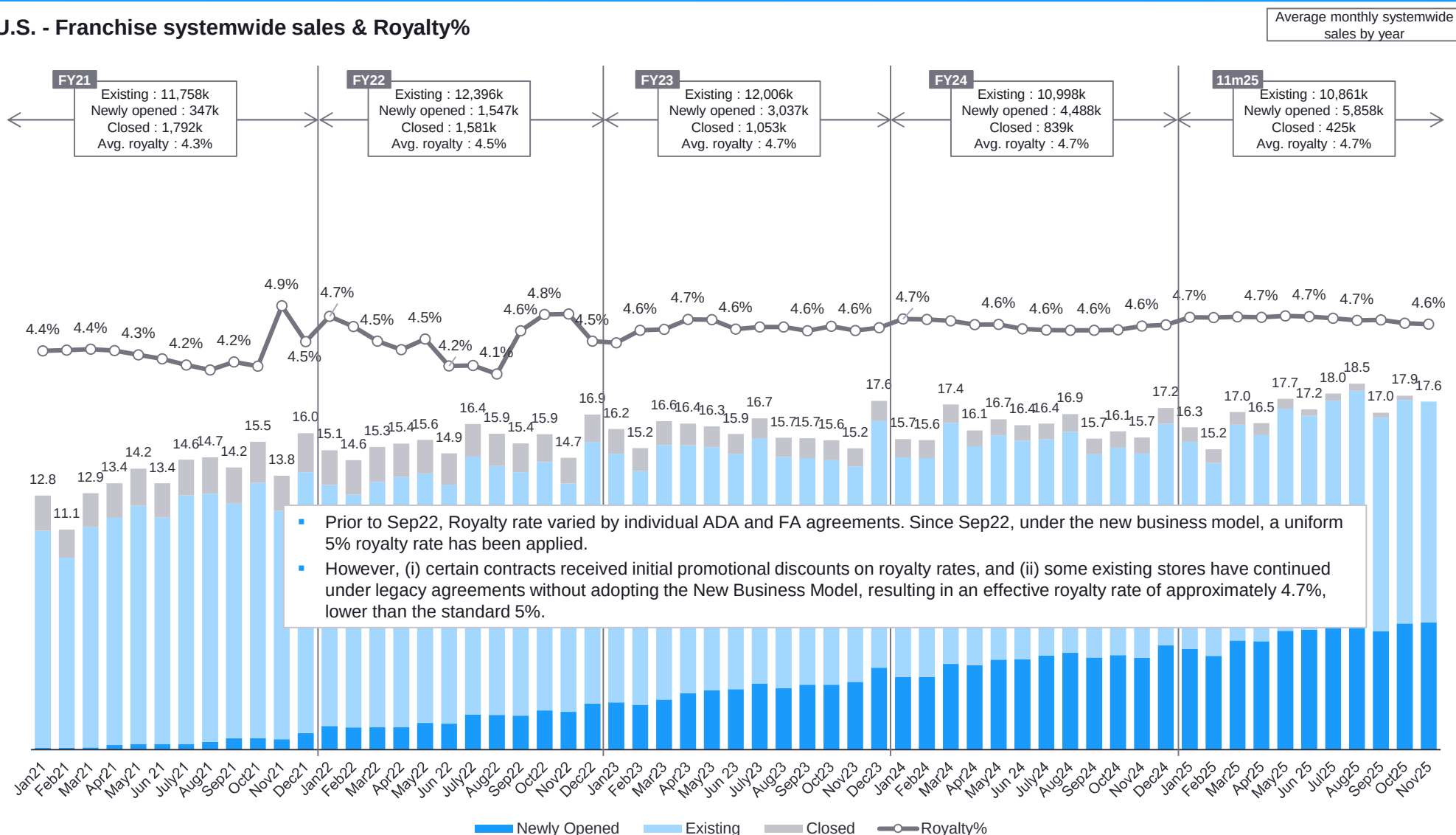


Source: Management Information and EY analysis

¹ FY21 figures include sales from the Allston store, with certain discrepancies between managerial and financial profit/loss.

[Systemwide sales & Royalty rate_Monthly trend] In the past, different royalty rates were applied by store, resulting in fluctuations in the average annual royalty rate. However, following the implementation of the New Business Model, the rate increased to 4.7%.

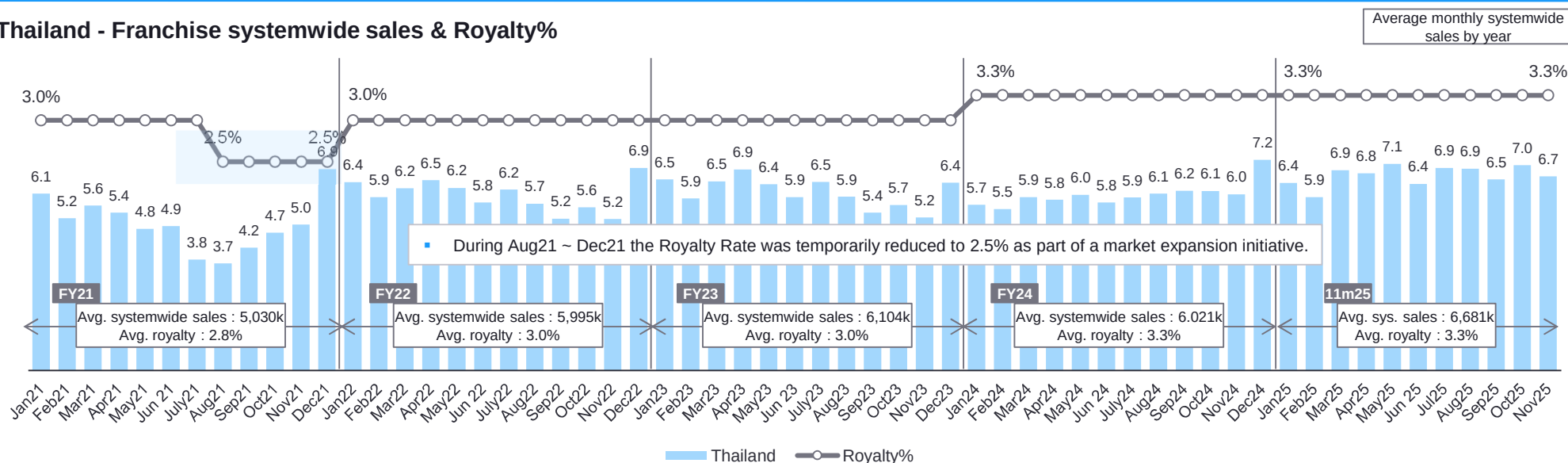
U.S. - Franchise systemwide sales & Royalty%



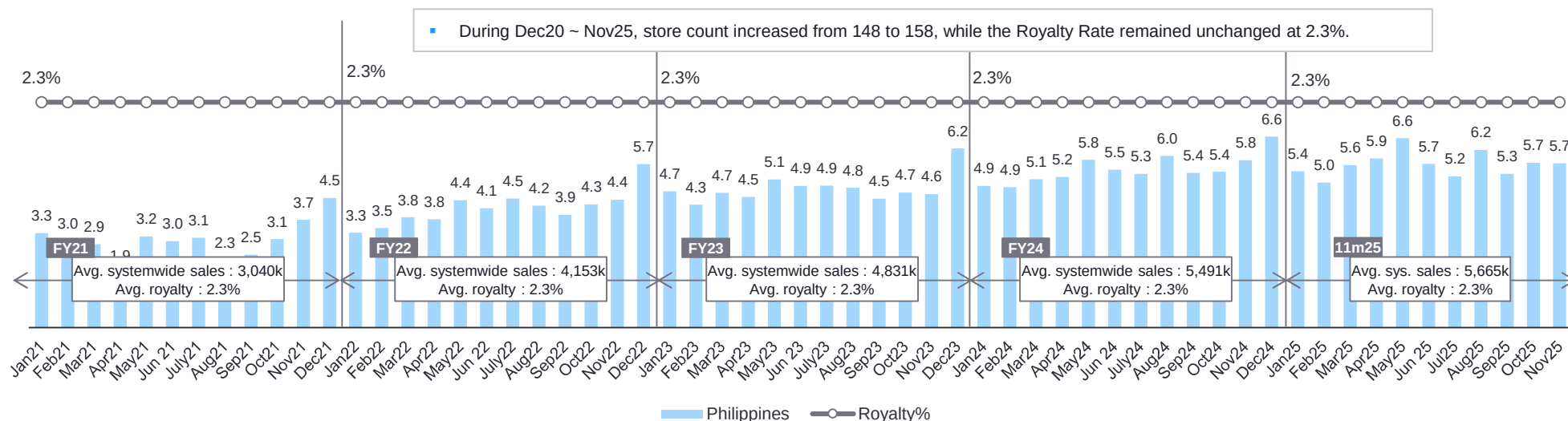
Source: Management Information and EY analysis

[Systemwide sales & Royalty rate_Monthly trend] Thailand increased its royalty rate from 3.0% to 3.3%, while Philippines maintained its rate at 2.3%. In both markets, the overall growth in systemwide sales led to higher royalty revenue.

Thailand - Franchise systemwide sales & Royalty%



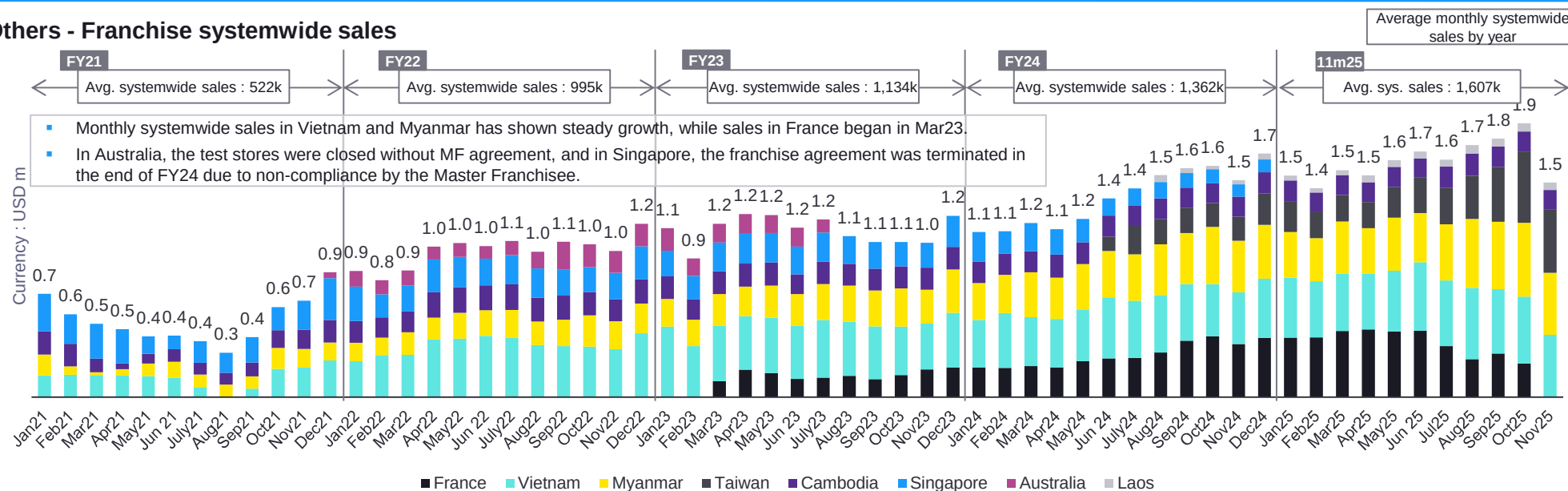
Philippines - Franchise systemwide sales & Royalty%



Source: Management Information and EY analysis

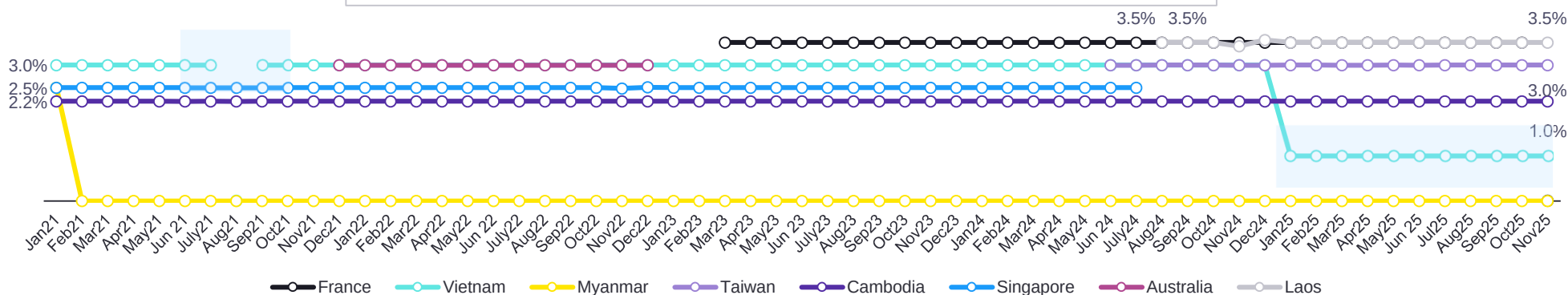
[Systemwide sales & Royalty rate_Monthly trend] Royalty revenue has been steadily increasing, driven by new market entries in France, Taiwan, and Laos, as well as systemwide sales growth in existing markets.

Others - Franchise systemwide sales



Others - Franchise Royalty%

In Vietnam, no sales were recorded in Aug21 due to the COVID-19 lockdown. In addition, as part of a supporting program during FY25, the royalty rate was temporarily reduced to 1%.



Source: Management Information and EY analysis

[Merchandise & Finished Goods Sales] Finished Goods sales primarily consist of signature sauces manufactured at the Busan plant, while merchandise sales mainly include kitchen supplies used in store operations.

Merchandise & Finished Goods Sales

Currency: USD k	FY21	FY22	FY23	FY24	LTM Nov25	11m24	11m25
International Inc.	11,921	6,013	4,869	5,529	5,172	5,222	4,865
Finished Goods Sale	11,366	5,852	4,764	5,323	5,003	5,032	4,712
By Country	11,366	5,852	4,764	5,323	5,003	5,032	4,712
USA	7,103	488	-	-	-	-	-
Thailand	3,183	3,452	3,118	3,414	3,268	3,161	3,015
Philippines	889	1,516	1,342	1,452	1,508	1,459	1,515
Others	191	395	305	457	228	411	182
By Item	11,366	5,852	4,764	5,323	5,003	5,032	4,712
Original Sauce	7,331	3,641	2,804	3,172	3,055	3,056	2,939
Spicy Sauce	4,035	2,211	1,960	2,151	1,948	1,976	1,773
Merchandise Sale	555	161	104	206	169	190	153
By Country	555	161	104	206	169	190	153
USA	490	93	8	8	8	8	8
Vietnam	30	57	53	61	49	61	49
Others	36	11	43	137	113	121	97
By Item	555	161	100	206	169	190	153
Kitchenware	425	66	18	21	23	21	23
Ingredients/Sauce	124	95	83	184	146	169	131
Kitchen clothing	6	-	-	-	-	-	-
Bonchon LLC.	9,519	7,141	1,171	732	57	730	55
Finished Goods Sale	7,503	5,376	9	-	-	-	-
Original Sauce	4,943	3,519	-	-	-	-	-
Spicy Sauce	2,560	1,857	9	-	-	-	-
Merchandise Sale	2,016	1,764	1,162	732	57	730	55
Ingredients/Sauce	193	232	514	277	38	275	37
Kitchenware	233	435	96	32	15	31	13
Others	1,589	726	231	97	5	97	5
Equipment	-	370	321	326	-	326	-
Consol Adj.	(7,846)	(827)	(46)	(16)	(39)	(15)	(37)
Finished Goods Sale	(7,254)	(617)	-	-	-	-	-
Merchandise Sale	(592)	(210)	(46)	(16)	(39)	(15)	(37)
Consol	13,594	12,327	5,994	6,245	5,191	5,937	4,882

Source: Management information and EY analysis

- **Finished Goods Sale** : Finished goods sales are composed of two key items: Original(Soy Garlic) sauce and Spicy sauce.

By country

- **U.S.** : Until Sep22, finished goods sales were recognized on a gross basis through direct sales by Bonchon LLC. Since Sep22, however, sauces have been manufactured under OEM arrangements with local partners in U.S. and distributed to both equity stores and franchised stores through third-party distributors. Under this new structure, only brand sauce margin is recognized as other sales, and no further finished goods sales are recorded.
- **Thailand** : As of Nov25, Thailand operated 131 stores and represents the largest portion of sauce sales. Due to Myanmar's political situation, sauces sold in Myanmar are supplied through Thailand, and such sales are therefore included in Thailand's reported sauce revenue. Because the Master Franchisee in Thailand purchases sauces inclusive of those allocated to Myanmar, precise revenue attribution by market is not feasible. Sauce revenue increased during FY21 ~ LTMNov25 in line with store expansion.
- **Philippines** : As of Nov25, Philippines had 158 stores, but relative sauce sales were lower compared to Thailand. This is attributable to i) a higher sales mix of side dishes and desserts relative to chicken, ii) local dining practices in which chicken is typically consumed with rice as a meal substitute, resulting in fewer chicken pieces sold per order, and iii) the ability of franchisees, subject to headquarters approval, to use locally developed or sourced sauces alongside the company's proprietary products.

By item

- The two signature sauces manufactured directly at International's Busan plant are recognized as revenue at the point of shipment from the facility. Sales of Original(Soy Garlic) sauce have been slightly higher than those of Spicy sauce, reflecting consumer preferences in overseas markets, where sweeter soy and garlic-based flavors are generally favored over spicier profiles.
- In FY21, the U.S. accounted for approximately 62% of total finished goods sales. However, following the transition in Sep22 to local OEM production, reported sales declined, as finished goods sales from the U.S. are no longer recognized under the prior structure.

[Merchandise & Finished Goods Sales] Finished Goods sales primarily consist of signature sauces manufactured at the Busan plant, while merchandise sales mainly include kitchen supplies used in store operations.

Merchandise & Finished Goods Sales

Currency: USD k	FY21	FY22	FY23	FY24	LTM Nov25	11m24	11m25
International Inc.	11,921	6,013	4,869	5,529	5,172	5,222	4,865
Finished Goods Sale	11,366	5,852	4,764	5,323	5,003	5,032	4,712
By Country	11,366	5,852	4,764	5,323	5,003	5,032	4,712
USA	7,103	488	-	-	-	-	-
Thailand	3,183	3,452	3,118	3,414	3,268	3,161	3,015
Philippines	889	1,516	1,342	1,452	1,508	1,459	1,515
Others	191	395	305	457	228	411	182
By Item	11,366	5,852	4,764	5,323	5,003	5,032	4,712
Original Sauce	7,331	3,641	2,804	3,172	3,055	3,056	2,939
Spicy Sauce	4,035	2,211	1,960	2,151	1,948	1,976	1,773
Merchandise Sale	555	161	104	206	169	190	153
By Country	555	161	104	206	169	190	153
USA	490	93	8	8	8	8	8
Vietnam	30	57	53	61	49	61	49
Others	36	11	43	137	113	121	97
By Item	555	161	100	206	169	190	153
Kitchenware	425	66	18	21	23	21	23
Ingredients/Sauce	124	95	83	184	146	169	131
Kitchen clothing	6	-	-	-	-	-	-
Bonchon LLC.	9,519	7,141	1,171	732	57	730	55
Finished Goods Sale	7,503	5,376	9	-	-	-	-
Original Sauce	4,943	3,519	-	-	-	-	-
Spicy Sauce	2,560	1,857	9	-	-	-	-
Merchandise Sale	2,016	1,764	1,162	732	57	730	55
Ingredients/Sauce	193	232	514	277	38	275	37
Kitchenware	233	435	96	32	15	31	13
Others	1,589	726	231	97	5	97	5
Equipment	-	370	321	326	-	326	-
Consol Adj.	(7,846)	(827)	(46)	(16)	(39)	(15)	(37)
Finished Goods Sale	(7,254)	(617)	-	-	-	-	-
Merchandise Sale	(592)	(210)	(46)	(16)	(39)	(15)	(37)
Consol	13,594	12,327	5,994	6,245	5,191	5,937	4,882

Source: Management information and EY analysis

- **Merchandise Sale** : Merchandise sales consist of kitchen supplies, kitchen apparel, other sauces manufactured under OEM arrangements, and occasional sales of kitchen equipment in the U.S. In terms of sourcing: (i) in the U.S., all items other than frying tools are procured through 3rd parties in the U.S., while (ii) in Non-U.S. markets, each country's Master Franchise typically sources required merchandise locally, purchasing only select items from International Inc. as needed. As a result, overall merchandise sales have declined.

By country

- **U.S.** : Merchandise sales primarily consisted of frying tools and consumables sold through Bonchon LLC. However, sales declined significantly from Sep22 following the transition to 3rd party distributors.
- **Others** : Merchandise sales increased with the opening of new stores in France in FY23 and in Laos and Taiwan in FY24.

By item

- **Kitchenware** : Comprised of kitchen supplies such as frying tools, scissors, plastic bags used in store operations.
- **Equipment** : During COVID-19, due to supply chain disruptions, Bonchon LLC temporarily purchased kitchen equipment directly and resold it to franchisees as part of store opening support. Given its low profitability and operational burden, the Company does not plan to continue this sales going forward.
- **Sauce** : Represents sales of sauces used in menu items, including Bonchon signature sauces produced by KENS/TKA and supplied through Bonchon LLC without passing through U.S. DCs, as well as bibimbap sauce, sweet crunch sauce, and udon sauce manufactured by OEM suppliers.

[COGS overview] COGS% remained relatively consistent in the range of 19.1% ~ 22.8% during FY21 ~ LTMNov25, with franchise marketing COGS representing the largest component.

COGS overview

Currency: USD k	FY21	FY22	FY23	FY24	LTM Nov25	11m24	11m25
Cost of Sales-Merchandise	1,306	1,373	1,259	628	154	609	135
International Inc.	402	99	48	74	62	69	57
Bonchon LLC	1,336	1,426	1,239	561	101	549	89
Consol. Adj.	(432)	(151)	(28)	(7)	(9)	(9)	(11)
Cost of Sales-Sauce	2,449	2,518	1,368	1,306	1,240	1,228	1,161
International Inc.	2,193	1,348	1,359	1,306	1,240	1,228	1,161
Bonchon LLC	5,826	4,291	21	-	-	-	-
Consol. Adj.	(5,571)	(3,120)	(11)	-	-	-	-
Franchise - Marketing	1,709	2,169	2,816	3,253	3,208	2,994	2,949
Franchise LLC	1,744	2,256	2,923	3,350	3,274	3,083	3,007
Consol. Adj.	(35)	(87)	(107)	(96)	(66)	(89)	(58)
Store COGS	1,185	2,217	2,061	2,095	1,229	1,955	1,090
USA Inc.	1,411	1,429	1,268	1,113	707	1,031	625
Beverage	2	3	1	-	-	-	-
Allston LLC	-	1,024	829	804	542	757	495
267W LLC	19	-	-	186	12	174	-
Consol. Adj.	(247)	(239)	(38)	(8)	(31)	(7)	(30)
Total COGS	6,650	8,277	7,503	7,282	5,831	6,786	5,335
COGS %	22.4%	22.8%	22.3%	22.2%	19.1%	22.4%	19.1%

Source: Management information and EY analysis

- **COGS - Merchandise** : COGS - Merchandise primarily consists of kitchen supplies and packaging materials used in store operations. From Sep22, merchandise in the U.S. has been distributed directly through 3rd party distributors, resulting in a decline in COGS - Merchandise. In contrast, franchisees in Non-U.S. markets can procure merchandise independently within their respective countries.
- **COGS - Sauce** : Represents the cost of signature sauces manufactured by International Inc. Since Sep22, sauces for the U.S. market have been produced under OEM arrangements through KENS (transitioned to TKA in Jul25) and purchased by each store via 3rd party distributors, which has also reduced COGS.
 - Up to FY22, Bonchon LLC purchased signature sauces from International Inc. and supplied them to U.S. stores; however, such related-party transactions have not occurred since Sep22.
- **Franchise COGS - Marketing** : Represents marketing costs incurred exclusively in the U.S. for systemwide sales, primarily consisting of media and social media advertising, video and photo production, and promotional activities. Since FY22, the use of external agencies has driven an increase in related expenses.
- **Store COGS** : Represents the cost of sales for equity stores, including chicken, sauces, and other food & beverage items (e.g., beer, wine, and other menu items), as well as packaging materials. Operating expenses at equity stores, including labor costs, rent expenses, utilities and 3rd party delivery fees, are classified under SG&A. As of LTMNov25, COGS was incurred only at the 4 equity store locations: Allston, Addison, Towson, and 38th.

[COGS overview] COGS% remained relatively consistent in the range of 19.1% ~ 22.8% during FY21 ~ LTMNov25, with franchise marketing COGS representing the largest component.

COGS overview

Currency: USD k	FY21	FY22	FY23	FY24	LTM Nov25	11m24	11m25
Cost of Sales-Merchandise	1,306	1,373	1,259	628	154	609	135
International Inc.	402	99	48	74	62	69	57
Bonchon LLC	1,336	1,426	1,239	561	101	549	89
Consol. Adj.	(432)	(151)	(28)	(7)	(9)	(9)	(11)
Cost of Sales-Sauce	2,449	2,518	1,368	1,306	1,240	1,228	1,161
International Inc.	2,193	1,348	1,359	1,306	1,240	1,228	1,161
Bonchon LLC	5,826	4,291	21	-	-	-	-
Consol. Adj.	(5,571)	(3,120)	(11)	-	-	-	-
Franchise - Marketing	1,709	2,169	2,816	3,253	3,208	2,994	2,949
Franchise LLC	1,744	2,256	2,923	3,350	3,274	3,083	3,007
Consol. Adj.	(35)	(87)	(107)	(96)	(66)	(89)	(58)
Store COGS	1,185	2,217	2,061	2,095	1,229	1,955	1,090
USA Inc.	1,411	1,429	1,268	1,113	707	1,031	625
Beverage	2	3	1	-	-	-	-
Allston LLC	-	1,024	829	804	542	757	495
267W LLC	19	-	-	186	12	174	-
Consol. Adj.	(247)	(239)	(38)	(8)	(31)	(7)	(30)
Total COGS	6,650	8,277	7,503	7,282	5,831	6,786	5,335
COGS %	22.4%	22.8%	22.3%	22.2%	19.1%	22.4%	19.1%

Source: Management information and EY analysis

Consol. Adj.

- Merchandise : All COGS - Merchandise related to supplies delivered by International Inc. to the U.S. has been recorded as related-party transactions. Currently, only frying tools are imported through International Inc.
- Sauce : All COGS for sauces manufactured by International Inc. and supplied to the U.S. were recorded as related-party transactions. Since Sep22, the U.S. has sourced sauces locally, resulting in a reduction in related-party transactions.
- Marketing : Franchise LLC collects marketing funds from equity stores under the same terms as franchisees. These funds are initially recognized as marketing revenue. Any remaining balance related to subsidiaries is considered realized during the period and eliminated through intercompany adjustments.
- Store : Bonchon LLC supplies sauces and consumables to equity stores.

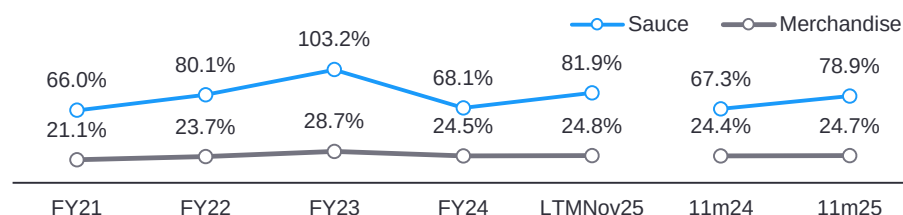
[COGS : International Inc.] As of LTMNov25, COGS was primarily composed of raw materials (49.0%), labor costs (27.3%), and D&A (11.8%).

COGS_International

Currency: USD k	FY21	FY22	FY23	FY24	LTM Nov25	11m24	11m25
COGS - Sauce	2,193	1,348	1,359	1,306	1,240	1,228	1,161
1. CY Manufacturing cost	2,068	1,472	1,253	1,396	1,329	1,289	1,222
Raw Material	1,096	679	525	673	608	625	560
Beg. RM inventory	160	193	288	266	254	266	237
RM purchase current period	1,144	785	508	677	572	633	528
End. RM inventory	(193)	(288)	(266)	(237)	(207)	(254)	(207)
Others	(15)	(10)	(5)	(33)	(11)	(20)	2
Supplies expense	16	7	5	5	4	5	4
Labor cost	385	346	310	332	340	303	311
Manufacturing overhead	571	441	412	387	377	356	347
D&A	231	186	164	163	147	150	133
Utilities	138	136	127	126	128	114	117
Consumables	55	17	37	29	30	28	29
Commissions	33	30	30	30	29	28	27
Repairs and Maintenance	53	41	19	5	10	4	9
Quality control	7	7	4	6	5	5	4
Others	54	24	29	28	28	27	27
2. Beg. FG inventory	214	57	166	52	103	52	124
3. End. FG inventory	(57)	(166)	(52)	(124)	(176)	(103)	(176)
4. Transfer to other accounts	(31)	(16)	(9)	(18)	(15)	(11)	(7)
5. Other COGS	(0)	-	-	-	-	-	-
COGS - Merchandise	402	99	48	74	62	69	57
Total COGS	2,595	1,446	1,406	1,380	1,302	1,297	1,219

Source: Management information and EY analysis

COGS % of revenue (Consol.)



Source: Management information and EY analysis

- International Inc. manufactures sauces at its Busan plant and sells them to franchisees in Non-U.S. markets. In the U.S., however, the sauce supply structure has shifted to OEM production and sales through third-party distributors, resulting in a reduction in COGS.
- COGS - Sauce**
 - Raw material** : The overall scale of raw material purchases has remained relatively modest, primarily consisting of ingredients required for signature sauces. Key items include soy sauce, sugar, garlic, and red pepper powder. During the due diligence period, suppliers by item have remained unchanged. With the restructuring of U.S. sauce distribution, sauce production volume declined, resulting in lower raw material purchases.
 - Labor cost** : Includes salaries, bonuses, severance pension contributions, and employee benefits. Labor costs accounted for 18.6% to 25.5% of total manufacturing costs during FY21 ~ LTMNov25. Personnel classified under COGS consist of production staff at the Busan plant, with a total headcount of 9 as of LTMNov25. Average labor cost per capita is approximately USD 38k.
 - Manufacturing overhead** : Primarily consist of D&A of plant equipment and utilities, along with other fixed-cost items such as supplies, service fees, maintenance expenses, and quality control expenses.
 - Reclassified to other accounts** : Certain amounts were reclassified to other accounts, including R&D expenses, sampling costs, and quality control expenses.
- COGS - Merchandise** : Major purchased items consist of kitchen supplies (e.g., frying tools, trays, scissors), kitchen apparel (e.g., t-shirts, hats), and packaging materials. These product categories (kitchen supplies, uniforms, and packaging) involve a limited number of items and relatively small transaction amounts; therefore, no standardized margin policy is applied at the headquarters level. However, margins are generally maintained at a relatively low level, estimated at approximately 15% to 20%.

[COGS : International Inc. Raw material purchase_PxQ] Raw materials have been consistently sourced from key suppliers without change. However, raw material purchases declined as sauce production was shifted to local manufacturing in the U.S.

Raw material purchase_PxQ

		Purchase Amount (USD k)					Purchase Quantity (EA : k)					Purchase Unit Cost (USD / EA)				
Currency: USD k	Unit	FY21	FY22	FY23	FY24	LTM Nov25	FY21	FY22	FY23	FY24	LTM Nov25	FY21	FY22	FY23	FY24	LTM Nov25
Raw material purchase		1,144	785	508	677	572	1,452	788	506	687	708	0.8	1.0	1.0	1.0	0.8
Garlic	kg	227	152	94	107	109	35	22	14	20	19	6.5	6.8	6.6	5.4	5.8
Soy sauce	EA	161	96	53	94	78	11	7	3	6	5	15.2	14.6	16.8	15.9	15.4
Seasoning powder	kg	102	73	52	87	57	70	42	24	41	28	1.5	1.7	2.2	2.1	2.0
Chili powder	kg	100	63	71	75	59	13	9	7	9	6	7.6	6.8	10.8	8.3	9.2
Pouch	EA	114	49	37	44	50	901	415	308	386	460	0.1	0.1	0.1	0.1	0.1
Refined sugar	kg	76	72	38	55	47	130	106	50	80	70	0.6	0.7	0.8	0.7	0.7
Cooking rice wine	EA	84	57	35	52	39	6	4	2	4	3	14.3	13.8	15.5	14.9	14.3
Sugar	kg	61	54	27	38	23	88	71	25	42	28	0.7	0.8	1.1	0.9	0.8
Other packaging	EA	45	17	15	19	15	118	44	42	56	46	0.4	0.4	0.4	0.3	0.3
Other seasoning	kg	174	152	85	105	94	81	68	31	44	44	2.2	2.2	2.8	2.4	2.2
Current period of RM purchase		1,144	785	508	677	572	1,452	788	506	687	708	0.8	1.0	1.0	1.0	0.8

Source: Management information and EY analysis

Raw material suppliers

Currency: USD k	Purchase	FY21	FY22	FY23	FY24	LTM Nov25	11m24	11m25
Supplier A	Sugar, seasoning powder, etc.	256	221	121	192	135	179	122
Supplier B	Garlic	227	152	94	107	109	95	97
Supplier C	Soy sauce	161	96	53	94	78	94	78
Supplier D	Chili powder	100	63	71	75	59	62	46
Supplier E	Pouch	114	49	37	44	50	44	50
Supplier F	Cooking rice wine	84	57	35	52	39	48	35
Others	Salt, lemon juice, capsaicin, etc	202	148	96	113	102	111	100
Total		1,144	785	508	677	572	633	528

Source: Management information and EY analysis

- **Raw Materials:** Throughout the due diligence period, raw materials have been consistently procured from key suppliers. However, as the U.S., a major sauce market, shifted to 3rd party local production from Sep22, raw material purchase volumes declined thereafter.
- **Key Purchases:** The Company's key raw material includes soy sauce, sugar, garlic, and red pepper powder, along with sub-materials used for packaging. Among these, sugar, seasoning, starch, and fructose are sourced from Supplier A, which represents the Company's largest supplier.
- **Sub-Materials:** Items such as pouches, powder bags, packaging boxes, and partitions are primarily purchased from Supplier E and Supplier G.
- In FY23, overall raw material purchase volumes decreased due to market factors such as the change in U.S. manufacturers and exit from the Australian market. Conversely, during FY24 ~ LTMNov25, raw material purchase amounts and volumes increased again, driven by store expansion and higher systemwide sales across countries.
- In FY23, supply shortages from major raw material vendors led the Company to procure purchases through brokers or diversify sourcing in smaller quantities across multiple suppliers. As a result, raw material unit costs temporarily increased.

[Marketing expenses] The Company collects a certain percentage of systemwide sales from franchisees and equity stores to operate a marketing fund and has significantly expanded digital marketing initiatives following COVID-19.

Marketing expenses

Currency: USD k	FY21	FY22	FY23	FY24	11m25
Marketing revenue ¹	1,744	2,256	2,923	3,350	3,043
Marketing expenses	1,754	2,364	3,184	3,660	4,486
By account	1,754	2,364	3,184	3,660	4,486
COGS	1,744	2,256	2,923	3,350	3,043
SG&A	10	108	261	310	-
Marketing liability	-	-	-	-	1,442
By channel	1,754	2,364	3,184	3,660	4,486
Working	865	990	1,568	1,670	3,008
National Advertisement	11	6	1,245	1,081	1,628
Promotions	0	239	306	588	1,367
Social Media	717	661	3	1	13
Public Relations	137	84	13	-	-
Non-working	889	1,374	1,616	1,989	1,478
Overhead expense	286	334	438	495	367
Agency	-	154	304	336	386
CRM/Loyalty	-	-	218	212	75
Menu	74	44	18	154	55
Market research	50	33	14	137	89
Others	479	809	623	655	505

Source: Management information and EY analysis

1. Figures are prior to consolidation adjustments.

Marketing fund overview

Currency : USD k	FY21	FY22	FY23	FY24	Nov25
Marketing fund	1,744	2,256	2,923	3,350	3,043
Marketing spending	1,754	2,364	3,184	3,660	4,486
Marketing fee deficit / liability	(10)	(108)	(261)	(310)	(1,442)

Source: Management information and EY analysis

- The Company collects a fixed percentage of franchisees' systemwide sales on a weekly basis to establish and operate the Marketing Fund, which is used for systemwide marketing and advertising expenses. All proceeds are recognized as revenue; however, to ensure no impact on the margin, an equivalent amount is recorded as COGS. In addition, rebates received from brand partners (e.g., Pepsi, DoorDash, etc.) are also recognized as part of the Marketing Fund.

Marketing fund rate

Currency : USD k	Collector	Marketing fund rate
USA	Franchise LLC	~Sep22 : 1.0% / Sep22~ : 1.5%
Philippines, Thailand, Cambodia, Myanmar		2.0%
Vietnam	Master Franchise	~Nov23 : 2.0% / Nov23 ~ : 4.0%
France, Taiwan, Laos		3.0%

Source: Management information and EY analysis

- Marketing expenses :** Following COVID-19, the Company strategically expanded its marketing efforts focusing on digital marketing, and in certain cases executed expenditures in excess of the Fund budget. As a result, excess marketing fee expenditures increased by USD 300k in FY24 compared to FY21. As of 11m25, the allocation of Marketing expenses was 67.1% for Working and 32.9% for Non-working, with the proportion of Working showing an increasing trend compared to the prior period.
 - Working :** Refers to customer-facing marketing intended to enhance brand awareness and drive sales. Since FY23, the Company significantly expanded paid search and social marketing initiatives, including influencer collaborations and sponsored listing, resulting in higher National advertising costs. In FY24, the Company received USD 200k from DoorDash for marketing fund, which contributed to an increase in Promotion costs compared to the prior year.
 - Non-working :** Refers to marketing expenses related to operations and promotions, such as product giveaways, website updates, and marketing staff overhead. It also includes supporting costs such as photoshoots and SEO, which have increased alongside Working marketing expenses.
- In 2H25, the Company plans to continue top-placement marketing on delivery platforms such as DoorDash and UberEats to drive delivery sales to support sales growth. Beginning in Sep25, the Company has been running a promotion offering free donut coupons to stimulate sales through its own online store and mobile app.

[SG&A] During LTMNov25, SG&A accounted for 55.7% of revenue, with labor costs representing the largest portion, while the remaining expenses were primarily fixed costs.

SG&A overview

Currency : USD k	FY21	FY22	FY23	FY24	LTMNov25
Revenue	29,723	36,273	33,688	32,845	30,538
SG&A	15,468	20,581	21,465	19,969	16,998
Labor cost	7,244	9,835	9,811	9,866	8,477
Service fees	1,676	2,026	2,248	2,001	2,269
Rental expenses	1,446	1,669	1,692	1,448	940
Travel expenses	373	625	996	1,017	874
Advertising & Marketing	200	676	775	866	820
Freight expenses	886	1,177	959	735	482
Utility expenses	145	282	277	289	218
R&D	114	178	173	231	279
D&A	2,448	2,742	2,903	2,363	2,074
Others	935	1,370	1,631	1,155	566
% of Revenue	52.0%	56.7%	63.7%	60.8%	55.7%
Labor cost	24.4%	27.1%	29.1%	30.0%	27.8%
Service fees	5.6%	5.6%	6.7%	6.1%	7.4%
Rental expenses	4.9%	4.6%	5.0%	4.4%	3.1%
Travel expenses	1.3%	1.7%	3.0%	3.1%	2.9%
Advertising & Marketing	0.7%	1.9%	2.3%	2.6%	2.7%
Freight expenses	3.0%	3.2%	2.8%	2.2%	1.6%
Utility expenses	0.5%	0.8%	0.8%	0.9%	0.7%
R&D	0.4%	0.5%	0.5%	0.7%	0.9%
D&A	8.2%	7.6%	8.6%	7.2%	6.8%
Others	3.1%	3.8%	4.8%	3.5%	1.9%

Source: Management information and EY analysis

- During FY21 ~ LTMNov25, labor cost represented an average of 48% of total SG&A, consistently the largest portion. The majority of SG&A is fixed cost, and since COVID-19, the ratio to revenue has remained at an average of 60.1% during FY23 ~ LTMNov25.
- Labor cost** : Labor cost includes salaries, bonuses, severance pension contributions, annual leave back pay, and employee benefits, and includes executives as well as administrative staff such as accounting and IT. While headcount at International Inc. remained relatively stable, headcount at USA Inc. increased, driving the SG&A as % of revenue to 27.8% in LTMNov25, a 3.4%p increase compared to FY21.
- Service fees** : Comprised of IT, legal, and accounting fees, primarily incurred at International Inc. and Franchise LLC.
- IT** : Totaled USD 784k during LTMNov25, representing the largest share of service fees. Key vendors and related details are as below.

Currency : USD k	Vendor	Description	Amount
Franchise LLC	YOOBIC Inc	Training platform (up to Jul25)	85
	Opus Training Inc	Training platform (from Jul25)	38
	M3 IT	External IT maintenance provider	173
Bonchon LLC	ArrowStream Inc	F&B SCM platform	125
International Inc.	SAP Korea	SAP license	72
USA Inc.	NCR local	Aloha POS service fees	17

Source: Management information and EY analysis

- Legal** : Includes legal advisory fees related to the Master Franchise Agreement and overseas trademark registration/management incurred by International Inc., as well as franchise agreement advisory fees incurred by Franchise LLC.
- Accounting** : Audit and tax-related fees paid to accounting firms amounted to USD 246k during LTMNov25, mainly at International Inc., Franchise LLC, and USA Inc.
- Others** : During LTMNov25, included recruiting expenses USD 123k, subscription fees for FranConnect (a franchise-focused cloud platform) USD 126k, food safety audit fees paid to Steritech USD 102k, and etc.

[SG&A] During LTMNov25, SG&A accounted for 55.7% of revenue, with labor costs representing the largest portion, while the remaining expenses were primarily fixed costs.

SG&A overview

Currency : USD k	FY21	FY22	FY23	FY24	LTMNov25
Revenue	29,723	36,273	33,688	32,845	30,538
SG&A	15,468	20,581	21,465	19,969	16,998
Labor cost	7,244	9,835	9,811	9,866	8,477
Service fees	1,676	2,026	2,248	2,001	2,269
Rental expenses	1,446	1,669	1,692	1,448	940
Travel expenses	373	625	996	1,017	874
Advertising & Marketing	200	676	775	866	820
Freight expenses	886	1,177	959	735	482
Utility expenses	145	282	277	289	218
R&D	114	178	173	231	279
D&A	2,448	2,742	2,903	2,363	2,074
Others	935	1,370	1,631	1,155	566
% of Revenue	52.0%	56.7%	63.7%	60.8%	55.7%
Labor cost	24.4%	27.1%	29.1%	30.0%	27.8%
Service fees	5.6%	5.6%	6.7%	6.1%	7.4%
Rental expenses	4.9%	4.6%	5.0%	4.4%	3.1%
Travel expenses	1.3%	1.7%	3.0%	3.1%	2.9%
Advertising & Marketing	0.7%	1.9%	2.3%	2.6%	2.7%
Freight expenses	3.0%	3.2%	2.8%	2.2%	1.6%
Utility expenses	0.5%	0.8%	0.8%	0.9%	0.7%
R&D	0.4%	0.5%	0.5%	0.7%	0.9%
D&A	8.2%	7.6%	8.6%	7.2%	6.8%
Others	3.1%	3.8%	4.8%	3.5%	1.9%

Source: Management information and EY analysis

- Rental expenses** : Primarily related to HQ and equity store leases. With the closures of Frisco, 267W, and 38th stores in Dec23, Dec24, and Apr25, respectively, rental expenses have shown a declining trend from FY23 to LTMNov25. Monthly rent expense as of Nov25 is as below.

Currency : USD k		Nov25
International	Headquarters (Seoul) ¹	USD 12k (KRW 16m)
USA	Headquarters (Dallas)	USD 24k
	Addison	USD 8k
Equity store	Towson	USD 8k
	Allston	USD 9k

Source: Management information and EY analysis

¹ Amounts were translated at the average exchange rate for Nov25.

- Travel expenses** : Travel expenses increased substantially following the easing of COVID-19 restrictions, reflecting the Group's U.S.-wide and international operations, with a FY21 ~ FY24 CAGR of 39.7%. During FY22 ~ FY24, International Inc. incurred annual average travel expenses of approximately USD 285k, driven by frequent overseas travel, while Holdings LLC incurred approximately USD 594k annually to support U.S.-wide operations.
- Advertising & Marketing** : Advertising expenses have risen each year since COVID-19 to stimulate business, incurred primarily at International Inc., USA Inc., and Franchise LLC. Expenses at International Inc. are primarily for design and photo shoots, while expenses at USA Inc. are mainly franchise recruitment-related. In addition, any excess marketing fund usage is recognized as SG&A at year-end.

[SG&A] During LTMNov25, SG&A accounted for 55.7% of revenue, with labor costs representing the largest portion, while the remaining expenses were primarily fixed costs.

SG&A overview

Currency : USD k	FY21	FY22	FY23	FY24	LTMNov25
Revenue	29,723	36,273	33,688	32,845	30,538
SG&A	15,468	20,581	21,465	19,969	16,998
Labor cost	7,244	9,835	9,811	9,866	8,477
Service fees	1,676	2,026	2,248	2,001	2,269
Rental expenses	1,446	1,669	1,692	1,448	940
Travel expenses	373	625	996	1,017	874
Advertising & Marketing	200	676	775	866	820
Freight expenses	886	1,177	959	735	482
Utility expenses	145	282	277	289	218
R&D	114	178	173	231	279
D&A	2,448	2,742	2,903	2,363	2,074
Others	935	1,370	1,631	1,155	566
% of Revenue	52.0%	56.7%	63.7%	60.8%	55.7%
Labor cost	24.4%	27.1%	29.1%	30.0%	27.8%
Service fees	5.6%	5.6%	6.7%	6.1%	7.4%
Rental expenses	4.9%	4.6%	5.0%	4.4%	3.1%
Travel expenses	1.3%	1.7%	3.0%	3.1%	2.9%
Advertising & Marketing	0.7%	1.9%	2.3%	2.6%	2.7%
Freight expenses	3.0%	3.2%	2.8%	2.2%	1.6%
Utility expenses	0.5%	0.8%	0.8%	0.9%	0.7%
R&D	0.4%	0.5%	0.5%	0.7%	0.9%
D&A	8.2%	7.6%	8.6%	7.2%	6.8%
Others	3.1%	3.8%	4.8%	3.5%	1.9%

Source: Management information and EY analysis

- **Freight expenses** : Comprised of transportation expenses and 3rd party delivery partner charges. Previously, Bonchon LLC sold sauces directly to franchisees and equity stores, but since Sep22 sales have been fulfilled via 3rd party distributors. Accordingly, transportation expenses at Bonchon LLC decreased from USD 567k in FY21 and USD 545k in FY22 to USD 197k in FY23 and USD 101k in FY24.
- **3rd Party Delivery Partner Charges** : Fees paid to delivery platforms such as Doordash and UberEats. These are variable cost in nature, increasing with delivery sales at equity stores. Fee rates differ by platform and promotional programs; in FY24, such charges represented approximately 9.7% of total revenue at U.S. Equity stores.
- **Utility expenses** : Comprised of electricity, gas, and water expenses, incurred mainly by entities operating equity stores.
- **R&D** : Includes costs related to sauce and recipe development and quality control, incurred primarily by International Inc. In FY24, approximately 70.9% of R&D expenses were labor-related.
- **D&A** : Includes depreciation of structure and equipment at equity stores, amortization of software, and amortization of goodwill and customer relationships recognized through consolidation adjustments.
- **Others** : During LTMNov25, includes insurance of USD 191k, supplies expenses of USD 194k, maintenance expenses of USD 76k, and etc.

[Labor cost] During LTMNov25, labor cost represented 30.8% of revenue and comprised labor costs for HQ staff in Korea and the U.S. as well as staff costs at U.S. equity stores.

Labor cost, Consolidated

Currency: USD k	FY21	FY22	FY23	FY24	LTM Nov25
Labor cost	8,006	10,631	10,696	10,856	9,404
International	1,772	1,649	1,259	1,632	1,742
Salaries	1,293	1,183	949	1,171	1,206
Bonus	197	197	71	170	235
Severance pension contributions	107	100	83	97	102
Employee benefits	175	169	156	194	199
USA	6,234	8,983	9,436	9,223	7,662
Salaries ¹	4,982	7,064	7,778	7,497	5,912
Bonus	462	374	222	275	563
Severance pension contributions	31	352	66	81	70
Employee benefits	759	1,192	1,371	1,370	1,117
Annual avg. headcount	127	175	185	158	127
International	24	23	23	24	27
COGS	11	9	8	8	9
SG&A	11	11	12	12	14
R&D	2	3	3	4	4
USA	104	152	162	133	101
Headquarters	33	42	49	44	38
Equity stores	71	110	113	89	63
Avg. salary & bonus per employee	54	50	49	58	62
International	63	59	45	55	54
COGS	32	30	31	31	31
SG&A	98	89	57	77	74
R&D	35	34	36	36	37
USA	53	49	49	58	64
Headquarters	106	122	118	127	134
Equity stores	28	22	19	25	21

- Labor cost consists of salaries, bonuses, severance pension contributions, and employee benefits, and amounted to 30.8% of consolidated revenue in LTMNov25.
- Salaries** : Includes annual salaries of Headquarters employees in International Inc. and USA Inc., as well as annual and hourly wages of equity store employees.
 - International Inc.** : Temporarily decreased in FY23 as the CEO received compensation from USA Inc., but subsequently recovered to normalized levels following the CEO's return.
 - USA Inc.** : Increased from FY22 onwards following the acquisition of Allston by USA Inc. and the resumption of active equity store operations after COVID-19 restrictions eased.
- Bonus** : Bonuses are paid annually based on company performance and individual performance evaluations. FY23 bonuses were lower than prior year due to COVID-19 impact but have since returned to normalized levels. In FY24, one year's bonus was recognized in December, while in 11m25, bonuses were recognized evenly on a monthly basis. Accordingly, the LTMNov25 amount reflects more than twelve months' worth of bonus expense, resulting in a higher figure compared to other periods.
- Severance pension contributions** : The retirement pension plans implemented by International Inc. and USA Inc. are as follows. The same severance pension contribution rules apply to both executives and employees.

	International Inc.	USA Inc.
Plan type	Defined Contribution (DC)	Simple IRA
Employer's expense	1/12 of employee's annual compensation	Up to 3% of employee's annual compensation

Source: Management information and EY analysis

- Employee benefits** : Include social insurance, staff meals, and other welfare benefits such as family event support.

Source: Management information and EY analysis

¹ In FY21, Marketing team labor costs were deducted directly from salaries and recorded as marketing expenses, whereas from FY22 onwards, they have been included under salaries.

[Labor cost] During LTMNov25, labor cost per capita was USD 54k at International Inc. and USD 64k at USA Inc., with the U.S. showing a higher average level.

Labor cost, Consolidated

Currency: USD k	FY21	FY22	FY23	FY24	LTM Nov25
Labor cost	8,006	10,631	10,696	10,856	9,404
International	1,772	1,649	1,259	1,632	1,742
Salaries	1,293	1,183	949	1,171	1,206
Bonus	197	197	71	170	235
Severance pension contributions	107	100	83	97	102
Employee benefits	175	169	156	194	199
USA	6,234	8,983	9,436	9,223	7,662
Salaries ¹	4,982	7,064	7,778	7,497	5,912
Bonus	462	374	222	275	563
Severance pension contributions	31	352	66	81	70
Employee benefits	759	1,192	1,371	1,370	1,117
Annual avg. headcount	127	175	185	158	127
International	24	23	23	24	27
COGS	11	9	8	8	9
SG&A	11	11	12	12	14
R&D	2	3	3	4	4
USA	104	152	162	133	101
Headquarters	33	42	49	44	38
Equity stores	71	110	113	89	63
Avg. salary & bonus per employee	54	50	49	58	62
International	63	59	45	55	54
COGS	32	30	31	31	31
SG&A	98	89	57	77	74
R&D	35	34	36	36	37
USA	53	49	49	58	64
Headquarters	106	122	118	127	134
Equity stores	28	22	19	25	21

Source: Management information and EY analysis

¹ In FY21, Marketing team labor costs were deducted directly from salaries and recorded as marketing expenses, whereas from FY22 onwards, they have been included under salaries.

- **Annual average headcount** : Labor cost for manufacturing staff is classified under COGS, executives and administrative staff under SG&A, and R&D personnel (sauce and new menu development and QC) under R&D. In the U.S., labor cost is classified under SG&A, except for marketing team members, whose costs are recorded under Marketing fund expenses.
- **International Inc.** : The average number of employees was maintained at approximately 23 to 24 during FY21 ~ FY24. During Nov25, the Company hired an additional three employees, resulting in an increase in the average headcount to 27 for the LTMNov25.
- **USA Inc.** : Strategically increased headcount during FY21 ~ FY23 to support post-COVID-19 recovery and business expansion but subsequently reduced it as operations stabilized. Equity store headcount declined during Dec23 ~ Apr25 due to the closures of the Frisco, 267W, and 38th locations.
- **Average salary and bonus per employee** : Labor cost per capita was USD 54k for International Inc. and USD 64k for USA Inc. during LTMNov25, with higher levels in the U.S. reflecting relatively higher wage levels.
- **International Inc.** : SG&A salaries temporarily decreased in FY23 as the CEO also served as CEO/CFO of USA Inc. and received compensation from U.S..
- **USA Inc.** : Following the resignation of the CAO in Dec22, the number of executives decreased and labor cost per capita declined temporarily in FY23. At equity stores, apart from salaried general managers, most staffs are hourly part-time employees. Many of these are tip-based workers, which lowers the average per capita labor cost.

5

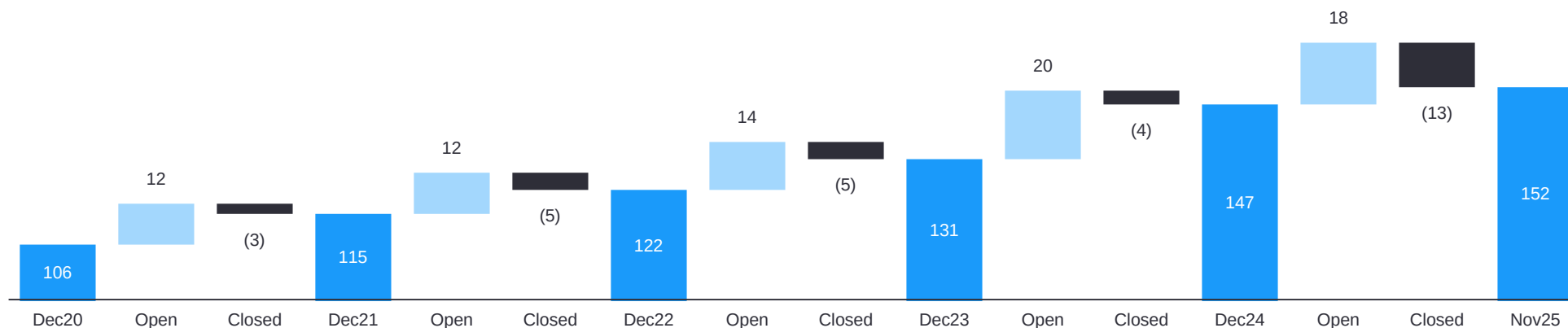
Market analysis

USA	72
Other markets	81

5.1
USA

[Store Count_U.S.] During Dec20 ~ Nov25, total store count increased from 106 to 152, primarily driven by the opening of new franchise locations in the fast-casual concept.

Store count_U.S.



Source: Management information and EY analysis

Store count

Unit : store count	Dec20	Open	Closed	Dec21	Open	Closed	Dec22	Open	Closed	Dec23	Open	Closed	Dec24	Open	Closed	Nov25
Full Dine-In	106	8	(3)	111	3	(5)	109	5	(4)	110	-	(3)	107	1	(6)	102
Fast Casual	-	4	-	4	8	-	12	6	(1)	17	16	-	33	15	(6)	42
Delco	-	-	-	-	1	-	1	1	-	2	1	-	3	2	(1)	4
Remote Kitchen	-	-	-	-	-	-	-	2	-	2	3	(1)	4	-	-	4
Total	106	12	(3)	115	12	(5)	122	14	(5)	131	20	(4)	147	18	(13)	152

Source: Management information and EY analysis

- During Dec20 ~ Nov25, total store count increased from 106 to 152, representing a growth of approximately 43.4%. This expansion was primarily driven by Limited Service Restaurant (LSR) concepts, including Fast Casual, Delco, and Remote Kitchen.
- Full Dine-In** : Prior to Dec20, Full Dine-In stores represented the core concept of the business. During Dec20 ~ Nov25, 17 new stores were opened, and 21 stores were closed, resulting in a net decrease of 4 stores. Despite the decline, Full Dine-In remains the concept with the largest store count and the highest contribution to systemwide sales.
- Fast Casual** : Fast Casual was first introduced in FY21, designed to serve a limited number of dine-in customers with a focus on walk-in carryout, pick-up and delivery. During Dec20 ~ Nov25, a total of 49 new stores were opened and 7 store was closed, resulting in 42 operating stores as of Nov25.
- Delco** : These stores are located inside shopping malls. During Dec21 ~ Nov25, 5 new stores were opened and 1 store was closed.
- Remote Kitchen** : In response to growing delivery demand, Remote Kitchen were launched as delivery-only concepts. During Dec22 ~ Nov25, 5 new stores were opened and 1 store was closed, leaving 4 operating stores as of Nov25.

[Systemwide sales overview] From FY21 to LTMNov25, the average store count increased from 110 to 153, representing growth of approximately 39%. It was primarily driven by the expansion of Fast Casual, Delco, and Remote Kitchen.

Systemwide sales overview

Systemwide sales						Number of revenue generating stores (Monthly Avg.)					Average monthly sales per revenue-generating store				
Currency: USD k	FY21	FY22	FY23	FY24	LTM Nov25	FY21	FY22	FY23	FY24	LTM Nov25	FY21	FY22	FY23	FY24	LTM Nov25
By store concept	173,415	193,644	200,674	202,356	210,143	110	118	125	140	153	131	137	134	121	115
Full Dine-In	171,570	185,269	183,963	169,885	163,511	108	110	109	108	105	132	141	141	131	130
Fast Casual	1,845	7,692	15,342	28,172	39,541	2	8	14	26	40	83	86	88	92	83
Delco	-	682	1,210	2,186	4,052	-	0	1	3	4	-	136	94	72	83
Remote Kitchen	-	-	159	2,113	3,039	-	-	0	3	4	-	-	40	51	63
By Status	173,415	193,644	200,674	202,356	210,143	110	118	125	140	153	131	137	134	121	115
Open (As of Nov25)	150,200	172,467	185,560	188,529	202,521	92	101	112	128	145	136	142	138	123	117
Existing	144,240	151,895	147,294	134,400	132,518	87	87	86	86	87	138	145	142	130	128
Newly opened (FY21~)	5,961	20,572	38,266	54,129	70,003	5	14	26	42	58	101	120	124	108	100
Closed (As of Nov25)	23,215	21,177	15,114	13,827	7,622	18	17	12	12	8	106	106	102	95	82
Existing	22,008	18,732	12,195	9,628	4,614	18	14	9	7	3	105	109	109	111	124
Newly opened (FY21~)	1,206	2,444	2,919	4,199	3,008	1	2	3	5	5	134	98	81	73	49

Source: Management information and EY analysis

- **By store concept** : Due to the mix effect from the expansion of lower-sales format stores such as Fast Casual, Delco, and Remote Kitchen, the average systemwide sales per revenue-generating stores declined during FY21 ~ LTMNov25. However, total U.S. systemwide sales increased from USD 173m to USD 210m, representing growth of 21.2%. While Full Dine-In systemwide sales showed a slight decline, systemwide sales from the newly introduced Fast Casual has been expanding rapidly.
- **Full Dine-In** : This concept refers to stores where customers are seated, orders are taken by staff, and food is served at the table. Full Dine-In customers typically spend more time dining and order a wider variety of menu items, resulting in higher systemwide sales per store compared to other concepts. Although Fast Casual stores are expanding in response to U.S. dining trends, the number of Full Dine-In stores and their systemwide sales per store have remained relatively stable.
- **Fast Casual** : A restaurant format that combines the convenience of counter service with freshly prepared, higher-quality meals. This format has been gaining popularity among customers seeking quick and convenient dining options. Store count has expanded rapidly, with an average of 40 revenue-generating stores as of LTMNov25 and average monthly systemwide sales of approximately USD 83k per store.
- **Delco** : Stores located primarily within shopping malls, designed to enhance brand visibility and accessibility. During FY22 ~ FY23, Brentwood stores experienced a Honeymoon Period with elevated monthly sales; however, performance has since stabilized at around USD 83k per month as of LTMNov25.
- **Remote Kitchen** : Delivery-only outlets without dine-in space, focused solely on food preparation for delivery. Driven by growing delivery demand and higher average order values, average monthly systemwide sales per store increased from USD 40k in FY23 to USD 63k in LTMNov25.

[Systemwide sales per check] In the U.S., the share of systemwide sales generated through the Delivery channel has continued to increase, supported by rising demand for delivery services. Average systemwide sales per check increased from USD 34.3 in FY21 to USD 35.6 in LTMNov25.

Systemwide sales per check¹

Currency: USD k	Systemwide sales					Number of sales transaction ('000 Check)					Avg. systemwide sales per check (USD / check)				
	FY21	FY22	FY23	FY24	LTM Nov25	FY21	FY22	FY23	FY24	LTM Nov25	FY21	FY22	FY23	FY24	LTM Nov25
By store concept	173,415	193,644	200,674	202,356	210,143	4,300	5,357	5,627	5,677	5,889	34.3	35.3	35.4	35.5	35.6
Full Dine-In	145,674	180,950	182,466	169,168	162,910	4,222	5,065	5,050	4,585	4,366	34.5	35.7	36.1	36.9	37.3
Fast Casual	1,860	7,720	15,331	28,151	39,507	78	273	538	968	1,311	23.7	28.3	28.5	29.1	30.1
Delco	-	682	1,210	2,185	4,037	-	19	34	63	126	-	36.4	35.7	34.5	32.0
Remote Kitchen	-	-	158	2,100	3,032	-	-	5	61	86	-	-	32.1	34.6	35.1
Others ¹	25,881	4,291	1,510	752	657										
By Channel	173,415	193,644	200,674	202,356	210,143	4,300	5,357	5,627	5,677	5,889	34.3	35.3	35.4	35.5	35.6
Dine-in	29,191	45,141	53,896	52,426	52,684	733	1,111	1,339	1,326	1,355	39.8	40.6	40.2	39.5	38.9
Walkin carryout	46,499	51,258	51,030	49,838	43,449	1,594	1,783	1,842	1,823	1,613	29.2	28.7	27.7	27.3	26.9
B.com Pickup	24,411	29,243	29,273	29,686	30,813	645	752	749	753	799	37.9	38.9	39.1	39.4	38.5
Delivery	47,366	63,362	64,444	68,242	80,906	1,329	1,708	1,694	1,771	2,118	35.6	37.1	38.1	38.5	38.2
Door Dash	20,474	28,256	29,755	30,463	39,493	575	767	782	796	1,052	35.6	36.8	38.1	38.3	37.5
Uber	17,608	24,280	24,793	27,006	31,005	495	656	671	698	800	35.6	37.0	36.9	38.7	38.8
Grubhub	5,792	6,029	6,266	6,193	5,623	166	165	165	160	145	34.9	36.6	38.0	38.7	38.9
B.com Delivery	1,817	3,720	2,651	3,358	3,680	43	88	57	68	73	41.9	42.2	46.2	49.5	50.6
Other 3PD	1,674	1,076	979	1,222	1,106	50	32	19	49	48	33.6	34.0	52.9	24.9	23.0
EzCater	68	348	521	1,413	1,634	0	3	3	4	4	388.4	115.0	149.1	400.3	414.7
Others ¹	25,881	4,291	1,510	752	657										

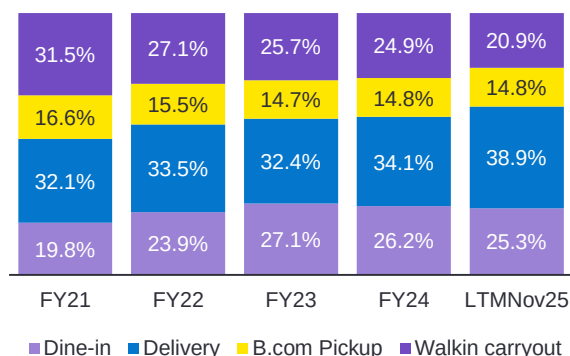
Source: Management information and EY analysis

¹ Figures are based on Aloha, a point-of-sale system, data. Any discrepancies relate to sales that are not recorded through the point-of-sale system

The average systemwide sales per check has steadily increased from USD 34.3 to USD 35.6, reflecting an upward trend.

- Full Dine-in : Average systemwide sales per check are the highest, driven by frequent side menu and beverage orders. While Dine-in and Delivery account for the majority of sales, the inclusion of lower-priced Walk-in carryout orders results in a slightly lower overall average sales per check compared with Dine-in.
- Fast Casual : Since it focuses on quick and simple meals, systemwide sales per check remains the lowest, recorded at USD 30.1 as of LTMNov25.
- Delco & Remote Kitchen : Shows consistent growth in transaction volumes and systemwide sales.

Systemwide sales comp.% by channel



[Systemwide sales per check] In the U.S., the share of systemwide sales generated through the Delivery channel has continued to increase, supported by rising demand for delivery services. Average systemwide sales per check increased from USD 34.3 in FY21 to USD 35.6 in LTMNov25

Systemwide sales per check¹

Systemwide sales						Number of sales transaction ('000 Check)					Avg. systemwide sales per check (USD / check)				
Currency: USD k	FY21	FY22	FY23	FY24	LTM Nov25	FY21	FY22	FY23	FY24	LTM Nov25	FY21	FY22	FY23	FY24	LTM Nov25
By store concept	173,415	193,644	200,674	202,356	210,143	4,300	5,357	5,627	5,677	5,889	34.3	35.3	35.4	35.5	35.6
Full Dine-In	145,674	180,950	182,466	169,168	162,910	4,222	5,065	5,050	4,585	4,366	34.5	35.7	36.1	36.9	37.3
Fast Casual	1,860	7,720	15,331	28,151	39,507	78	273	538	968	1,311	23.7	28.3	28.5	29.1	30.1
Delco	-	682	1,210	2,185	4,037	-	19	34	63	126	-	36.4	35.7	34.5	32.0
Remote Kitchen	-	-	158	2,100	3,032	-	-	5	61	86	-	-	32.1	34.6	35.1
Others ¹	25,881	4,291	1,510	752	657										
By Channel	173,415	193,644	200,674	202,356	210,143	4,300	5,357	5,627	5,677	5,889	34.3	35.3	35.4	35.5	35.6
Dine-in	29,191	45,141	53,896	52,426	52,684	733	1,111	1,339	1,326	1,355	39.8	40.6	40.2	39.5	38.9
Walkin carryout	46,499	51,258	51,030	49,838	43,449	1,594	1,783	1,842	1,823	1,613	29.2	28.7	27.7	27.3	26.9
B.com Pickup	24,411	29,243	29,273	29,686	30,813	645	752	749	753	799	37.9	38.9	39.1	39.4	38.5
Delivery	47,366	63,362	64,444	68,242	80,906	1,329	1,708	1,694	1,771	2,118	35.6	37.1	38.1	38.5	38.2
Door Dash	20,474	28,256	29,755	30,463	39,493	575	767	782	796	1,052	35.6	36.8	38.1	38.3	37.5
Uber	17,608	24,280	24,793	27,006	31,005	495	656	671	698	800	35.6	37.0	36.9	38.7	38.8
Grubhub	5,792	6,029	6,266	6,193	5,623	166	165	165	160	145	34.9	36.6	38.0	38.7	38.9
B.com Delivery	1,817	3,720	2,651	3,358	3,680	43	88	57	68	73	41.9	42.2	46.2	49.5	50.6
Other 3PD	1,674	1,076	979	1,222	1,106	50	32	19	49	48	33.6	34.0	52.9	24.9	23.0
EzCater	68	348	521	1,413	1,634	0	3	3	4	4	388.4	115.0	149.1	400.3	414.7
Others ¹	25,881	4,291	1,510	752	657										

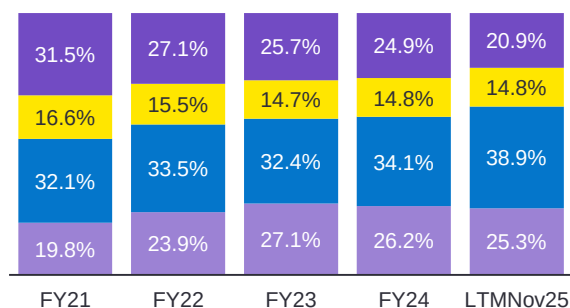
Source: Management information and EY analysis

¹ Figures are based on Aloha, a point-of-sale system, data. Any discrepancies relate to sales that are not recorded through the point-of-sale system

In the U.S., the proportion of systemwide sales generated through delivery channels has increased, driven by rising demand for delivery services.

- Delivery : Both the number of transactions and systemwide sales per check have increased. Given that menu prices on 3rd party delivery platforms are generally higher than in-store prices, the systemwide sales per check is comparable to that of Dine-in.
- B.com Delivery & EzCater : Orders placed through the Company's website and app, including large-sized orders from repeat customers and corporate catering, generate higher systemwide sales per transaction compared with other channels.

Systemwide sales comp.% by channel



Legend: Dine-in (purple), Delivery (blue), B.com Pickup (yellow), Walkin carryout (dark blue)

Source: Management information and EY analysis

[Systemwide sales analysis] Systemwide sales of U.S equity and franchised stores is showing growth across all menu categories, with continued expansion driven particularly by strong growth in K-Food sales

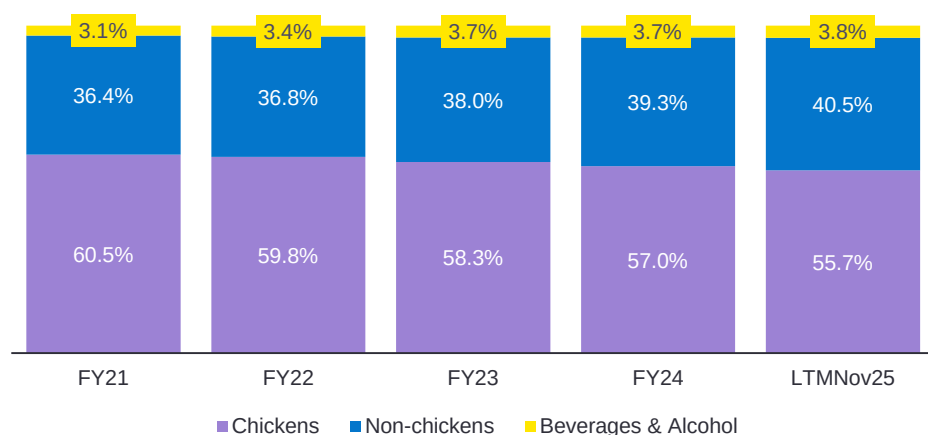
Systemwide sales by Category

Currency: USD k	FY21	FY22	FY23	FY24	LTM Nov25	11m24	11m25
Total systemwide sale	173,415	193,644	200,674	202,356	210,143	184,655	192,442
Chickens	89,270	113,255	116,180	110,894	109,903	101,394	100,403
Main & Fusion Dishes	41,865	53,503	54,037	54,159	55,507	49,512	50,860
Sides & Starters	11,200	15,009	17,904	19,321	22,642	17,480	20,801
Beverages & Alcohol	4,524	6,352	7,289	7,226	7,418	6,632	6,824
Others ¹	26,556	5,525	5,263	10,756	14,674	9,636	13,554
% of Category	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%
Chickens	60.5%	59.8%	58.3%	57.0%	55.7%	57.0%	55.6%
Non-chickens	36.4%	36.8%	38.0%	39.3%	40.5%	39.3%	40.6%
Beverages & Alcohol	3.1%	3.4%	3.7%	3.7%	3.8%	3.7%	3.8%

Source: Management information and EY analysis

1 Based on store-level data of U.S. stores. Please note that systemwide sales figures are slightly different between managerial and financial P/L.

Systemwide sales composition% by Menu Category

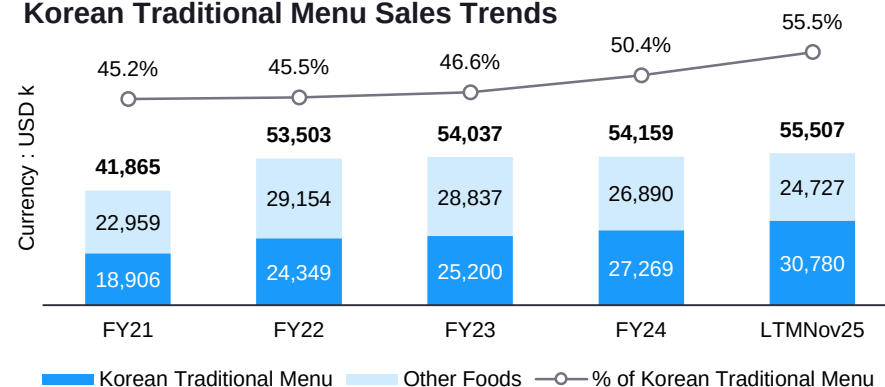


Source: Management information and EY analysis.

Systemwide sales has expanded with sales increasing across all menu categories, and in particular, the proportion of Main & Fusion dishes has been gradually rising alongside higher volume of chicken sales.

- **Chickens** : Includes chicken sales (Wings, Strips, Drums), Combo, and Boneless.
- **Main & Fusion Dishes** : Comprised of non-chicken menu items such as Main dishes, Korean traditional food, Buns/Tacos/Wraps, and Asian fusion.
- Systemwide sales of Main & Fusion dishes has been steadily growing each year, fueled by rising sales of Korean traditional food (K-Food Menu)

Korean Traditional Menu Sales Trends



- **Sides & Starters** : Categorized under Sweets, Starters, Sides, Salads, this category consists of desserts, appetizes, side dishes and salads.
- **Beverages & Alcohol** : Categorized under Wine, Liquor, Bevs, Beer, this category comprises sales of wine, liquor, soft drinks, and beer.

[Same Store Analysis_U.S.] Overall systemwide sales increased during FY21 ~ LTMNov25, as growth from stores opened since Jan21 more than offset post-FY23 decline in systemwide sales from stores opened prior to Dec20.

Same Store Analysis_Systemwide sales Per Store

Systemwide sales						Number of Revenue generating stores (Monthly Avg.)					Avg. systemwide sales per store count				
Currency: USD k	FY21	FY22	FY23	FY24	LTM Nov25	FY21	FY22	FY23	FY24	LTM Nov25	FY21	FY22	FY23	FY24	LTM Nov25
Open (As of Nov25)	150,200	172,467	185,560	188,529	202,521	92	101	112	128	145	1,639	1,703	1,656	1,475	1,401
Open before Dec20	144,240	151,895	147,294	134,400	132,518	87	87	86	86	87	1,658	1,746	1,708	1,563	1,531
Full Dine-in	144,240	151,895	147,294	134,400	132,518	87	87	86	86	87	1,658	1,746	1,708	1,563	1,531
Open after Jan21	5,961	20,572	38,266	54,129	70,003	5	14	26	42	58	1,277	1,444	1,481	1,294	1,207
Full Dine-In	4,116	13,099	22,819	24,461	26,057	3	8	12	14	15	1,453	1,746	1,902	1,747	1,767
Others	1,845	7,473	15,447	29,668	43,946	2	7	14	28	43	1,006	1,107	1,117	1,066	1,016
Fast Casual	1,845	6,791	14,078	25,593	37,089	2	6	12	23	36	1,006	1,072	1,134	1,137	1,040
Delco	-	682	1,210	2,186	3,818	-	0	1	3	4	-	1,637	1,117	874	1,066
Remote Kitchen	-	-	159	1,889	3,039	-	-	0	3	4	-	-	476	667	760
Closed (As of Nov25)	23,215	21,177	15,114	13,827	7,622	18	17	12	12	8	1,266	1,277	1,217	1,136	953
Full Dine-In	23,215	20,276	13,850	11,024	4,937	18	15	10	8	4	1,266	1,322	1,330	1,336	1,346
Fast Casual	-	901	1,264	2,579	2,452	-	1	2	3	4	-	721	632	774	640
Remote Kitchen	-	-	-	224	-	-	-	-	1	-	-	-	-	385	-
Delco	-	-	-	-	234	-	-	-	-	1	-	-	-	-	468
Total	173,415	193,644	200,674	202,356	210,143	110	118	125	140	153	1,576	1,643	1,612	1,445	1,377

Source: Management information and EY analysis

As of LTMNov25, 87 out of 145 stores (approximately 60%) are Full Dine-in stores opened before Dec20. While per-store systemwide sales for Full Dine-in stores has declined since FY23 due to the growing preference for Fast Casual, overall systemwide sales has continued to expand, supported by the opening of new stores across diverse concepts since Jan21.

- Full Dine-In concept : Of the 102 stores as of LTMNov25, 87 stores were opened before Dec20 and 15 were opened after Jan21. The average per-store systemwide sales of legacy stores is USD 1,531k, compared with USD 1,767k for newly opened stores. This gap reflects strategic site selection for new openings and the advantages of modern facilities without aging issues.

- Others : Fast Casual, Delco, and Remote Kitchen are all concept stores introduced since FY21, with both systemwide sales and store count on the rise. As newly opened stores do not record a full year of sales in their opening year, initial revenues were relatively low; however, average systemwide sales per store has steadily increased in subsequent periods. As of LTMNov25, the average systemwide sales for Others was USD 1,016k.
- Closed (As of Nov25) : While closures have primarily involved Full Dine-In stores, nine Others concept stores were closed during FY21 ~ LTMNov25.
 - The Fast Casual equity store, Frisco recorded systemwide sales below USD 600k in FY23 and continued to incur losses, which led to its early closure.
 - A franchised store under the same concept, Tempe Myrtle Store, generated systemwide sales of USD 373k as of LTMNov25. The store closed permanently in Sep25.

[Cohort analysis] 81.7% of stores remain open after more than 4.9 years, with average systemwide sales per store at USD 1,728k for Full Dine-in.

Systemwide sales Cohort analysis_U.S.

Systemwide sales						Store count ¹					Avg. systemwide sales per store count				
Currency: USD k	FY21	FY22	FY23	FY24	LTM Nov25	FY21	FY22	FY23	FY24	LTM Nov25	FY21	FY22	FY23	FY24	LTM Nov25
Open (As of Nov25)	150,200	172,467	185,560	188,529	202,521	92	101	112	128	145	1,639	1,703	1,656	1,475	1,401
Full Dine-In	148,356	164,994	170,113	158,861	158,575	90	95	98	100	101	1,651	1,746	1,731	1,589	1,565
Existing	144,240	151,895	147,294	134,400	132,518	87	87	86	86	87	1,658	1,746	1,708	1,563	1,531
FY21	4,116	10,210	11,008	10,557	10,575	3	6	6	6	6	1,453	1,702	1,835	1,760	1,762
FY22	-	2,889	5,355	5,040	5,323	-	2	3	3	3	-	1,926	1,785	1,680	1,774
FY23	-	-	6,455	8,864	9,573	-	-	3	5	5	-	-	2,152	1,773	1,915
FY24	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
FY25 ¹	-	-	-	-	587	-	-	-	-	1	-	-	-	-	782
Fast Casual	1,845	6,791	14,078	25,593	37,089	2	6	12	23	36	1,006	1,072	1,134	1,137	1,040
FY21	1,845	4,203	3,492	3,323	3,415	2	4	4	4	4	1,006	1,051	873	831	854
FY22	-	2,588	6,419	6,256	6,095	-	2	6	6	6	-	1,109	1,070	1,043	1,016
FY23	-	-	4,167	7,658	7,091	-	-	2	6	6	-	-	1,724	1,276	1,182
FY24	-	-	-	8,357	12,397	-	-	-	7	12	-	-	-	1,286	1,033
FY25 ¹	-	-	-	-	8,091	-	-	-	-	8	-	-	-	-	1,055
Delco + Remote Kitchen	-	682	1,369	4,075	6,857	-	0	1	5	8	-	1,637	966	764	904
FY22	-	682	1,140	859	708	-	0	1	1	1	-	1,637	1,140	859	708
FY23	-	-	229	2,043	2,339	-	-	0	3	3	-	-	548	681	780
FY24	-	-	-	1,172	2,788	-	-	-	1	3	-	-	-	879	929
FY25 ¹	-	-	-	-	1,022	-	-	-	-	1	-	-	-	-	1,752
Closed (As of Nov25)	23,215	21,177	15,114	13,827	7,622	18	17	12	12	8	1,266	1,277	1,217	1,136	953
Existing	21,871	17,763	11,173	8,862	4,580	17	13	8	7	3	1,256	1,332	1,328	1,266	1,374
FY21	1,343	2,512	2,676	1,595	323	1	2	2	1	0	1,465	1,256	1,338	1,276	969
FY22	-	901	1,264	505	380	-	1	2	1	1	-	721	632	505	415
FY23	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
FY24	-	-	-	2,865	1,994	-	-	-	3	3	-	-	-	982	772
FY25 ¹	-	-	-	-	345	-	-	-	-	1	-	-	-	-	414
Total	173,415	193,644	200,674	202,356	210,143	110	118	125	140	153	1,576	1,643	1,612	1,445	1,377

Source: Management information and EY analysis

¹ Systemwide sales generated for 11m25.

- **Full Dine-In** : Of the 106 stores in operation as of Dec20, 87 remained open after 4.9 years, indicating an 81.7% likelihood of continued operations beyond 4.9 years from opening. Excluding the first-year Honeymoon period without full-year sales, the average annual systemwide sales of continuously operating Full Dine-in stores was USD 1,728k.

- **Fast Casual** : Excluding the Honeymoon period, the average annual systemwide sales of Fast Casual stores was USD 1,023k. While total systemwide sales per store declined, this was driven by the increased share of systemwide sales from Fast Casual, Delco, and Remote Kitchen, which generate relatively lower sales per store.

[Equity store margin structure] Equity stores are currently undergoing profitability improvement or being phased out, and the Company plans to operate a limited number of equity stores centered on flagship stores going forward.

Equity store_Margin Structure, LTMNov25

	Allston		Towson		Addison		Closed ¹	
Currency: USD k	LTMNov25	% of rev.	LTMNov25	% of rev.	LTMNov25	% of rev.	LTMNov25	% of rev.
Revenue	1,871	100.0%	1,106	100.0%	758	100.0%	568	100.0%
Store COGS	542	29.0%	313	28.3%	241	31.8%	165	29.0%
Food & Beverage	488	26.1%	271	24.5%	207	27.3%	147	25.9%
Beverage	25	1.3%	19	1.7%	12	1.6%	8	1.4%
Chicken	235	12.5%	110	9.9%	81	10.7%	71	12.5%
Bonchon Sauce	40	2.1%	25	2.2%	14	1.8%	11	1.9%
Other food	130	6.9%	83	7.5%	68	8.9%	39	6.8%
Others	59	3.1%	35	3.2%	32	4.2%	18	3.2%
Equity Store Others	54	2.9%	42	3.8%	34	4.4%	18	3.1%
Gross Profit	1,329	71.0%	793	71.7%	517	68.2%	403	71.0%
SG&A (excl. D&A)	1,288	68.9%	846	76.5%	602	79.4%	631	111.1%
Labor costs	594	31.8%	389	35.2%	273	36.0%	248	43.8%
Service fees	72	3.8%	39	3.5%	38	5.0%	27	4.7%
Rental cost	115	6.2%	99	9.0%	99	13.0%	200	35.2%
Freight Expenses	209	11.1%	119	10.7%	65	8.6%	51	8.9%
Others	299	16.0%	199	18.0%	127	16.8%	105	18.4%
EBITDA	40	2.2%	(53)	(4.8%)	(85)	(11.2%)	(227)	(40.0%)
Break-even Revenue	1,801	96.3%	1,195	108.1%	904	119.3%	942	166.0%
Store Area (in sqft) ²	11,056		2,189		2,200		n.p	

Source: Management information and EY analysis

¹ Closed store = 267W + 38th + Frisco

² Allston figure includes the area of the storage space located in the basement of the store.

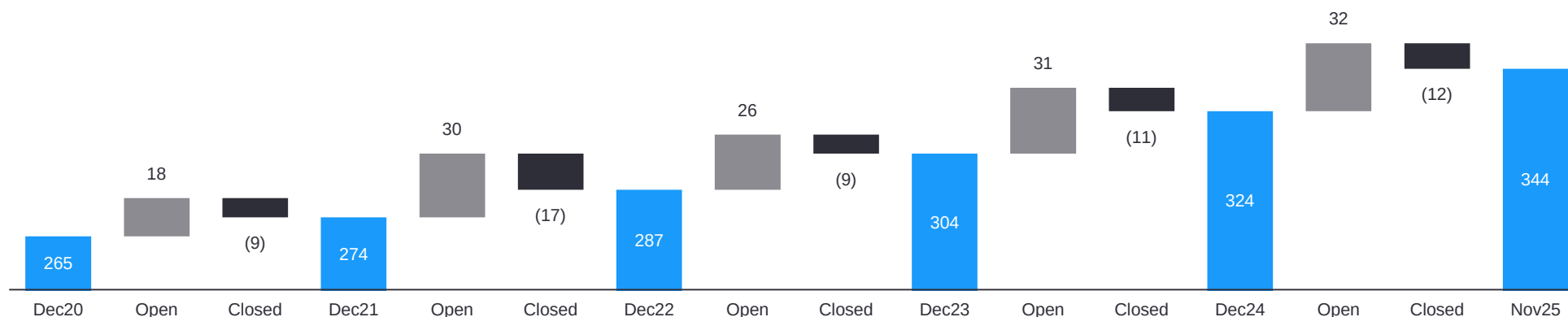
- Majority of the equity stores generated (-) EBITDA as sales were not sufficient to offset fixed costs such as labor costs and rental expenses.
- Labor costs** : Comprised of salaries and training costs for store managers, full-time employees, and hourly paid part-time employees at equity stores. As of Nov25, Allston has 25 employees, Towson has 15, and Addison has 11. The average labor cost per capita across the 3 equity stores range from USD 24k to USD 26k. Staffing levels are determined by store size and sales volume, with Allston incurring higher headcount and labor costs.
- Rental expenses** : The 267W and 38th stores were located in New York City, where rental expenses were high, with rental expenses accounting for approximately 35.2% of revenue during LTMNov25.
- Service fees** : Comprised of fees incurring from bank/credit card services, professional services, and other miscellaneous services.
- Freight expenses** : Represents 3rd party delivery partner charges, which account for approximately 20.7% of 3rd party delivery sales across all equity stores. Allston incurred higher freight expenses than Towson and Addison due to Allston's higher proportion of 3rd party delivery sales (51.5%) compared to its peer stores (34.8% ~ 36.8%).
- For LTMNov25, the break-even revenue level was USD 1,801k for Allston, USD 1,195k for Towson, and USD 904k for Addison.

5.2

Other markets

[Store analysis_Others] As of Nov25, total store count in Non-U.S. markets stood at 344. Among these, the Philippines and Thailand accounted for the largest share, operating 158 and 131 stores, respectively.

Store count_non-U.S.



Source: Management information and EY analysis

Store count

Currency: USD k	Dec21	Open	Closed	Dec22	Open	Closed	Dec23	Open	Closed	Dec24	Open	Closed	Nov25
Philippines	144	6	(11)	139	11	(1)	149	7	(3)	153	8	(3)	158
Thailand	101	15	(4)	112	10	(4)	118	6	(2)	122	11	(2)	131
Cambodia	11	-	-	11	1	(1)	11	-	-	11	-	(1)	10
Myanmar	6	1	-	7	-	-	7	-	-	7	3	(1)	9
Vietnam	6	5	-	11	3	-	14	12	(2)	24	5	(3)	26
France	-	-	-	-	1	-	1	1	-	2	-	(2)	-
Taiwan	-	-	-	-	-	-	-	3	-	3	3	-	6
Laos	-	-	-	-	-	-	-	2	-	2	2	-	4
Singapore	5	2	(2)	5	-	(1)	4	-	(4)	-	-	-	-
Australia	1	1	-	2	-	(2)	-	-	-	-	-	-	-
Total	274	30	(17)	287	26	(9)	304	31	(11)	324	32	(12)	344

Source: Management information and EY analysis

- **Philippines / Thailand** : Store openings and closures occur actively each year, resulting in relatively high volatility in total store count.
- **Myanmar** : Since the opening of one new store in FY22, the market has maintained a stable base of seven stores without further changes through FY24. During Nov25, 3 stores were newly opened with one closure.
- **Vietnam** : During FY21 ~ Nov25, 25 new stores were opened, while 5 stores were closed during the same period.
- **France** : The Master Franchise agreement was signed in Jul21, and one store was opened in each of FY23 and FY24. Both stores were closed during Oct25 as master franchise agreement was terminated.
- **Taiwan / Laos** : Following the execution of Master Franchise agreements in 2H23, 2 ~ 3 stores were opened each year.
- **Singapore** : The master franchise agreement was terminated due to non-fulfillment of franchise recruitment conditions and unpaid royalties.
- **Australia** : Operated as test stores, but the agreement was concluded upon contract expiration.

[Store analysis_Others] As of LTMNov25, Thailand and the Philippines accounted for 88.6% of systemwide sales in Non-U.S. markets, representing the majority share. On a per-store basis, France recorded the highest average systemwide sales.

Systemwide sales analysis

Systemwide sales						Number of Revenue generating stores (Monthly Avg.)					Average Monthly Sales per Revenue-Generating Store				
Currency: USD k	FY21	FY22	FY23	FY24	LTM Nov25	FY21	FY22	FY23	FY24	LTM Nov25	FY21	FY22	FY23	FY24	LTM Nov25
1 Thailand	60,356	71,939	73,247	72,256	80,697	88	106	113	121	123	57	56	54	50	55
2 Philippines	36,484	49,832	57,978	65,887	68,930	137	137	143	148	154	22	30	34	37	37
3 France	-	-	1,520	3,454	4,151	-	-	1	2	2	-	-	152	173	189
Vietnam	1,639	4,233	4,444	4,404	5,098	5	9	12	18	24	29	40	31	20	18
Myanmar	1,101	2,031	2,735	3,835	4,564	5	7	7	7	8	19	25	33	46	51
Taiwan	-	-	-	1,177	3,243	-	-	-	1	4	-	-	-	84	69
Cambodia	1,257	1,920	1,797	1,713	1,659	10	10	11	11	11	11	17	14	13	13
Singapore	2,231	2,323	2,240	1,585	87	5	4	5	3	0	35	44	37	43	44
Laos	-	-	-	171	534	-	-	-	1	3	-	-	-	24	15
Australia	41	1,431	874	-	-	0	1	1	-	-	41	84	62	-	-
Total	103,108	133,709	144,835	154,483	168,964	250	274	293	311	328	34	41	41	41	43

Source: Management Information and EY analysis

- 1 Thailand :** During FY21 ~ LTMNov25, Thailand recorded the highest systemwide sales among Non-U.S. markets. As of LTMNov25, the country operated 123 revenue-generating stores, ranking 3rd after the U.S. and the Philippines. The market is primarily driven by full dine-in stores with a chicken-focused menu, well aligned with the local “chimaek” (chicken-and-beer) dining culture. This positioning has led to strong demand for Bonchon signature sauce, sustaining relatively high levels of sauce revenue.
- 2 Philippines :** As of LTMNov25, the Philippines had 154 revenue-generating stores, the largest number outside the U.S. The market features a relatively high mix of desserts and side dishes, while chicken is often consumed as a meal substitute alongside rice, reflecting local dining habits. Effective execution by the Master Franchisee has supported consistent growth in average monthly sales per revenue-generating store throughout the due diligence period.
- 3 France :** France recorded the highest average systemwide sales per store. Stores are in prime commercial areas, and higher menu prices relative to other markets are identified as the key drivers of the elevated average monthly sales per store. As of Oct25, however, France’s 2 franchised stores have been closed as master franchise agreement was terminated.

[Store analysis_Others] As of LTMNov25, Thailand and the Philippines accounted for 88.6% of systemwide sales in Non-U.S. markets, representing the majority share. On a per-store basis, France recorded the highest average systemwide sales.

Systemwide sales analysis

Currency: USD k	Systemwide sales					Number of Revenue generating stores (Monthly Avg.)					Average Monthly Sales per Revenue-Generating Store				
	FY21	FY22	FY23	FY24	LTM Nov25	FY21	FY22	FY23	FY24	LTM Nov25	FY21	FY22	FY23	FY24	LTM Nov25
Thailand	60,356	71,939	73,247	72,256	80,697	88	106	113	121	123	57	56	54	50	55
Philippines	36,484	49,832	57,978	65,887	68,930	137	137	143	148	154	22	30	34	37	37
France	-	-	1,520	3,454	4,151	-	-	1	2	2	-	-	152	173	189
4 Vietnam	1,639	4,233	4,444	4,404	5,098	5	9	12	18	24	29	40	31	20	18
5 Myanmar	1,101	2,031	2,735	3,835	4,564	5	7	7	7	8	19	25	33	46	51
6 Taiwan	-	-	-	1,177	3,243	-	-	-	1	4	-	-	-	84	69
7 Cambodia	1,257	1,920	1,797	1,713	1,659	10	10	11	11	11	11	17	14	13	13
8 Singapore	2,231	2,323	2,240	1,585	87	5	4	5	3	0	35	44	37	43	44
9 Laos	-	-	-	171	534	-	-	-	1	3	-	-	-	24	15
10 Australia	41	1,431	874	-	-	0	1	1	-	-	41	84	62	-	-
Total	103,108	133,709	144,835	154,483	168,964	250	274	293	311	328	34	41	41	41	43

Source: Management Information and EY analysis

- 4 **Vietnam** : During FY22 ~ LTMNov24, overall systemwide sales remained relatively stable. However, as the market pursued a strategy of expanding store count, average monthly sales per revenue-generating store showed a downward trend.
- 5 **Myanmar** : Due to the country's political situation, royalties and initial fees have been waived. While store count has remained stable, systemwide sales per store has shown steady growth.
- 6 **Taiwan** : Entered the market in FY24, with stores located in favorable locations, resulting in higher average sales per store compared to other markets.
- 7 **Cambodia** : During FY21 ~ LTMNov25, systemwide sales, store count, and average sales per store have remained largely stable without significant fluctuations.
- 8 **Singapore** : The Master Franchisee has not fully met its contractual obligations for store development, leading to a decline in store count accompanied by a decrease in systemwide sales.
- 9 **Laos** : At the early stage of entry in FY24, store count expanded from 2 to 4, though LTMNov25 systemwide sales remains modest at approximately USD 534k.
- 10 **Australia** : Operated under a test store agreement rather than an MFA. Operations concluded upon contract expiration without renewal.

[Same Store Analysis_Others] During FY21 ~ LTMNov25, systemwide sales increased for both stores opened prior to Dec20 and those opened after Jan21.

Same Store Analysis_Systemwide sales per store¹

Currency: USD k	Systemwide sales					Operating store count ¹					Avg. systemwide sales per store count				
	FY21	FY22	FY23	FY24	LTM Nov25	FY21	FY22	FY23	FY24	LTM Nov25	FY21	FY22	FY23	FY24	LTM Nov25
Open (As of Nov25)	91,796	119,672	132,693	145,607	163,616	216	245	266	294	322	425	489	499	496	509
Opened before Dec20	89,367	104,923	108,650	111,777	117,181	212	220	220	221	220	422	477	494	506	532
1 Philippines	33,601	46,993	53,487	59,167	59,891	123	127	128	128	128	274	369	419	463	469
2 Thailand	53,129	53,505	50,555	47,451	51,849	75	77	76	77	76	712	696	663	616	679
3 Cambodia	1,166	1,881	1,627	1,444	1,417	9	9	9	9	9	130	209	181	160	157
Myanmar	941	1,696	2,300	3,157	3,436	4	5	5	5	5	245	339	460	631	687
Vietnam	531	847	682	558	589	2	2	2	2	2	290	424	341	279	294
Opened after Jan21	2,429	14,749	24,043	33,830	46,434	4	25	46	73	102	583	600	522	464	457
Philippines	164	805	2,770	5,921	8,808	1	3	10	17	25	164	276	279	345	350
Thailand	2,227	12,597	19,132	23,331	28,277	3	18	30	40	45	742	690	643	581	623
Cambodia	-	-	38	112	146	-	-	0	1	1	-	-	113	112	146
Myanmar	-	122	217	382	1,038	-	1	1	1	2	-	183	217	382	479
Vietnam	38	1,225	1,885	2,736	4,387	0	3	5	12	21	230	446	371	231	210
Taiwan	-	-	-	1,177	3,243	-	-	-	1	4	-	-	-	1,009	828
Laos	-	-	-	171	534	-	-	-	1	3	-	-	-	293	178
Closed (As of Nov25)	11,312	14,037	12,143	8,876	5,348	34	30	27	18	7	332	476	457	505	812
Total	103,108	133,709	144,835	154,483	168,964	250	274	293	311	328	412	488	495	496	515

Source: Management information and EY analysis

¹ Number of operating stores during the period.

- Philippines** : During FY21 ~ LTMNov25, systemwide sales per store increased at a CAGR of 14.7%. The MF has been managing the market effectively and given the relatively higher income levels and strong chicken consumption compared to other Asian countries, systemwide sales per store has continued to grow steadily.
- Thailand** : Systemwide sales per store which opened prior to Dec20 decreased slightly FY21 USD 712k → LTMNov25 USD 679k. Store performance varies significantly depending on location and foot traffic, leading to greater disparities in systemwide sales compared to other countries. However, the recent launch of the “Noodle Series” has contributed positively to sales growth, and systemwide sales per store has been gradually recovering.
- Cambodia** : After a temporary increase in FY22, systemwide sales per store has shown a declining trend. This is mainly due to unstable operations at certain stores, coupled with relatively low-income levels and limited consumer spending on chicken in the local market, which have constrained systemwide sales growth per store.

[Same Store Analysis_Others] During FY21 ~ LTMNov25, systemwide sales increased for both stores opened prior to Dec20 and those opened after Jan21.

Same Store Analysis_Systemwide sales per store¹

Currency: USD k	Systemwide sales					Operating store count ¹					Avg. systemwide sales per store count				
	FY21	FY22	FY23	FY24	LTM Nov25	FY21	FY22	FY23	FY24	LTM Nov25	FY21	FY22	FY23	FY24	LTM Nov25
Open (As of Nov25)	91,796	119,672	132,693	145,607	163,616	216	245	266	294	322	425	489	499	496	509
Opened before Dec20	89,367	104,923	108,650	111,777	117,181	212	220	220	221	220	422	477	494	506	532
Philippines	33,601	46,993	53,487	59,167	59,891	123	127	128	128	128	274	369	419	463	469
Thailand	53,129	53,505	50,555	47,451	51,849	75	77	76	77	76	712	696	663	616	679
Cambodia	1,166	1,881	1,627	1,444	1,417	9	9	9	9	9	130	209	181	160	157
4 Myanmar	941	1,696	2,300	3,157	3,436	4	5	5	5	5	245	339	460	631	687
5 Vietnam	531	847	682	558	589	2	2	2	2	2	290	424	341	279	294
Opened after Jan21	2,429	14,749	24,043	33,830	46,434	4	25	46	73	102	583	600	522	464	457
Philippines	164	805	2,770	5,921	8,808	1	3	10	17	25	164	276	279	345	350
Thailand	2,227	12,597	19,132	23,331	28,277	3	18	30	40	45	742	690	643	581	623
Cambodia	-	-	38	112	146	-	-	0	1	1	-	-	113	112	146
Myanmar	-	122	217	382	1,038	-	1	1	1	2	-	183	217	382	479
Vietnam	38	1,225	1,885	2,736	4,387	0	3	5	12	21	230	446	371	231	210
Taiwan	-	-	-	1,177	3,243	-	-	-	1	4	-	-	-	1,009	828
Laos	-	-	-	171	534	-	-	-	1	3	-	-	-	293	178
6 Closed (As of Nov25)	11,312	14,037	12,143	8,876	5,348	34	30	27	18	7	332	476	457	505	812
Total	103,108	133,709	144,835	154,483	168,964	250	274	293	311	328	412	488	495	496	515

Source: Management information and EY analysis

¹ Number of operating stores during the period.

- 4 **Myanmar** : During FY21 ~ LTMNov25 , systemwide sales per store in Myanmar grew at a CAGR of 30.1%, representing the highest growth rate among all markets. The MF has prioritized enhancing operational efficiency of existing stores rather than expanding store count, resulting in continuous annual systemwide sales growth.
- 5 **Vietnam** : During FY22 ~ LTMNov25, systemwide sales per store showed a declining trend. The local MF appears to be focusing more on store expansion than on operational efficiency at this stage. However, with improved operational stability, systemwide sales per store is expected to gradually recover going forward.
- 6 **Closed Stores** : In Australia, stores were closed upon expiration of the test store agreement. In Singapore, MFA termination resulted from the Master Franchisee's failure to fulfill its contractual store development obligations.

6

BS analysis

[BS overview] As of Nov25, total assets were USD 58,804k, with short-term investments of USD 22,440k as the largest component, followed by cash and cash equivalents and fixed assets at the Korea(Busan) plant and U.S. equity stores.

BS overview, consolidated

Currency: USD k	Dec21	Dec22	Dec23	Dec24	Nov25
Assets	63,850	68,059	50,835	52,776	58,804
Current assets	34,601	39,857	26,597	31,310	39,269
Current asset - quick	32,963	38,449	25,741	30,807	38,808
Cash and Cash Equivalents	31,414	26,090	18,180	28,948	12,487
Trade Receivables	494	1,364	1,592	1,148	1,139
Other Receivables	339	1,017	47	4	1,211
Accrued Revenues	196	233	205	351	553
Advanced Payments	2	215	2,330	2	-
Prepaid Expenses	243	335	260	259	368
ST investments	-	8,945	3,000	-	22,440
Other current asset - quick	276	250	127	96	609
Inventories	1,621	1,409	856	502	461
Other current assets	18	-	-	-	-
Non-current assets	29,249	28,201	24,238	21,466	19,536
Investments	-	789	-	-	-
Property, plant and equipment	8,916	8,736	7,582	6,452	6,109
Intangible assets	19,827	18,124	16,143	14,425	13,036
Other non-current assets	505	552	513	589	391
Liabilities	11,754	10,188	8,502	8,578	7,853
Current liabilities	8,049	7,199	5,563	5,748	5,608
Trade Payables	653	555	553	425	417
Other Payables	190	305	201	215	1,382
Withholdings	32	38	59	39	44
Unearned Revenues	-	-	-	-	(1,442)
Advances	77	2	39	-	-
Accrued Expenses	1,632	1,971	1,385	1,355	1,447
ST Borrowings	3,627	3,393	2,172	1,905	1,912
Current Portion of LT Liabilities	500	461	523	465	415
Other Current Liabilities	1,337	474	632	1,345	1,434
Non-current liabilities	3,705	2,989	2,939	2,829	2,245
LT Unearned Revenues	3,662	2,946	2,896	2,829	2,245
Provision for Restoration Costs	43	43	43	-	-
Stockholders' equity	52,096	57,871	42,333	44,198	50,951

Source: Management information and EY analysis

Assets

- **Cash and Cash equivalents** : Balances are primarily concentrated in Franchise Inc., International Inc., Bonchon LLC, and other equity stores, in that order of proportion. During the year, funds are generally managed as short-term deposits, while at half-year and year-end closing dates, balances are held as cash and cash equivalents. As of Nov25, approximately 93% of balances were in USD and 7% in KRW, with no restricted or pledged deposits.
- **Trade Receivables** : Comprised of royalties and initial franchise fees receivable from Master Franchise outside the U.S. and from franchise within the U.S., as well as brand sauce margin receivables from the 3rd party distributors. As of Nov25, a bad debt provision of USD 31k is related to receivables deemed uncollectible due to the termination of the master franchise agreement for France in Oct25.
- **Other receivables** : Primarily consist of receivables from delivery platforms, such as UberEats and DoorDash, related to equity store operations. Balances increased during Dec21 ~ Dec22 due to recognition of ERC government subsidies receivable. As of Nov25, other receivables also include USD 1,200k of uncollected marketing fund receivables related to unsettled marketing fund expenditures.
- **Advanced Payments** : In Dec23, USD 2,330k was paid for the transfer of equity in the Vietnam MF entity (BC Concept) from Chairman Seo, resulting in a temporary increase. The interest was acquired in FY24 but subsequently re-transferred to Chairman Seo and is no longer held.
- **Short-term investments** : International Inc. manages short-term funds through KRW-denominated and foreign currency time deposits. As of Nov25, the balances consist of USD 3,140k in KRW-denominated time deposits and USD 19,300k in foreign currency time deposits. Beginning in FY24, funds are invested in time deposits only during the year and subsequently transferred to cash equivalents at the semi-annual and year-end reporting dates, resulting in no outstanding balances as of Dec24.
- **Inventories** : Consist of products and merchandise purchased by Bonchon LLC for supply to franchisees, as well as raw materials and finished goods at International Inc. Inventory decreased as the distribution structure shifted to the use of 3rd party distributors.

[BS overview] As of Nov25, total assets were USD 58,804k, with short-term investments of USD 22,440k as the largest component, followed by cash and cash equivalents and fixed assets at the Korea(Busan) plant and U.S. equity stores.

BS overview, consolidated

Currency: USD k	Dec21	Dec22	Dec23	Dec24	Nov25
Assets	63,850	68,059	50,835	52,776	58,804
Current assets	34,601	39,857	26,597	31,310	39,269
Current asset - quick	32,963	38,449	25,741	30,807	38,808
Cash and Cash Equivalents	31,414	26,090	18,180	28,948	12,487
Trade Receivables	494	1,364	1,592	1,148	1,139
Other Receivables	339	1,017	47	4	1,211
Accrued Revenues	196	233	205	351	553
Advanced Payments	2	215	2,330	2	-
Prepaid Expenses	243	335	260	259	368
ST investments	-	8,945	3,000	-	22,440
Other current asset - quick	276	250	127	96	609
Inventories	1,621	1,409	856	502	461
Other current assets	18	-	-	-	-
Non-current assets	29,249	28,201	24,238	21,466	19,536
Investments	-	789	-	-	-
Property, plant and equipment	8,916	8,736	7,582	6,452	6,109
Intangible assets	19,827	18,124	16,143	14,425	13,036
Other non-current assets	505	552	513	589	391
Liabilities	11,754	10,188	8,502	8,578	7,853
Current liabilities	8,049	7,199	5,563	5,748	5,608
Trade Payables	653	555	553	425	417
Other Payables	190	305	201	215	1,382
Withholdings	32	38	59	39	44
Unearned Revenues	-	-	-	-	(1,442)
Advances	77	2	39	-	-
Accrued Expenses	1,632	1,971	1,385	1,355	1,447
ST Borrowings	3,627	3,393	2,172	1,905	1,912
Current Portion of LT Liabilities	500	461	523	465	415
Other Current Liabilities	1,337	474	632	1,345	1,434
Non-current liabilities	3,705	2,989	2,939	2,829	2,245
LT Unearned Revenues	3,662	2,946	2,896	2,829	2,245
Provision for Restoration Costs	43	43	43	-	-
Stockholders' equity	52,096	57,871	42,333	44,198	50,951

Assets (cont.d)

- **Property, Plant and Equipment** : As of Nov25, consist of USD 4,762k for International Inc. and USD 1,347k for USA Inc. The largest portion relates to plant assets of International Inc., including land, buildings, and machinery, with the remainder comprising fixed assets for the Seoul office, U.S. office, and U.S. equity stores.
- **Intangible assets** : Primarily comprise goodwill and customer relationships recognized upon consolidation, as well as software and other items.
 - **Goodwill** : Initially recognized at USD 13,176k in Dec18 when International Inc. acquired equity interests in USA Inc. and its subsidiaries, based on the purchase price allocated to each entity and the identified value of customer relationships. Goodwill is amortized on a straight-line basis over 20 years.
 - **Customer relationship** : The exclusive product supply and franchise agreements entered into with U.S. franchisees through Bonchon LLC and Franchise LLC were identified and recognized as intangible assets. Initially recognized at USD 2,241k for Bonchon LLC and USD 7,081k for Franchise LLC, and amortized on a straight-line basis over 13 years.

Source: Management information and EY analysis

[BS overview] As of Nov25, total liabilities were USD 7,853k, mainly comprising USD 1,912k of facility-related borrowings and USD 2,660k of unearned revenue from U.S. franchise operations.

BS overview, consolidated

Currency: USD k	Dec21	Dec22	Dec23	Dec24	Nov25
Assets	63,850	68,059	50,835	52,776	58,804
Current assets	34,601	39,857	26,597	31,310	39,269
Current asset - quick	32,963	38,449	25,741	30,807	38,808
Cash and Cash Equivalents	31,414	26,090	18,180	28,948	12,487
Trade Receivables	494	1,364	1,592	1,148	1,139
Other Receivables	339	1,017	47	4	1,211
Accrued Revenues	196	233	205	351	553
Advanced Payments	2	215	2,330	2	-
Prepaid Expenses	243	335	260	259	368
ST investments	-	8,945	3,000	-	22,440
Other current asset - quick	276	250	127	96	609
Inventories	1,621	1,409	856	502	461
Other current assets	18	-	-	-	-
Non-current assets	29,249	28,201	24,238	21,466	19,536
Investments	-	789	-	-	-
Property, plant and equipment	8,916	8,736	7,582	6,452	6,109
Intangible assets	19,827	18,124	16,143	14,425	13,036
Other non-current assets	505	552	513	589	391
Liabilities	11,754	10,188	8,502	8,578	7,853
Current liabilities	8,049	7,199	5,563	5,748	5,608
Trade Payables	653	555	553	425	417
Other Payables	190	305	201	215	1,382
Withholdings	32	38	59	39	44
Unearned Revenues	-	-	-	-	(1,442)
Advances	77	2	39	-	-
Accrued Expenses	1,632	1,971	1,385	1,355	1,447
ST Borrowings	3,627	3,393	2,172	1,905	1,912
Current Portion of LT Liabilities	500	461	523	465	415
Other Current Liabilities	1,337	474	632	1,345	1,434
Non-current liabilities	3,705	2,989	2,939	2,829	2,245
LT Unearned Revenues	3,662	2,946	2,896	2,829	2,245
Provision for Restoration Costs	43	43	43	-	-
Stockholders' equity	52,096	57,871	42,333	44,198	50,951

Liabilities

- **Trade payables** : Primarily consist of logistics and distribution costs in the U.S. (e.g., CJ, SYSCO) and payables related to equity store operations at USA Inc. International Inc. generally settles payables immediately with suppliers, resulting in minimal trade payable balance.
- **Other payables** : Include employee travel expense reimbursements, unpaid corporate card balances, unpaid sales taxes at equity stores, and unpaid service fees for legal, advertising, and utility services (e.g., electricity charges at the Busan plant).
- **Unearned revenues** : As of Nov25 interim closing, a temporary balance was recognized due to advertising expenses exceeding the marketing fund balance. This amount is reclassified to SG&A advertising expenses at year-end.
- **Short-term borrowings** : Relate to facility loans obtained from KB Bank for the Busan plant, secured by International Inc's land, buildings, and machinery at the plant.
- **Current portion of LT liabilities & LT Unearned revenues** : Relates to initial franchise fees recognized at Franchise LLC, which are amortized monthly over the contract term and recognized as revenue.
- **Other current liabilities** : Comprise numerous small cash deposits associated with gift cards.
- **Provision for Restoration costs** : Relates to asset retirement obligations for the closed U.S. equity store (267W). The balance decreased following the store's closure in Dec24.

Source: Management information and EY analysis

[Net debt & Debt-like items] As of Nov25, Net debt and Debt-like items is USD (-) 10,271k.

Net debt and debt-like items

Currency: USD k	Notes	On BS	Off BS	Nov25
Net debt (cash)		(10,576)	-	(10,576)
Cash and Cash Equivalents	1	(12,487)	-	(12,487)
Short-term Borrowings	2	1,912	-	1,912
Debt (Cash)-like items		305	-	305
Accrued Revenues - Interest Income	3	(325)	-	(325)
Accrued Expenses - Interests	4	2	-	2
Prepaid income taxes	5	(589)	-	(589)
Income Taxes Payable	6	1,217	-	1,217
Net debt and DLI		(10,271)	-	(10,271)

Source: Management Information and EY analysis

Net debt

- 1. Cash and cash equivalents** : Comprised of demand deposits of USD 12,487k and petty cash of USD 1k, with no restricted deposits as of Nov25. Demand deposits consisted of USD 2,308k at the International Inc. and USD 10,178k at USA Inc., while petty cash of USD 1k was held at USA Inc.
- 2. Short-term borrowings** : As of Nov25, short-term borrowings consisted of facility loans obtained by International Inc.

Debt-like items (Cash-like items)

- 3. Accrued revenues - Interest income** : Consists of USD 325k of accrued interest income on time deposits at International Inc.
- 4. Accrued expense - Interests** : USD 2k of accrued interest on facility loans at International Inc. was classified as DLI.
- 5. Prepaid income taxes** : Comprised of USD 531k at International Inc. and USD 58k at USA Inc.
- 6. Income taxes payable** : As of Nov25, total income taxes payable of USD 1,217k related entirely to International Inc.

7

Appendix

Appendix 1. P/L by entity

Consolidated PL_USA

	Consolidated					Consol. adjustments					Combined				
Currency: USD k	FY21	FY22	FY23	FY24	11m25	FY21	FY22	FY23	FY24	11m25	FY21	FY22	FY23	FY24	11m25
Revenue	22,516	26,990	24,752	22,726	18,670	(1,322)	(7,817)	(8,954)	(8,618)	(7,705)	23,838	34,806	33,705	31,344	26,374
Merchandise sales	1,913	1,647	1,124	724	25	(103)	(117)	(38)	(8)	(30)	2,016	1,764	1,162	732	55
Finished goods sales	7,352	5,248	9	-	-	(151)	(129)	-	-	-	7,503	5,376	9	-	-
Franchise - Initial fee	441	1,115	979	547	710	-	-	-	-	-	441	1,115	979	547	710
Franchise - Royalty	7,226	8,334	9,032	9,120	8,867	-	-	-	-	-	7,226	8,334	9,032	9,120	8,867
Franchise - Marketing	1,709	2,169	2,816	3,253	2,949	(35)	(87)	(107)	(96)	(58)	1,744	2,256	2,923	3,350	3,007
Franchise - Others	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Store sales	3,502	7,332	7,478	6,409	3,841	-	-	-	-	-	3,502	7,332	7,478	6,409	3,841
Other sales	373	1,145	3,314	2,673	2,278	(1,033)	(7,483)	(8,808)	(8,514)	(7,616)	1,407	8,629	12,123	11,187	9,895
COGS	10,057	10,102	6,136	5,909	4,127	(282)	(326)	(145)	(104)	(88)	10,339	10,428	6,281	6,014	4,215
Cost of Sales-Merchandise	1,336	1,426	1,239	561	89	-	-	-	-	-	1,336	1,426	1,239	561	89
Cost of Sales-Sauce	5,826	4,291	21	-	-	-	-	-	-	-	5,826	4,291	21	-	-
Franchise - Marketing	1,709	2,169	2,816	3,253	2,949	(35)	(87)	(107)	(96)	(58)	1,744	2,256	2,923	3,350	3,007
Store COGS	1,185	2,217	2,061	2,095	1,090	(247)	(239)	(38)	(8)	(30)	1,432	2,455	2,098	2,103	1,119
Other COGS	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Gross profit	12,459	16,888	18,615	16,817	14,542	(1,040)	(7,490)	(8,809)	(8,514)	(7,616)	13,499	24,378	27,424	25,331	22,159
SG&A	12,972	17,913	19,021	17,605	12,887	266	(6,143)	(7,461)	(7,167)	(6,381)	12,706	24,056	26,482	24,771	19,268
Labor cost	5,932	8,652	8,991	8,728	6,358	-	(330)	(445)	(495)	(367)	5,932	8,983	9,436	9,223	6,725
Service fees	1,328	1,760	1,988	1,764	1,591	-	-	-	-	-	1,328	1,760	1,988	1,764	1,591
Rental cost	1,334	1,567	1,589	1,329	718	-	-	-	-	-	1,334	1,567	1,589	1,329	718
Travel Expenses	306	449	637	699	606	-	-	-	-	-	306	449	637	699	606
Advertising & Marketing Expenses	196	487	700	812	419	-	-	-	-	-	196	487	700	812	419
Freight Expenses	872	1,163	952	721	421	(4)	(3)	-	-	-	876	1,166	952	721	421
D&A	2,192	2,535	2,711	2,192	1,810	1,306	1,348	1,348	1,348	1,235	886	1,188	1,364	844	575
Utility Expenses	145	282	277	289	194	-	-	-	-	-	145	282	277	289	194
Insurance Expenses	116	172	199	235	169	-	-	-	-	-	116	172	199	235	169
Research & Development Expenses	5	24	8	31	40	-	-	-	-	-	5	24	8	31	40
Others	545	821	970	805	561	(1,036)	(7,157)	(8,364)	(8,019)	(7,249)	1,581	7,978	9,334	8,824	7,810
EBIT	(513)	(1,025)	(405)	(788)	1,655	(1,306)	(1,348)	(1,348)	(1,348)	(1,235)	793	322	942	559	2,890
D&A	2,192	2,535	2,711	2,192	1,810	1,306	1,348	1,348	1,348	1,235	886	1,188	1,364	844	575
EBITDA	1,679	1,510	2,306	1,404	3,465	-	-	-	-	-	1,679	1,510	2,306	1,404	3,465
Other income	90	1,008	81	39	(0)	(1,481)	(1,527)	(1,762)	(1,553)	-	1,570	2,535	1,843	1,593	(0)
Other expenses	142	307	968	1,792	234	(1,172)	(129)	(863)	(5,074)	-	1,314	436	1,831	6,867	234
Income before income taxes	(566)	(324)	(1,293)	(2,541)	1,421	(1,615)	(2,746)	(2,247)	2,173	(1,235)	1,049	2,422	954	(4,714)	2,657
Corporate tax	10	28	73	37	7	-	-	-	-	-	10	28	73	37	7
Net income (loss)	(576)	(352)	(1,366)	(2,577)	1,414	(1,615)	(2,746)	(2,247)	2,173	(1,235)	1,039	2,394	881	(4,751)	2,650
KPIs															
Gross margin	55.3%	62.6%	75.2%	74.0%	77.9%						56.6%	70.0%	81.4%	80.8%	84.0%
EBIT margin	-2.3%	-3.8%	-1.6%	-3.5%	8.9%						3.3%	0.9%	2.8%	1.8%	11.0%
EBITDA margin	7.5%	5.6%	9.3%	6.2%	18.6%						7.0%	4.3%	6.8%	4.5%	13.1%
NI margin	-2.6%	-1.3%	-5.5%	-11.3%	7.6%						4.4%	6.9%	2.6%	-15.2%	10.0%

Source: Management information and EY analysis

Appendix 1. P/L by entity

Consolidated PL_USA (cont.d)

	Combined (=A+B+ ... +I+J)					A. USA Inc. (Separate)					B. Franchise LLC				
Currency: USD k	FY21	FY22	FY23	FY24	11m25	FY21	FY22	FY23	FY24	11m25	FY21	FY22	FY23	FY24	11m25
Revenue	23,838	34,806	33,705	31,344	26,374	3,447	4,201	4,281	3,440	2,131	10,502	11,717	12,971	13,108	12,745
Merchandise sales	2,016	1,764	1,162	732	55	-	-	-	-	-	-	-	-	-	-
Finished goods sales	7,503	5,376	9	-	-	-	-	-	-	-	-	-	-	-	-
Franchise - Initial fee	441	1,115	979	547	710	-	-	-	-	-	441	1,115	979	547	710
Franchise - Royalty	7,226	8,334	9,032	9,120	8,867	-	-	-	-	-	7,226	8,334	9,032	9,120	8,867
Franchise - Marketing	1,744	2,256	2,923	3,350	3,007	-	-	-	-	-	1,744	2,256	2,923	3,350	3,007
Franchise - Others	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Store sales	3,502	7,332	7,478	6,409	3,841	3,447	4,201	4,281	3,440	2,131	-	-	-	-	-
Other sales	1,407	8,629	12,123	11,187	9,895	-	-	-	-	-	1,091	12	37	92	162
COGS	10,339	10,428	6,281	6,014	4,215	1,411	1,429	1,268	1,113	625	1,744	2,256	2,923	3,350	3,007
Cost of Sales-Merchandise	1,336	1,426	1,239	561	89	-	-	-	-	-	-	-	-	-	-
Cost of Sales-Sauce	5,826	4,291	21	-	-	-	-	-	-	-	-	-	-	-	-
Franchise - Marketing	1,744	2,256	2,923	3,350	3,007	-	-	-	-	-	1,744	2,256	2,923	3,350	3,007
Store COGS	1,432	2,455	2,098	2,103	1,119	1,411	1,429	1,268	1,113	625	-	-	-	-	-
Other COGS	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Gross profit	13,499	24,378	27,424	25,331	22,159	2,036	2,772	3,013	2,327	1,506	8,757	9,461	10,048	9,758	9,738
SG&A	12,706	24,056	26,482	24,771	19,268	3,551	4,741	4,526	3,721	2,598	7,097	7,957	9,446	8,894	7,638
Labor cost	5,932	8,983	9,436	9,223	6,725	1,314	1,686	1,606	1,306	801	4,602	-	2	-	-
Service fees	1,328	1,760	1,988	1,764	1,591	303	394	310	260	260	954	1,178	1,168	1,061	923
Rental cost	1,334	1,567	1,589	1,329	718	471	561	597	508	324	390	245	102	-	-
Travel Expenses	306	449	637	699	606	1	0	-	2	-	305	-	-	-	-
Advertising & Marketing Expenses	196	487	700	812	419	128	217	119	107	127	63	197	527	625	211
Freight Expenses	876	1,166	952	721	421	309	328	355	280	210	0	0	-	-	-
D&A	886	1,188	1,364	844	575	221	314	368	254	218	506	681	746	330	167
Utility Expenses	145	282	277	289	194	106	171	170	123	89	21	12	4	-	-
Insurance Expenses	116	172	199	235	169	33	55	49	43	14	68	79	95	126	123
Research & Development Expenses	5	24	8	31	40	-	-	-	-	-	5	18	-	-	-
Others	1,581	7,978	9,334	8,824	7,810	664	1,015	950	837	554	182	5,547	6,802	6,752	6,213
EBIT	793	322	942	559	2,890	(1,515)	(1,969)	(1,513)	(1,393)	(1,092)	1,661	1,504	602	864	2,100
D&A	886	1,188	1,364	844	575	221	314	368	254	218	506	681	746	330	167
EBITDA	1,679	1,510	2,306	1,404	3,465	(1,294)	(1,655)	(1,145)	(1,139)	(874)	2,167	2,185	1,348	1,195	2,268
Other income	1,570	2,535	1,843	1,593	(0)	1,536	1,830	1,615	1,570	(1)	15	611	32	5	-
Other expenses	1,314	436	1,831	6,867	234	587	185	1,462	2,709	211	106	95	56	482	6
Income before income taxes	1,049	2,422	954	(4,714)	2,657	(566)	(324)	(1,360)	(2,533)	(1,304)	1,569	2,020	579	388	2,095
Corporate tax	10	28	73	37	7	10	28	6	37	7	-	-	-	-	-
Net income (loss)	1,039	2,394	881	(4,751)	2,650	(576)	(352)	(1,366)	(2,569)	(1,311)	1,569	2,020	579	388	2,095
KPIs															
Gross margin	56.6%	70.0%	81.4%	80.8%	84.0%	59.1%	66.0%	70.4%	67.7%	70.7%	83.4%	80.7%	77.5%	74.4%	76.4%
EBIT margin	3.3%	0.9%	2.8%	1.8%	11.0%	-43.9%	-46.9%	-35.3%	-40.5%	-51.2%	15.8%	12.8%	4.6%	6.6%	16.5%
EBITDA margin	7.0%	4.3%	6.8%	4.5%	13.1%	-37.5%	-39.4%	-26.7%	-33.1%	-41.0%	20.6%	18.7%	10.4%	9.1%	17.8%
NI margin	4.4%	6.9%	2.6%	-15.2%	10.0%	-16.7%	-8.4%	-31.9%	-74.7%	-61.5%	14.9%	17.2%	4.5%	3.0%	16.4%

Source: Management information and EY analysis

Appendix 1. P/L by entity

Consolidated PL_USA (cont.d)

	C. Bonchon LLC					D. Bonchon Holdings					E. Giftcard				
Currency: USD k	FY21	FY22	FY23	FY24	11m25	FY21	FY22	FY23	FY24	11m25	FY21	FY22	FY23	FY24	11m25
Revenue	9,769	7,829	4,002	3,310	2,170	-	7,481	8,808	8,514	7,616	1	3	3	2	1
Merchandise sales	2,016	1,764	1,162	732	55	-	-	-	-	-	-	-	-	-	-
Finished goods sales	7,503	5,376	9	-	-	-	-	-	-	-	-	-	-	-	-
Franchise - Initial fee	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Franchise - Royalty	-	0	-	-	-	-	-	-	-	-	-	-	-	-	-
Franchise - Marketing	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Franchise - Others	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Store sales	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other sales	250	688	2,830	2,577	2,115	-	7,481	8,808	8,514	7,616	1	3	3	2	1
COGS	7,163	5,717	1,260	561	89	-	-	-	-	-	-	-	-	-	-
Cost of Sales-Merchandise	1,336	1,426	1,239	561	89	-	-	-	-	-	-	-	-	-	-
Cost of Sales-Sauce	5,826	4,291	21	-	-	-	-	-	-	-	-	-	-	-	-
Franchise - Marketing	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Store COGS	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other COGS	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Gross profit	2,606	2,112	2,741	2,749	2,081	-	7,481	8,808	8,514	7,616	1	3	3	2	1
SG&A	1,372	1,561	1,287	994	828	8	7,125	8,389	8,109	6,656	1	(3)	11	13	(0)
Labor cost	-	0	-	-	-	-	6,306	7,013	6,774	5,388	-	-	-	-	-
Service fees	52	31	124	131	120	8	65	242	192	223	(2)	(5)	9	2	(1)
Rental cost	72	75	67	40	22	-	193	320	270	265	-	-	-	-	-
Travel Expenses	-	-	-	-	-	-	449	637	696	606	-	-	-	-	-
Advertising & Marketing Expenses	-	-	-	-	-	-	1	-	-	-	1	-	-	-	-
Freight Expenses	567	545	197	101	22	-	-	-	-	-	-	-	-	-	-
D&A	-	-	7	10	9	-	-	-	2	8	0	1	1	1	-
Utility Expenses	-	-	-	-	-	-	14	27	31	23	-	-	-	-	-
Insurance Expenses	-	25	34	16	9	-	-	-	-	-	-	-	-	-	-
Research & Development Expenses	-	-	-	8	4	-	6	8	23	36	-	-	-	-	-
Others	681	884	858	688	642	1	92	143	120	106	1	1	1	10	0
EBIT	1,234	551	1,454	1,755	1,253	(8)	356	419	405	961	-	6	(8)	(11)	1
D&A	-	-	7	10	9	-	-	-	2	8	0	1	1	1	-
EBITDA	1,234	551	1,461	1,765	1,262	(8)	356	419	408	969	0	8	(8)	(10)	1
Other income	4	0	0	2	0	16	19	193	-	-	-	1	-	-	-
Other expenses	20	16	18	32	17	586	122	290	2,366	-	-	1	0	-	-
Income before income taxes	1,217	535	1,436	1,725	1,237	(578)	253	322	(1,960)	961	-	6	(9)	(11)	1
Corporate tax	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Net income (loss)	1,217	535	1,436	1,725	1,237	(578)	253	322	(1,960)	961	-	6	(9)	(11)	1
KPIs															
Gross margin	26.7%	27.0%	68.5%	83.1%	95.9%	-	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%
EBIT margin	12.6%	7.0%	36.3%	53.0%	57.8%	-	4.8%	4.8%	4.8%	12.6%	0.0%	187.9%	-335.2%	-450.2%	110.4%
EBITDA margin	12.6%	7.0%	36.5%	53.3%	58.2%	-	4.8%	4.8%	4.8%	12.7%	74.0%	232.1%	-302.2%	-421.3%	110.4%
NI margin	12.5%	6.8%	35.9%	52.1%	57.0%	-	3.4%	3.7%	-23.0%	12.6%	0.0%	188.9%	-347.7%	-450.2%	110.4%

Source: Management information and EY analysis

Appendix 1. P/L by entity

Consolidated PL_USA (cont.d)

	F. Allston (Equity store) ¹					G. 267W (Equity store - closed)					H. Texas (Equity store - inactive)				
Currency: USD k	FY21	FY22	FY23	FY24	11m25	FY21	FY22	FY23	FY24	11m25	FY21	FY22	FY23	FY24	11m25
Revenue	-	3,124	3,195	2,412	1,710	115	444	444	558	-	-	-	-	-	-
Merchandise sales	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Finished goods sales	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Franchise - Initial fee	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Franchise - Royalty	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Franchise - Marketing	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Franchise - Others	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Store sales	-	3,124	3,195	2,412	1,710	50	-	-	557	-	-	-	-	-	-
Other sales	-	-	-	-	-	65	444	444	1	-	-	-	-	-	-
COGS	-	1,024	829	804	495	19	-	-	186	-	-	-	-	-	-
Cost of Sales-Merchandise	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Cost of Sales-Sauce	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Franchise - Marketing	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Store COGS	-	1,024	829	804	495	19	-	-	186	-	-	-	-	-	-
Other COGS	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Gross profit	-	2,101	2,366	1,608	1,215	96	444	444	372	-	-	-	-	-	-
SG&A	-	2,036	2,081	1,978	1,549	671	630	735	1,063	-	-	1	1	1	-
Labor cost	-	990	816	805	536	16	-	-	338	-	-	-	-	-	-
Service fees	-	90	131	86	65	11	1	1	31	-	-	1	1	1	-
Rental cost	-	99	107	112	106	400	395	395	399	-	-	-	-	-	-
Travel Expenses	-	-	-	-	-	0	-	-	-	-	-	-	-	-	-
Advertising & Marketing Expenses	-	72	54	69	80	4	-	-	12	-	-	-	-	-	-
Freight Expenses	-	293	399	306	189	-	-	-	33	-	-	-	-	-	-
D&A	-	32	108	124	173	159	159	133	124	-	-	-	-	-	-
Utility Expenses	-	85	75	88	82	18	-	-	47	-	-	-	-	-	-
Insurance Expenses	-	13	21	35	23	15	-	-	14	-	-	-	-	-	-
Research & Development Expenses	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Others	-	361	369	353	294	47	76	206	64	-	-	0	0	0	-
EBIT	-	65	285	(370)	(334)	(574)	(186)	(291)	(691)	-	-	(1)	(1)	(1)	-
D&A	-	32	108	124	173	159	159	133	124	-	-	-	-	-	-
EBITDA	-	97	393	(246)	(161)	(415)	(27)	(158)	(567)	-	-	(1)	(1)	(1)	-
Other income	-	4	0	11	-	0	71	2	4	1	-	-	-	-	-
Other expenses	-	8	-	-	-	11	6	-	1,278	-	-	-	-	-	-
Income before income taxes	-	60	285	(359)	(334)	(586)	(121)	(289)	(1,965)	1	-	(1)	(1)	(1)	-
Corporate tax	-	-	67	-	-	-	-	-	-	-	-	-	-	-	-
Net income (loss)	-	60	218	(359)	(334)	(586)	(121)	(289)	(1,965)	1	-	(1)	(1)	(1)	-
KPIs															
Gross margin	-	67.2%	74.0%	66.7%	71.1%	83.7%	100.0%	100.0%	66.7%	-	-	-	-	-	-
EBIT margin	-	2.1%	8.9%	-15.3%	-19.5%	-499.7%	-41.8%	-65.5%	-123.9%	-	-	-	-	-	-
EBITDA margin	-	3.1%	12.3%	-10.2%	-9.4%	-361.2%	-6.1%	-35.6%	-101.7%	-	-	-	-	-	-
NI margin	-	1.9%	6.8%	-14.9%	-19.5%	-509.5%	-27.2%	-65.0%	-352.4%	-	-	-	-	-	-

Source: Management information and EY analysis

¹ Consolidated since FY22

Appendix 1. P/L by entity

Consolidated PL_USA (cont.d)

	I. Beverage Holdings					J. Beverage				
Currency: USD k	FY21	FY22	FY23	FY24	11m25	FY21	FY22	FY23	FY24	11m25
Revenue	-	-	-	-	-	5	7	2	-	-
Merchandise sales	-	-	-	-	-	-	-	-	-	-
Finished goods sales	-	-	-	-	-	-	-	-	-	-
Franchise - Initial fee	-	-	-	-	-	-	-	-	-	-
Franchise - Royalty	-	-	-	-	-	-	-	-	-	-
Franchise - Marketing	-	-	-	-	-	-	-	-	-	-
Franchise - Others	-	-	-	-	-	-	-	-	-	-
Store sales	-	-	-	-	-	5	7	2	-	-
Other sales	-	-	-	-	-	-	-	-	-	-
COGS	-	-	-	-	-	2	3	1	-	-
Cost of Sales-Merchandise	-	-	-	-	-	-	-	-	-	-
Cost of Sales-Sauce	-	-	-	-	-	-	-	-	-	-
Franchise - Marketing	-	-	-	-	-	-	-	-	-	-
Store COGS	-	-	-	-	-	2	3	1	-	-
Other COGS	-	-	-	-	-	-	-	-	-	-
Gross profit	-	-	-	-	-	3	3	1	-	-
SG&A	0	0	1	0	-	7	7	5	(0)	-
Labor cost	-	-	-	-	-	-	-	-	-	-
Service fees	0	-	0	0	-	2	4	1	0	-
Rental cost	-	-	-	-	-	-	-	-	-	-
Travel Expenses	-	-	-	-	-	-	-	-	-	-
Advertising & Marketing Expenses	-	-	-	-	-	-	-	-	-	-
Freight Expenses	-	-	-	-	-	-	-	-	-	-
D&A	-	-	-	-	-	-	-	-	-	-
Utility Expenses	-	-	-	-	-	-	-	-	-	-
Insurance Expenses	-	-	-	-	-	-	-	-	-	-
Research & Development Expenses	-	-	-	-	-	-	-	-	-	-
Others	-	0	0	-	-	5	3	4	(1)	-
EBIT	(0)	(0)	(1)	(0)	-	(4)	(4)	(4)	0	-
D&A	-	-	-	-	-	-	-	-	-	-
EBITDA	(0)	(0)	(1)	(0)	-	(4)	(4)	(4)	0	-
Other income	-	-	-	0	-	-	-	-	-	-
Other expenses	4	4	4	-	-	-	-	-	-	-
Income before income taxes	(4)	(4)	(5)	0	-	(4)	(4)	(4)	0	-
Corporate tax	-	-	-	-	-	-	-	-	-	-
Net income (loss)	(4)	(4)	(5)	0	-	(4)	(4)	(4)	0	-
KPIs										
Gross margin	-	-	-	-	-	55.5%	51.4%	36.5%	-	-
EBIT margin	-	-	-	-	-	-81.6%	-52.4%	-200.7%	-	-
EBITDA margin	-	-	-	-	-	-81.6%	-52.4%	-200.7%	-	-
NI margin	-	-	-	-	-	-81.6%	-52.4%	-200.7%	-	-

Source: Management information and EY analysis

Appendix 2. USA P/L by Equity Store

PL by profit center_USA

	USA Inc. (Separate)					Addison					Towson				
Currency: USD k	FY21	FY22	FY23	FY24	11m25	FY21	FY22	FY23	FY24	11m25	FY21	FY22	FY23	FY24	11m25
Revenue	3,447	4,201	4,281	3,440	2,131	695	860	843	787	703	1,098	1,146	1,036	963	1,027
Merchandise sales	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Finished goods sales	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Franchise - Initial fee	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Franchise - Royalty	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Franchise - Marketing	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Franchise - Others	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Store sales	3,447	4,201	4,281	3,440	2,131	695	860	843	787	703	1,098	1,146	1,036	963	1,027
Other sales	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
COGS	1,411	1,429	1,268	1,113	625	342	321	279	298	221	478	417	331	320	290
Cost of Sales-Merchandise	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Cost of Sales-Sauce	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Franchise - Marketing	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Store COGS	1,411	1,429	1,268	1,113	625	342	321	279	298	221	478	417	331	320	290
Other COGS	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Gross profit	2,036	2,772	3,013	2,327	1,506	352	539	565	488	482	620	729	705	643	736
SG&A	3,551	4,741	4,526	3,721	2,598	790	792	769	760	656	886	974	877	866	888
Labor cost	1,314	1,686	1,606	1,306	801	373	346	331	341	255	443	469	385	379	362
Service fees	303	394	310	260	260	33	37	39	39	34	48	37	40	37	36
Rental cost	471	561	597	508	324	88	103	103	101	90	82	97	100	96	91
Travel Expenses	1	0	-	2	-	1	-	-	2	-	0	-	-	-	-
Advertising & Marketing Expenses	128	217	119	107	127	54	63	31	23	40	38	44	30	41	75
Freight Expenses	309	328	355	280	210	52	58	63	58	61	64	77	89	84	112
D&A	221	314	368	254	218	90	102	104	105	97	86	117	120	120	111
Utility Expenses	106	171	170	123	89	15	20	22	25	25	33	46	41	36	39
Insurance Expenses	33	55	49	43	14	10	11	9	10	8	11	8	6	9	10
Research & Development Expenses	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Others	664	1,015	950	837	554	74	53	66	56	45	80	78	64	63	53
EBIT	(1,515)	(1,969)	(1,513)	(1,393)	(1,092)	(437)	(253)	(204)	(271)	(175)	(266)	(245)	(171)	(223)	(152)
D&A	221	314	368	254	218	90	102	104	105	97	86	117	120	120	111
EBITDA	(1,294)	(1,655)	(1,145)	(1,139)	(874)	(347)	(151)	(99)	(167)	(78)	(180)	(127)	(52)	(103)	(41)
Other income	1,536	1,830	1,615	1,570	(1)	1	0	1	2	-	0	0	1	4	-
Other expenses	587	185	1,462	2,709	211	3	1	-	-	-	-	-	-	-	-
Income before income taxes	(566)	(324)	(1,360)	(2,533)	(1,304)	(440)	(254)	(203)	(269)	(175)	(266)	(244)	(170)	(219)	(152)
Corporate tax	10	28	6	37	7	-	-	-	-	-	-	-	-	-	-
Net income (loss)	(576)	(352)	(1,366)	(2,569)	(1,311)	(440)	(254)	(203)	(269)	(175)	(266)	(244)	(170)	(219)	(152)
KPIs															
Gross margin	59.1%	66.0%	70.4%	67.7%	70.7%	50.7%	62.6%	67.0%	62.1%	68.5%	56.5%	63.6%	68.1%	66.8%	71.7%
EBIT margin	-43.9%	-46.9%	-35.3%	-40.5%	-51.2%	-63.0%	-29.4%	-24.2%	-34.5%	-24.9%	-24.2%	-21.3%	-16.5%	-23.2%	-14.8%
EBITDA margin	-37.5%	-39.4%	-26.7%	-33.1%	-41.0%	-50.0%	-17.6%	-11.8%	-21.2%	-11.1%	-16.4%	-11.1%	-5.0%	-10.7%	-4.0%
NI margin	-16.7%	-8.4%	-31.9%	-74.7%	-61.5%	-63.4%	-29.6%	-24.1%	-34.2%	-24.9%	-24.2%	-21.3%	-16.4%	-22.8%	-14.8%

Source: Management information and EY analysis

Appendix 2. USA P/L by Equity Store

PL by profit center_USA (cont.d)

	38th (Closed)					Frisco (Closed)					HQ (Cost center)				
Currency: USD k	FY21	FY22	FY23	FY24	11m25	FY21	FY22	FY23	FY24	11m25	FY21	FY22	FY23	FY24	11m25
Revenue	1,655	1,802	1,872	1,691	402	-	392	529	-	-	-	-	-	-	-
Merchandise sales	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Finished goods sales	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Franchise - Initial fee	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Franchise - Royalty	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Franchise - Marketing	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Franchise - Others	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Store sales	1,655	1,802	1,872	1,691	402	-	392	529	-	-	-	-	-	-	-
Other sales	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
COGS	591	536	472	495	114	-	153	187	-	-	-	-	-	-	-
Cost of Sales-Merchandise	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Cost of Sales-Sauce	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Franchise - Marketing	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Store COGS	591	536	472	495	114	-	153	187	-	-	-	-	-	-	-
Other COGS	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Gross profit	1,064	1,266	1,400	1,196	288	-	239	342	-	-	-	-	-	-	-
SG&A	1,355	1,589	1,511	1,469	450	0	521	700	-	-	520	866	669	627	603
Labor cost	498	649	586	586	178	-	221	304	-	-	-	0	-	-	7
Service fees	42	51	60	59	18	0	32	34	-	-	180	238	137	126	171
Rental cost	301	316	322	311	143	-	44	73	-	-	-	-	-	-	-
Travel Expenses	0	0	-	-	-	-	-	-	-	-	-	-	-	-	-
Advertising & Marketing Expenses	36	59	36	43	12	-	52	21	-	-	-	-	-	-	-
Freight Expenses	193	172	165	138	38	-	21	38	-	-	-	-	-	-	-
D&A	45	36	27	29	11	-	59	117	-	-	-	-	-	-	-
Utility Expenses	57	83	77	62	25	-	22	31	-	-	-	-	-	-	-
Insurance Expenses	12	26	21	24	4	-	11	12	-	-	-	-	-	-	(8)
Research & Development Expenses	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Others	171	196	216	217	23	-	60	70	-	-	340	627	533	501	433
EBIT	(292)	(323)	(111)	(272)	(162)	(0)	(283)	(358)	-	-	(520)	(866)	(669)	(627)	(603)
D&A	45	36	27	29	11	-	59	117	-	-	-	-	-	-	-
EBITDA	(247)	(287)	(83)	(244)	(151)	(0)	(224)	(241)	-	-	(520)	(866)	(669)	(627)	(603)
Other income	2	2	20	10	(1)	-	1	1	-	-	1,534	1,827	1,591	1,553	0
Other expenses	2	47	1	0	157	-	23	893	-	-	582	113	568	2,709	54
Income before income taxes	(291)	(369)	(91)	(262)	(320)	(0)	(304)	(1,249)	-	-	432	847	354	(1,782)	(657)
Corporate tax	-	-	-	-	-	-	-	-	-	-	10	28	6	37	7
Net income (loss)	(291)	(369)	(91)	(262)	(320)	(0)	(304)	(1,249)	-	-	421	819	347	(1,819)	(664)
KPIs															
Gross margin	64.3%	70.2%	74.8%	70.7%	71.8%	-	60.9%	64.7%	-	-	-	-	-	-	-
EBIT margin	-17.6%	-17.9%	-5.9%	-16.1%	-40.3%	-	-72.1%	-67.6%	-	-	-	-	-	-	-
EBITDA margin	-14.9%	-15.9%	-4.4%	-14.4%	-37.6%	-	-57.2%	-45.6%	-	-	-	-	-	-	-
NI margin	-17.6%	-20.5%	-4.9%	-15.5%	-79.7%	-	-77.6%	-236.1%	-	-	-	-	-	-	-

Source: Management information and EY analysis

Appendix 3. Allston P/L

PL by profit center_Allston

	F. Allston (Equity store) ¹					Equity Store					HQ (Cost center)				
Currency: USD k	FY21	FY22	FY23	FY24	11m25	FY21	FY22	FY23	FY24	11m25	FY21	FY22	FY23	FY24	11m25
Revenue	3,107	3,124	3,195	2,412	1,710	3,107	3,124	3,195	2,412	1,710	-	-	-	-	-
Merchandise sales	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Finished goods sales	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Franchise - Initial fee	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Franchise - Royalty	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Franchise - Marketing	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Franchise - Others	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Store sales	3,107	3,124	3,195	2,412	1,710	3,107	3,124	3,195	2,412	1,710	-	-	-	-	-
Other sales	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
COGS	1,317	1,024	829	804	495	1,317	1,024	829	804	495	-	-	-	-	-
Cost of Sales-Merchandise	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Cost of Sales-Sauce	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Franchise - Marketing	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Store COGS	1,317	1,024	829	804	495	1,317	1,024	829	804	495	-	-	-	-	-
Other COGS	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Gross profit	1,790	2,101	2,366	1,608	1,215	1,790	2,101	2,366	1,608	1,215	-	-	-	-	-
SG&A	1,787	2,036	2,081	1,978	1,549	1,787	1,790	1,810	1,739	1,332	-	245	271	239	217
Labor cost	939	990	816	805	536	939	990	816	805	536	-	-	-	-	-
Service fees	203	90	131	86	65	203	90	131	86	65	-	1	-	-	-
Rental cost	92	99	107	112	106	92	99	107	112	106	-	-	-	-	-
Travel Expenses	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Advertising & Marketing Expenses	48	72	54	69	80	48	72	54	69	80	-	-	-	-	-
Freight Expenses	237	293	399	306	189	237	293	399	306	189	-	-	-	-	-
D&A	20	32	108	124	173	20	32	108	124	173	-	-	-	-	-
Utility Expenses	98	85	75	88	82	98	85	75	88	82	-	-	-	-	-
Insurance Expenses	32	13	21	35	23	32	13	21	35	23	-	-	-	-	-
Research & Development Expenses	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Others	118	361	369	353	294	118	116	98	114	77	-	245	271	239	217
EBIT	3	65	285	(370)	(334)	3	310	556	(131)	(117)	-	(245)	(271)	(239)	(217)
D&A	20	32	108	124	173	20	32	108	124	173	-	-	-	-	-
EBITDA	23	97	393	(246)	(161)	23	342	664	(8)	56	-	(245)	(271)	(239)	(217)
Other income	331	4	0	11	-	331	1	0	11	-	-	3	-	-	-
Other expenses	146	8	-	-	-	144	8	-	-	-	1	-	-	-	-
Income before income taxes	188	60	285	(359)	(334)	190	303	556	(120)	(117)	(1)	(243)	(271)	(239)	(217)
Corporate tax	1	-	67	-	-	-	-	-	-	-	1	-	67	-	-
Net income (loss)	188	60	218	(359)	(334)	190	303	556	(120)	(117)	(2)	(243)	(338)	(239)	(217)
KPIs															
Gross margin	57.6%	67.2%	74.0%	66.7%	71.1%	57.6%	67.2%	74.0%	66.7%	71.1%	-	-	-	-	-
EBIT margin	0.1%	2.1%	8.9%	-15.3%	-19.5%	0.1%	9.9%	17.4%	-5.4%	-6.8%	-	-	-	-	-
EBITDA margin	0.8%	3.1%	12.3%	-10.2%	-9.4%	0.8%	11.0%	20.8%	-0.3%	3.3%	-	-	-	-	-
NI margin	6.0%	1.9%	6.8%	-14.9%	-19.5%	6.1%	9.7%	17.4%	-5.0%	-6.8%	-	-	-	-	-

Source: Management information and EY analysis

¹ For FY21, the figures represent the financial results prior to consolidation

Appendix 4. Abbreviation

#	Number	EBIT	Earning before interest and tax
%	Percent	EBITDA	Earning before interest, tax, depreciation and amortization
%p	Percent point	ERC	Employee Retention Credit
1QXX	First Quarter of year XX	ERP	Enterprise resource planning
2HXX	2nd half of financial year 20XX	etc.	Et cetera
2QXX	Second Quarter of year XX	excl.	excluding
3QXX	Third Quarter of year XX	exp.	Expense
4QXX	Fourth Quarter of year XX	FA	Franchise Agreement
ADA	Area Development Agreement	FBC	Franchise Business Consultant
adj.	Adjusted	FG	Finished Goods
AprXX	As of April 31, 20XX	FYXX	Fiscal year 20XX
Avg.	Average	GM	Gross Margin
B.com	Bonchon.com	systemwide sales	Gross merchandise volume
BS	Balance sheet	HQ	Headquarters
CAO	Chief Administrative Officer	HR	Human resources
CFO	Chief Financial Officer	IRA	Individual Retirement Account
CGO	Chief Growth Officer	IT	Information Technology
CJ	CheilJedang	JunXX	As of June 30, 20XX
COGS	Cost of goods sold	k	thousands
Consol.	Consolidated	KPI	Key performance indicators
cont'd	continued	KRW	Korean Won
D&A	Depreciation and amortization	L&D	Learning & Development
DC	Defined Contribution	LSR	Limited Service Restaurant
DecXX	As of December 31, 20XX	LT	Long-term
EA	Each	LTMNov25	Last twelve months of November 30th, 2025

Appendix 4. Abbreviation

LTO	Limited Time Offer
MayXX	As of May 31, 20XX
MF	Master Franchise
MFA	Master Franchise Agreement
NI	Net income
NovXX	As of November 30, 20XX
NRO	New restaurant opening
NY	New York
OctXX	As of October 30, 20XX
OEM	Original equipment manufacturer
P/L	Profit / Loss
R&D	Research & development
SCM	Supply Chain Management
SEO	Search Engine Optimization
SG&A	Selling, general and administrative expenses
ST	Short-term
TKA	TaeKyung America
TP	Transfer Pricing
TX	Texas
US	United States
USA	United States of America
USD k	US dollars in thousand
USD m	US dollars in million
VP	Vice President

